

Japan Insight: BofA Strategy Monthly

Reassessing Japan equities in the age of AI, hardware and physical assets

Investment Strategy

Reversal in merits of industrial structure: Hardware and physical assets now hold an advantage

Although guidance this results season was conservative, in such years guidance tends to rise in a stepwise fashion as 1Q and 2Q results are released. However, the risk is that inflation pushes up interest rates, but in the US, this is in line with stronger-than-expected economic data. Domestic interest rates have risen on concerns about fiscal deterioration, and 10y JGB yields have temporarily risen to 2.8%, but the TOPIX earnings yield is c.6%. On the other hand, a positive scenario is that rising US long-term interest rates force President Trump to soften his stance, leading to the reopening of the Strait of Hormuz.

It is also important to note that the medium-term attractiveness of Japanese equities is increasing. Japanese companies provide semiconductor manufacturing equipment (SPE), components and materials that are essential to the AI supply chain. In addition, supply chains and production facilities are being rebuilt globally to mitigate geopolitical threats, and wealth is concentrated in these areas. Now is the time to reassess Japan's industrial structure, which has strengths in hardware and physical assets that are easy to pass on to prices. Previous catalysts, such as the shift to an inflationary economy and the acceleration of corporate reform, are also alive and well.

Initial AI rally has passed, but uptrend likely to continue

From a stock-selection perspective, we believe it is time to focus on AI stocks while diversifying across sectors. The initial rally in AI market has passed, but the uptrend is likely to continue. If the Strait of Hormuz is reopened, high-beta AI stocks have upside potential in a phase where only expectations are rising, and stocks that benefit from fundamentals have upside potential after the Strait is actually reopened. As a basic view, we believe sectors that were the main preference of investors before the closure of the Strait of Hormuz should be included in portfolios. If gradual yen appreciation emerges, there may be opportunities to re-evaluate consumer-related sectors that have historically been disadvantaged.

Our economists, FX/rates strategists and sector analysts discuss their outlooks

In this report, our economists, forex/rates strategists and sector analysts discuss their respective outlooks. Our sector analysts have recommended stocks to watch, and selected 10 stocks that also align with the top-down perspective.

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Refer to important disclosures on page 95 to 101. Analyst Certification on page 81. Price Objective Basis/Risk on page 60.

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Exhibit 1: 10 highlighted stocks (based on a top-down + bottom-up approach)

We highlight stocks with favorable catalysts from both macro and micro perspectives

Company Name	TSE Code	Market Cap (bn JPY)
Kirin Holdings	2503	2,246
Tokyo Ohka Kogyo	4186	1,428
MARUWA	5344	942
Nichias	5393	668
Recruit Holdings	6098	14,466
NEC	6701	5,611
Renesas Electronics	6723	8,584
Panasonic	6752	8,853
Asics	7936	3,345
Mizuho Financial Group	8411	17,977

Source: BofA Global Research

Note: See P3 for more details of our selection rationale

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IT service sector (Hideaki Tanaka)	40
Auto, auto parts and tire (Shiro Sakamaki)	42
Machinery (Kenjin Hotta)	44
Transport (Nathan Gee / Hiro Nakakura)	45
Electronic materials sector (Niima Komura)	46
Glass & ceramic / paper & pulp (Kyoji Chiba)	47
Retail sector (Arashi Nishizawa)	48
Food & beverage (Manabu Sumoge)	50
Cosmetics & toiletries sector (Kentaro Hosoda)	52
Biopharma sector (Koichi Mamegano)	53
Healthcare (Ritsuo Watanabe / Kei Takeuchi)	55
Construction, real estate, and housing (Takumi Kasai)	57
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BofA's 10 highlighted names (from top-down and bottom-up approaches)

We selected 10 stocks that match our top-down view as strategists from among the stocks selected by analysts from a bottom-up perspective. We assume an investment period of the next three months. Our selection focuses on component and materials companies and companies that are transforming into AI stocks, in light of the broadening scope of the AI market. For domestic demand sectors, we selected stocks with global exposure and high earnings defensiveness, given the closure of the Strait of Hormuz. (Chief Japan Equity Strategist Masashi Akutsu is responsible for the content).

Kirin Holdings (2503): 1Q business profit beat consensus. We believe the company can absorb the impact of the Middle East conflict through cost reductions and price hikes, which is reassuring.

Tokyo Ohka Kogyo (4186): Earnings momentum remains strong, supported by AI-related demand. 1Q results suggest that the FY27/12 medium-term target for operating profit could be achieved as early as this fiscal year. An upward revision in 2Q, as well as a significant upward revision to the medium-term targets thereafter, is likely to come into focus. With its expanding market capitalization, the stock appears to have become more widely favored by overseas investors.

Maruwa (5344): We take into account the broadening of AI stock selection. Guidance excessively factors in an impact from the Middle East conflict, but we see significant upside potential in the AI and semiconductor businesses. Earlier-than-expected shipments of ceramic heat dissipation substrates for CPOs in 2H would be an additional upside factor.

Nichias (5393): We take into account the broadening of AI stock selection. Materials for SPE are growing. In addition, the company has many catalysts, including increased demand for maintenance owing to the restart of nuclear power plants and augmented shareholder returns.

Recruit Holdings (6098): Perceptions of the company changed after full-year results beat the consensus. Results confirmed AI premiumization of unit prices in HR Tech. It is encouraging that management targets a 41% EBITDA margin in FY3/27 and 50% over the medium term.

NEC (6701): The P/Es of software companies have declined globally on concerns about AI disruption, but we believe domestic IT service companies can achieve growth in EPS. The company's five-year medium-term plan targets a 15% CAGR in profit growth, which is ambitious.

Panasonic (6752): In addition to the previously identified catalyst of structural reform, new drivers such as growth in data center-related BBU have emerged.

Renesas Electronics (6723): The company is redefining its data center-related businesses, and its valuation may be given an AI premium in the future. The recovery in automotive semiconductor prices is also a positive factor.

Asics (7936): We believe the company, which has a growth path overseas, is likely to attract investor funds.

Mizuho Financial Group (8411): Bank stocks are (1) a hedge against rising interest rates owing to concerns about higher prices and fiscal deterioration, and (2) could also benefit if the Strait of Hormuz is reopened and a decline in fiscal concerns lead to less government pressure on the BoJ to raise rates. Guidance is conservative for assuming no BoJ rate hikes, and we see significant upside potential for ROE in the medium term.

Sector recommendations

Below is our investment thesis for each sector as strategists. These investment theses are based on analyst views, earnings cycles, valuations and top-down scenarios (investment horizon of three months). We are Overweight on AI-related sectors; the industrial electronics and machinery sectors in light of the favorable environment for hardware and recovery in manufacturing; banks and financial services based on their earnings resilience and a hedge against rising interest rates; and trading companies considering elevated commodity prices and trading opportunities from the reopening of the Strait of Hormuz. The closure of the Strait of Hormuz is a negative for the construction sector, but we take into account its relative earnings stability.

We are Underweight on sectors with heavy labor and logistics costs and weak profit growth amid inflation. The automobile sector could benefit from the reopening of the Strait of Hormuz, but we also consider the possibility of yen appreciation and the lingering tariff burden. We plan to consider raising our weighting once consensus estimates have come down sufficiently. We shift our stance on IT services to Neutral, as we believe EPS growth is possible amid adjustments to P/E multiples.

Exhibit 2: Sector recommendation (over next three months) and key statistics

We recommend a selective stance reflecting earnings cycle, valuation, and top-down macro scenario

Sector	Sector weighting by strategist	1-month return (%)	3-month return (%)
Industrial electronics	OW	7.3	10.5
SPE	OW	-0.8	5.3
Electronic components	OW	28.3	46.9
Nonferrous Metals	OW	-2.1	32.8
Glass & Ceramics Products	OW	12.9	15.6
Machinery	OW	-2.7	-8.2
Banks	OW	11.4	4.3
Financial Bank	OW	4.7	-0.1
Construction	OW	-6.6	-17.6
Wholesale Trade	OW	4.9	-0.2
Retail Trade	N	-0.9	-9.0
Services	N	8.8	15.1
Real Estate	N	-10.6	-19.6
Land Transportation	N	-7.7	-18.1
Air Transportation	N	0.3	-18.5
Internet & Gaming	N	-8.8	-10.1
Information & Communication	N	10.7	24.0
IT & Service	N	-9.4	-11.5
Precision Instruments	N	0.0	5.2
Chemicals • Textiles & Apparel	N	6.2	5.5
Pharmaceutical	N	-3.8	-9.2
Healthcare	N	6.4	6.5
Oil & Coal Products	N	-2.6	-10.0
Auto&Trns Eqp	U/W	-3.6	-17.4
Marine Transportation	U/W	-5.8	6.4
Iron & Steel	U/W	-3.0	-17.3
Pulp & Paper	U/W	-1.7	-11.7
Electric Power & Gas	U/W	-3.4	-12.7
Warehousing & Harbor Transport	U/W	9.6	9.2
Cosmetics/Toiletry	U/W	-2.7	-9.1
Foods	U/W	4.3	-0.2

Source: BofA Global Research, QUICK, Bloomberg **Note:** OW: Overweight; N: Neutral; U/W: Underweight

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Equity strategy (Masashi Akutsu / Tetsuhiro Tokuyama)

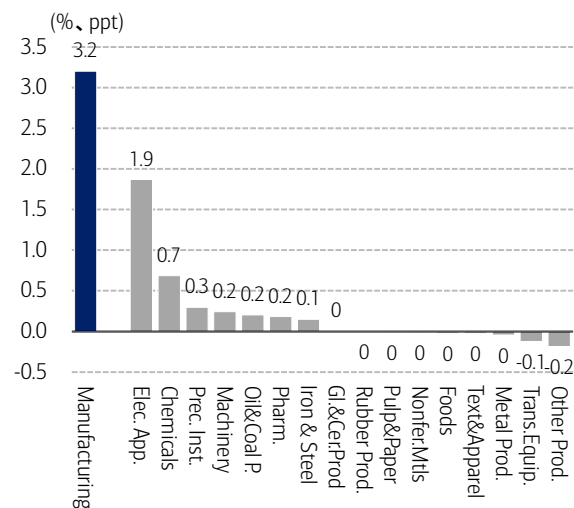
Strong earnings, but guidance is conservative

Japanese equities have surged since April, even as the Strait of Hormuz effectively remains closed. AI stocks were the main driver of the rally. A pullback from the rapid rise is naturally possible, but the increase in share prices is natural. This rally is the result of the global dominance of AI, hardware and real assets, and the superiority of Japan's industrial structure. We believe Japanese equities are headed upward over the medium term.

Here, we summarize recent developments. First, announcements of full-year results, which have run their course, have set new record highs for profits, and guidance also calls for profit growth (see our 18 May [Japan Equity Strategy](#)). Looking at the contribution to guidance by sector, the electrical equipment sector where many AI stocks belong stands out in the manufacturing industry (Exhibit 3). In the non-manufacturing industry, sectors heavily affected by the Strait of Hormuz closure have seen a decline in profits, but profit growth in the banking sector has offset this to a considerable extent (Exhibit 4). Profit growth in AI and banks is supporting overall earnings.

Exhibit 3: Electronics a large contributor to profit growth in manufacturing industry

Manufacturing: FY26 guidance for recurring profit growth by sector



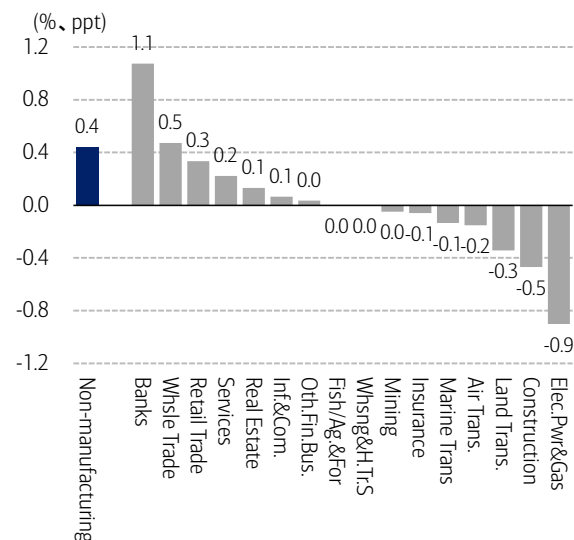
Source: BofA Global Research, QUICK

Note: Universe is TOPIX constituents that end their fiscal years in February or March

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Exhibit 4: Banks a significant contributor to profit growth in non-manufacturing industry

Non-manufacturing: FY26 guidance for recurring profit growth by sector



Source: BofA Global Research, QUICK

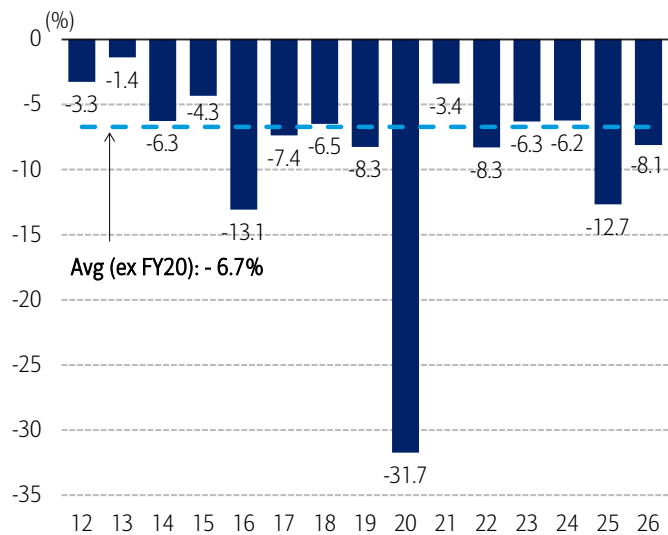
Note: Universe is TOPIX constituents that end their fiscal years in February or March

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On the other hand, guidance is more conservative than usual (Exhibit 5). In years when guidance is conservative, the typical pattern is (1) sluggish share price performance until full-year results, (2) a rebound after results, but then a sideways movement due to a softening in analyst forecasts in response to conservative guidance, and (3) a stepwise rise in share prices after 1Q and 2Q results come out (Exhibit 6). We expect TOPIX to rise another notch and then hold steady, but we see upside potential toward the end of the year. Meanwhile, the Nikkei 225, where AI stocks contribute considerably to the index, may continue to rise.

Exhibit 5: Guidance is 8.1% below consensus

Divergence between guidance and consensus (recurring profit)



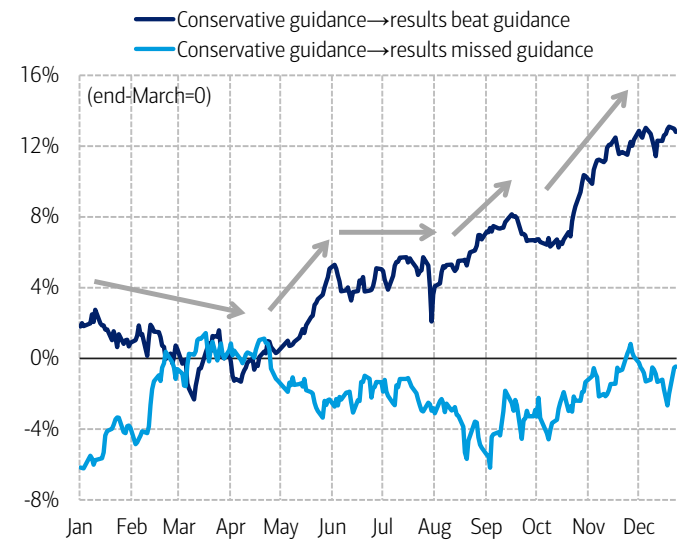
Source: BofA Global Research, QUICK

Note: Universe is TOPIX constituents that end their fiscal years in February or March and have both QUICK consensus estimates (as of end-March) and guidance available

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Exhibit 6: Conservative guidance with upside earnings surprises tends to drive stock-price gains at each quarterly results

TOPIX performance in years of conservative guidance: average returns when actual results beat vs. missed guidance



Source: BofA Global Research, QUICK

Note: The analysis covers years since 2010 in which full-year earnings guidance missed prior expectations by more than 3%. TOPIX performance is averaged for years when actual results exceeded guidance and when they fell short. The sample includes TOPIX March fiscal year-end companies, with recurring profit as the metric. Prior expectations are based on QUICK consensus as of end-March. 2011 is excluded due to the Great East Japan Earthquake.

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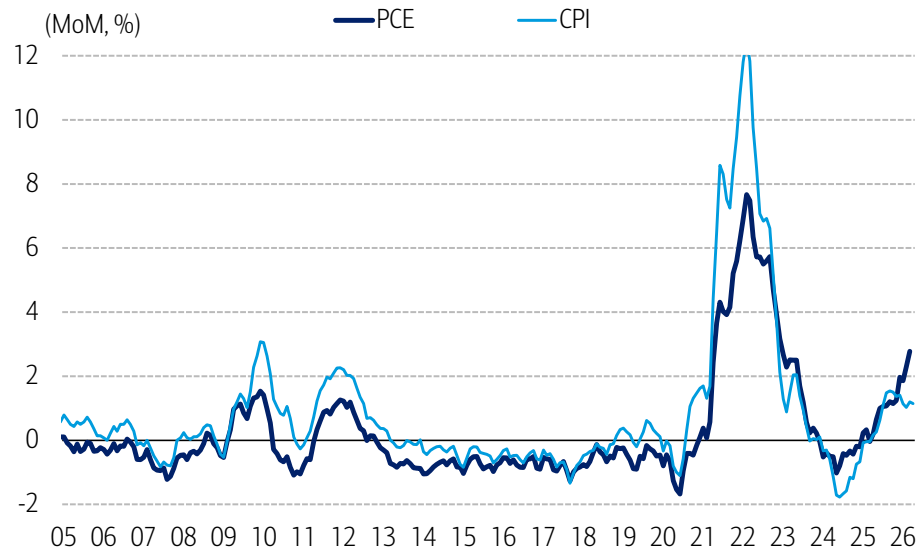
Risk is rising interest rates; positive risk is reopening of Strait of Hormuz

So, what are the risks? Recently, the sharp rise in interest rates has become a threat to the market. AI stocks with strong EPS growth have also shown a vulnerable reaction to rising interest rates (their P/E multiples have declined). In particular, US inflation needs to be monitored. This is because the impact of higher gasoline prices and also the AI investment boom itself has started to push up goods inflation. In fact, it is unusual for the PCE deflator to start rising faster than the CPI. This may be owing to the high weighting of IT equipment in the former (Exhibit 7). If inflation is being caused by supply factors, such as immigration restrictions and rising gasoline prices, it is reasonable for the Fed to keep the policy rate unchanged. If inflation is due to demand factors, including AI investment, a rate hike will be necessary.



Exhibit 7: AI investment drives PCE > CPI

US PCE deflator, CPI core goods



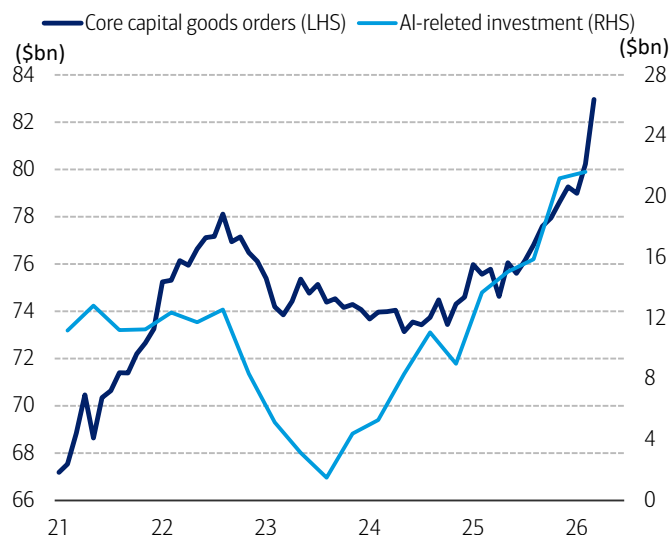
Source: BofA Global Research, LSEG

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This is not a problem that can be quickly fixed. It is too early to fully price in Fed rate hikes, as long-term expectations for inflation, which Fed Chair Kevin Warsh watches closely, are also stable. As long as this is the case, the rise in US interest rates is based on the upside in economic statistics, including the rate of inflation, and it is not at a stage where it will have a significant impact on the market (Exhibit 8). Interest rates rose sharply in March amid weakening economic statistics, but recently the pace of overshooting in economic statistics (and improvement in US corporate EPS) appears to be faster (Exhibit 9).

Exhibit 8: US economic statistics recovering by AI-related demand

US core capital goods orders, AI-related investment



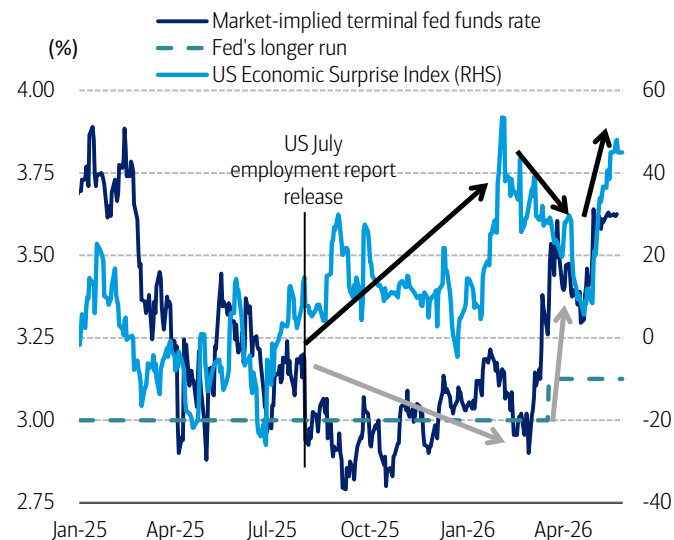
Source: BofA Global Research, LSEG, Bloomberg

Note: AI-related investment is defined as the sum of "Computers & peripheral equipment," "Information processing equipment & software," "Software" within US GDP equipment investment. These categories are selected as those that may include AI-related investment, and do not precisely capture AI-related investment.

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Exhibit 9: Fed rate hike expectations have been priced in, while economic statistics recovering

Market-implied terminal Fed's funds rate, Fed's longer run, and US Economic Surprise Index



Source: BofA Global Research, Bloomberg

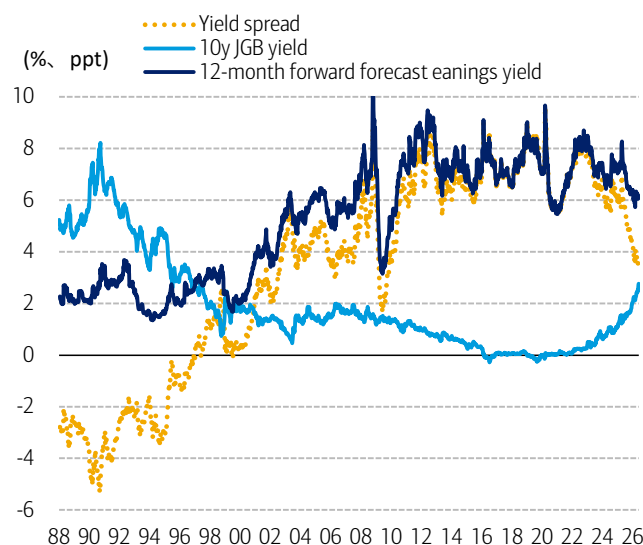
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The rise in domestic interest rates is more rooted in concerns about fiscal deterioration. The pace of interest rate increases has begun to outpace growth in EPS, and if this continues, it will likely affect stocks. However, Prime Minister Takaichi stated that the supplementary budget would be kept within a level that does not increase bond issuance. Although the 10-year JGB yield briefly rose to 2.8%, it is not a major problem because the nominal GDP growth rate has stayed around 4%. The TOPIX earnings yield is also around 6% (Exhibit 10).

It is true that many observers take a negative view of the fact that the 10-year JGB yield has exceeded the dividend yield. However, the high earnings yield is due to accelerating EPS growth under inflation, and companies are also conducting large share buybacks. It is not reasonable to compare only interest rates and dividend yields as in deflationary periods.

Exhibit 10: TOPIX earnings yield around 6%, remaining above 10-yr yield

TOPIX yield spread



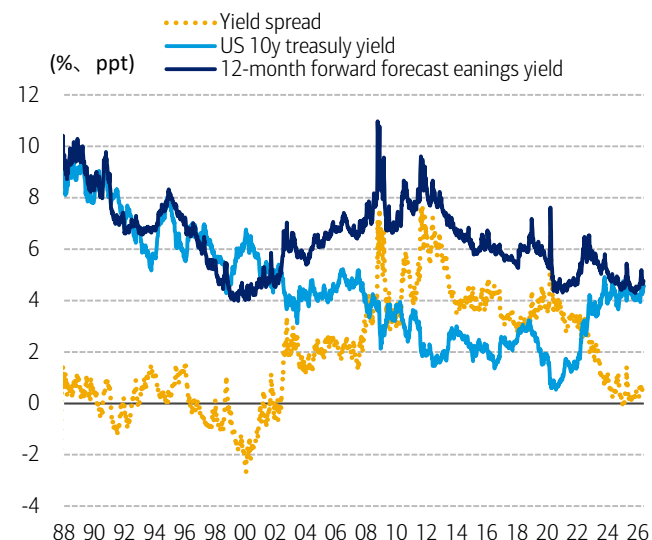
Source: BofA Global Research, LSEG

Note: Yield spread is defined as earnings yield (12-month forward I/B/E/S consensus) minus 10-yr JGB yield

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Exhibit 11: S&P500 earnings yield is on par with 10-yr yield

S&P500 yield spread



Source: BofA Global Research, LSEG

Note: Yield spread is defined as earnings yield (12-month forward I/B/E/S consensus) minus US 10-yr treasury yield

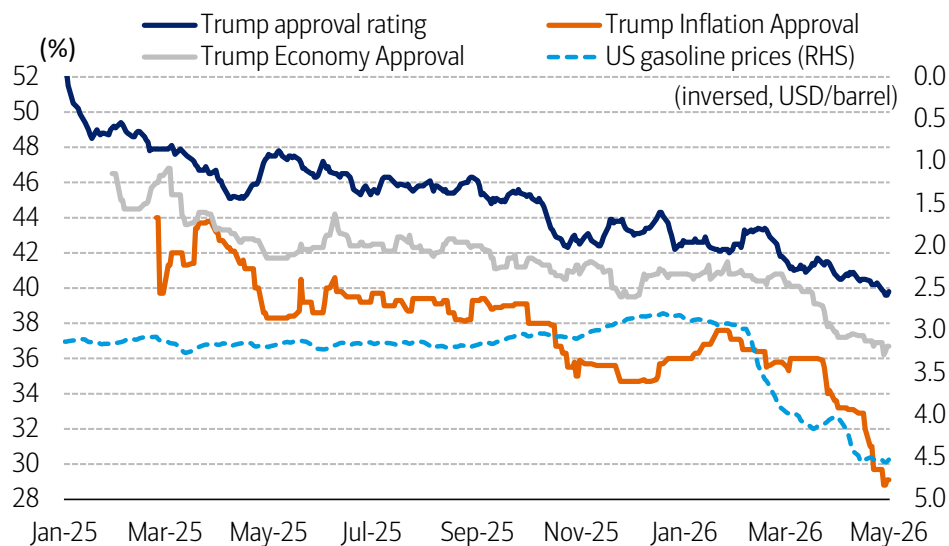
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On the positive risk side, it is time to consider a scenario where the Strait of Hormuz is reopened. US-Iran negotiations have started to progress, and given the recent changes on the Trump side, some form of agreement may be possible. The first reason is the sharp rise in US long-term interest rates. When tariffs were imposed last year, fluctuations in long-term interest rates, rather than stocks, forced President Trump to change his stance. Second, President Trump's approval rating has fallen below 40%, and support for his policies on inflation has fallen below 30% (Exhibit 12). If high gasoline prices persist in the US, which entered the driving season in late May, their impact on the November midterm elections will likely be significant.



Exhibit 12: Trump approval rating declining

Trump approval rating



Source: BofA Global Research, RealClearPolitics

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Reversal in merits of industrial structure: Hardware and physical assets now at an advantage

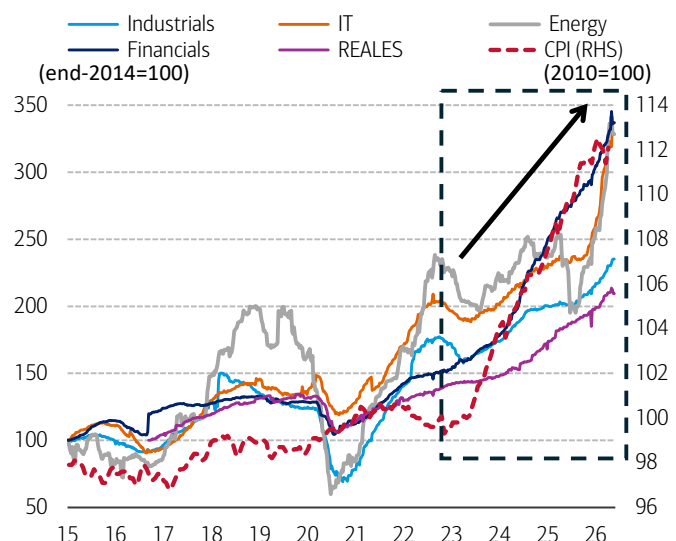
In summary, while there are both positive and negative factors at work in the near-term market, there is room for upside toward the end of the year, considering trends in earnings. It is also important to note that the medium-term attractiveness of Japanese equities is increasing.

The emerging bullish view on Japanese equities is that Japan's industrial structure is becoming increasingly advantageous. Japanese companies provide semiconductor manufacturing equipment (SPE), components and materials essential to the AI supply chain. In addition, supply chains and production facilities are being rebuilt globally to mitigate geopolitical threats, and demand is concentrated in these areas. Compared to the 2010s, when supply chains were optimized to the extreme, the current situation is more inflationary, with prices rising in fields where demand is concentrated.

Hardware and physical assets, which can easily pass on higher costs, are at an advantage, while software and intangible assets, which see little fluctuations in prices and are exposed to the risk of AI disruption, are at a disadvantage. From another perspective, profit growth is more pronounced in B2B than in B2C in an inflationary economy. In fact, since the shift to inflation in Japan, profit growth has strengthened in industrials, IT (which has a lot of AI hardware companies), and sectors that benefit greatly from inflation. Software, intangible assets and consumer-related sectors are less attractive (Exhibit 13, Exhibit 14). Japan has a high weighting of hardware in its industrial structure, and the disadvantages of this, seen in the 2010s, may be reversing.

Exhibit 13: Accelerating earnings growth in production and inflation-related sectors amid an inflationary environment

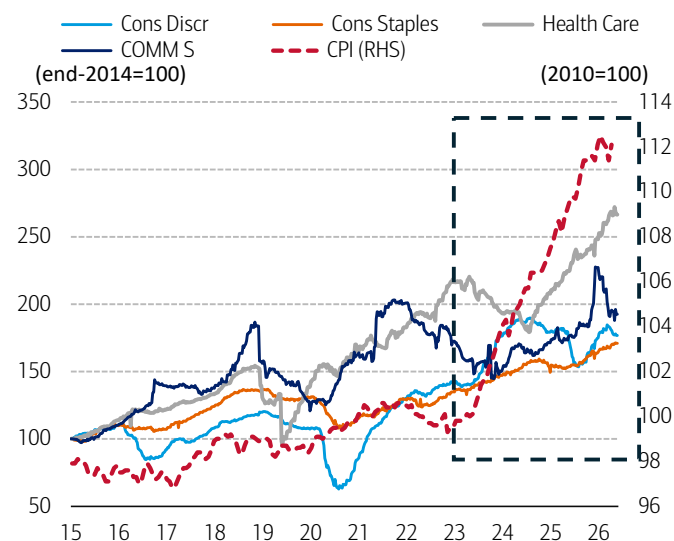
EPS of manufacturing and inflation-related sectors, Core CPI



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Exhibit 14: Earnings in consumer-related and defensive sectors remain weak

EPS of consumer-related and defensive sectors, Core CPI



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Structural changes point to gradual yen appreciation

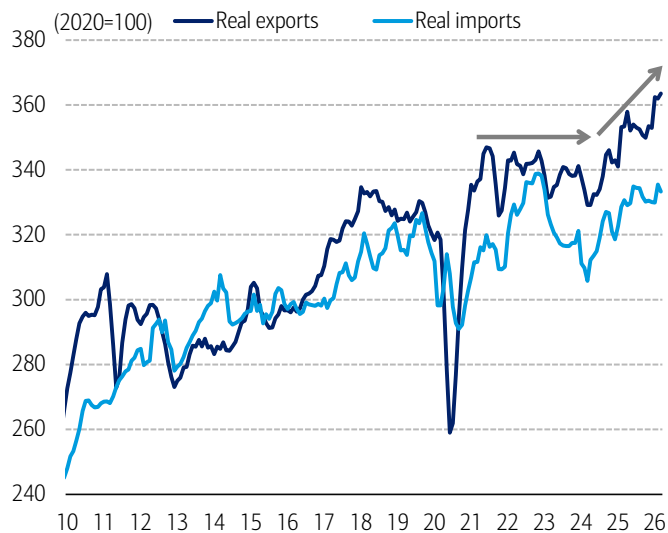
In terms of forex, we believe the aforementioned industrial structure will ultimately lead to a gradual appreciation of the yen. Our forex strategists have revised their medium-term view of yen depreciation to neutral (estimating ¥152/\$ at end-2026 and ¥145/\$ at end-2027). (The following discussion is based on our 19 May [FX Viewpoint](#)). The past supply-demand structure suggested that the yen would depreciate if left alone, but the expansion of exports of AI-related goods has begun to offset Japan's digital deficit (Exhibit 15).

Inward direct investment has also increased in response to changes in the geopolitical landscape, offsetting the persistent increase in outward direct investment (Exhibit 16). Individual investors' purchases of overseas assets have also been a structural factor in yen selling, but interest in Japanese equities is growing (see above report). Ultimately, a Japan trade of buying Japanese equities and buying the yen may materialize.



Exhibit 15: Expanding exports, driven by AI-related goods

Real exports and real imports

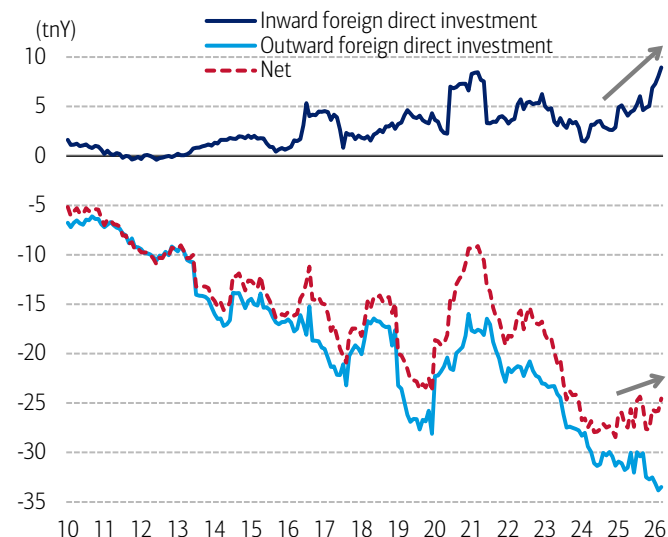


Source: BofA Global Research, INDB

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Exhibit 16: Rising inward foreign direct investment has started to offset the increase in outward foreign direct investment

Inward and outward foreign direct investment



Source: BofA Global Research, INDB

Note: 12-month moving average

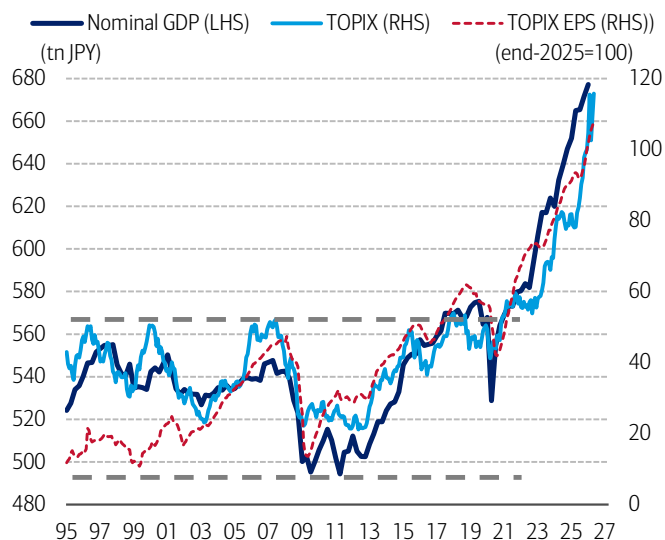
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Structural catalysts remain intact

In addition, the traditional catalysts for Japanese equities remain intact. The first catalyst is the structural shift from a deflationary to an inflationary economy. The rally in Japanese equities so far can largely be explained by the upside potential in nominal growth rates accompanying the shift to inflation (Exhibit 17). The Takaichi administration's policies also prioritize aggressive investment in growth fields and the expansion of macro supply capacity and the nominal economic pie itself.

Exhibit 17: Japan equities rally driven by upside in nominal growth

Nominal GDP, TOPIX, EPS



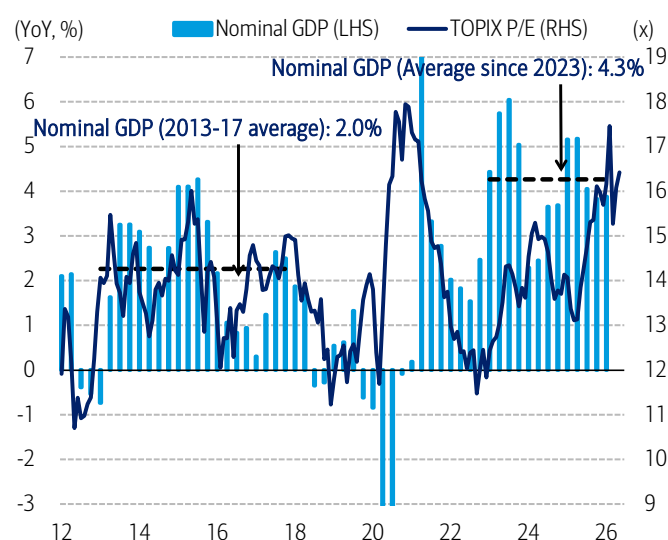
Source: BofA Global Research, LSEG

Note: EPS is based on 12-month forward I/B/E/S consensus forecast

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Exhibit 18: Upside in nominal growth has driven an upward shift in P/E

Nominal GDP growth, TOPIX P/E



Source: BofA Global Research, LSEG

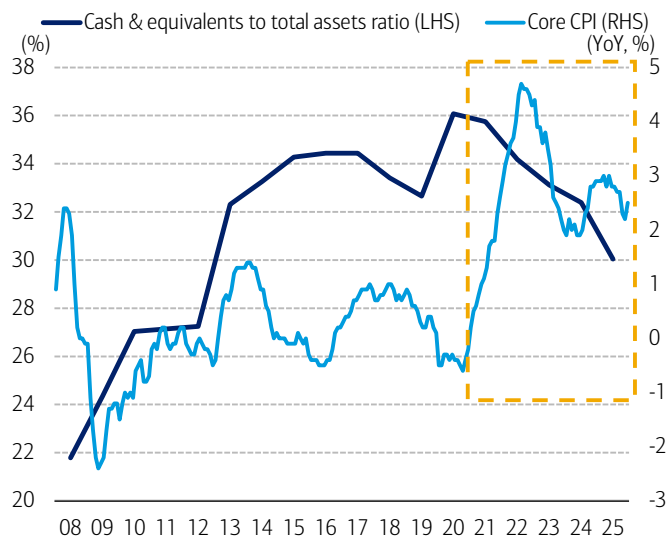
Note: P/E is based on 12-month forward I/B/E/S consensus forecast

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A second catalyst is the acceleration in corporate reforms. Japanese companies have begun to use their vast amounts of cash accumulated during the deflationary period (Exhibit 19). Since the pivot to inflation in 2023, companies with low net cash, i.e., those that are making effective use of their cash, have been rewarded (Exhibit 20). Activist pressure and the revised Corporate Governance Code, which is to be implemented by summer, should support this trend.

Exhibit 19: Corporate cash holdings are negatively correlated with inflation

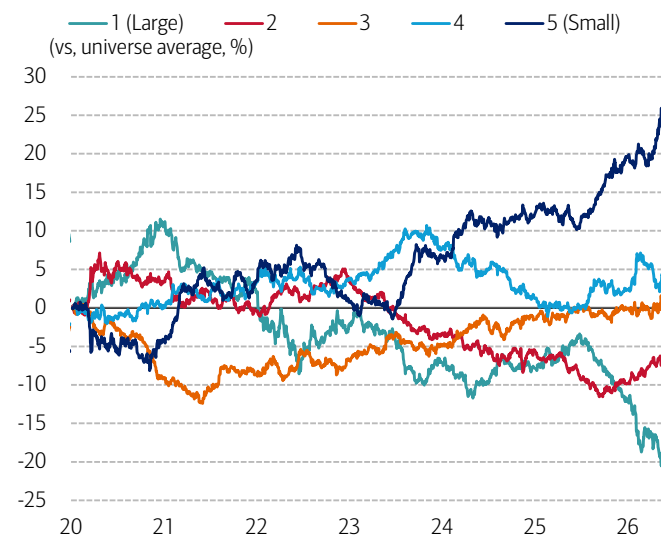
Cash and cash equivalents/ total assets (TOPIX constituents) and core CPI



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Exhibit 20: Clear performance has emerged for companies with lower net cash (i.e., actively utilizing cash)

Relative performance by net cash levels



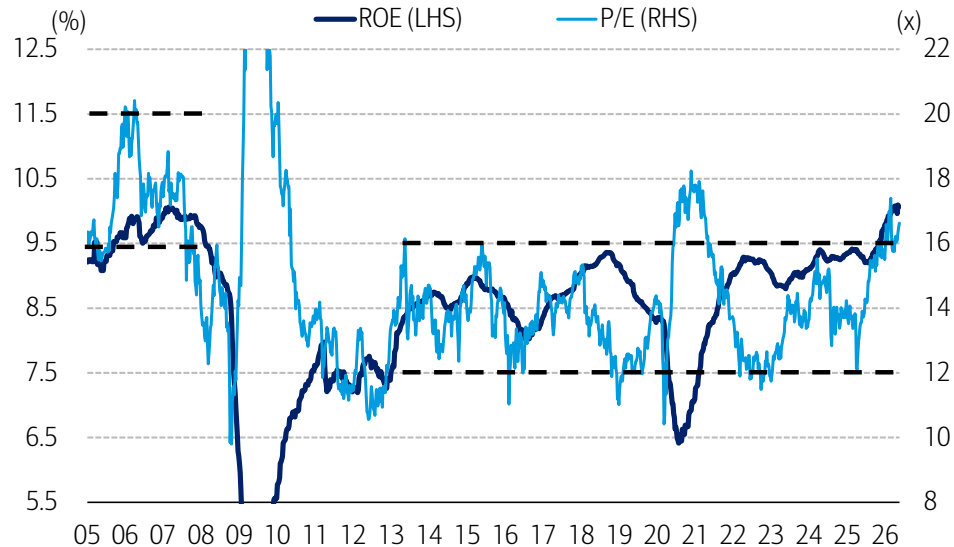
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As a result, TOPIX ROE now exceeds 10% (Exhibit 21). TOPIX P/E has exceeded the previous upper end of its range of 16x, but the trigger was ROE breaking out of its range. This may suggest an upward shift in the P/E range. As we mentioned above, if yen depreciation reverses course, it will contribute to the increase in ROE by curbing growth in foreign currency translation adjustment accounts (Exhibit 22). As a result of the unwinding of cross-shareholdings, increases in unrealized gains on other securities have already been curbed (Exhibit 23).



Exhibit 21: P/E's breakout was triggered by a breakout in ROE

TOPIX ROE, P/E



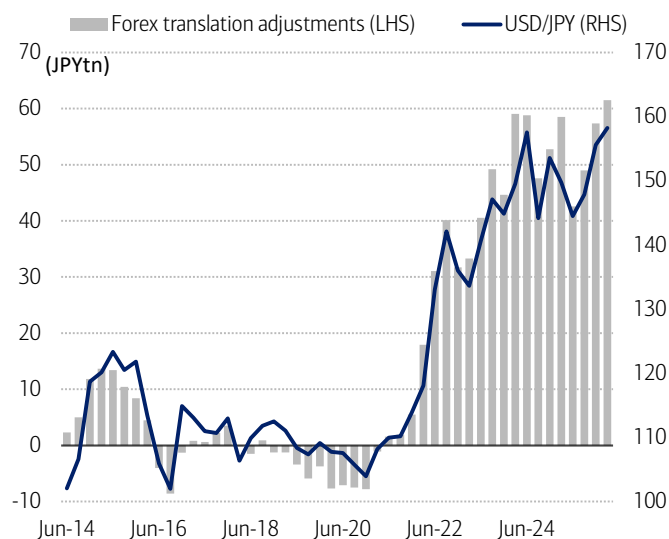
Source: BofA Global Research, LSEG

Note: ROE is based on 12-month forward I/B/E/S consensus forecast

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Exhibit 22: Contained JPY depreciation limits FX translation gains in equity

Forex translation adjustments for TOPIX constituents, USD/JPY



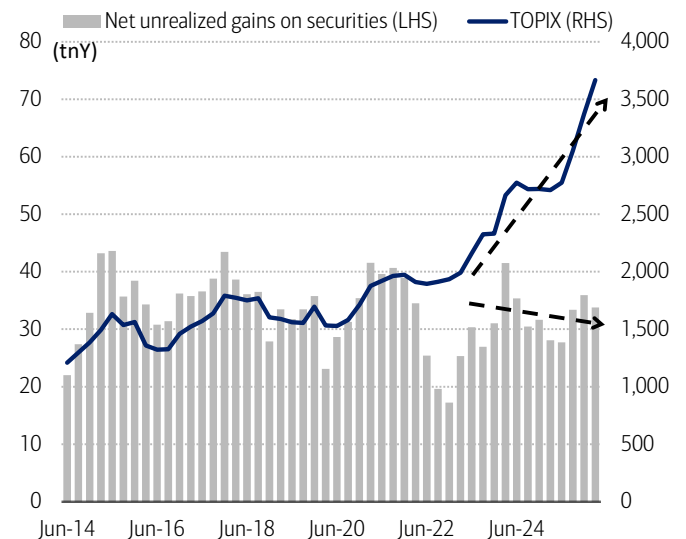
Source: BofA Global Research, QUICK

Note: Foreign currency translation adjustments are aggregated for TOPIX constituents with data available consistently over the past 10 years.

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Exhibit 23: Unwinding of cross-shareholdings has not led to an increase in unrealized gains

Net unrealized gains on securities, TOPIX



Source: BofA Global Research, QUICK

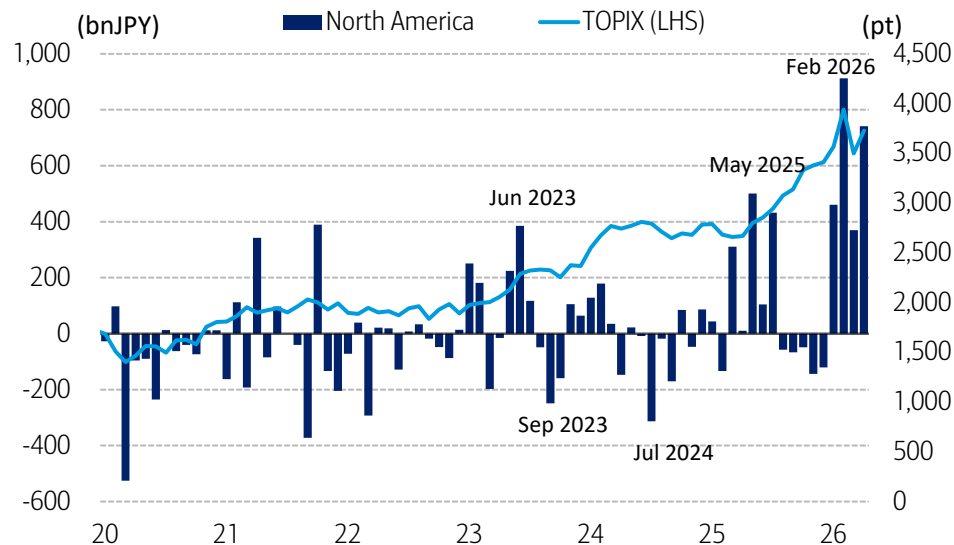
Note: Aggregated for TOPIX constituents with 10-year consistent data

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With these structural changes, foreign investors are accelerating their purchases of Japanese equities. In particular, we note a shift in funds by North American investors, who had previously been the slowest to move (Exhibit 24). We believe European and US investors are still underweight Japanese equities, and that Japanese equities have significant potential upside. Based on the above, we raise our year-end forecasts for Japanese equities (TOPIX: from 4,100 to 4,200, Nikkei 225: from 61,000 to 67,000).

Exhibit 24: Notable shift in flows by North American investors, previously the most sluggish

Cumulative net purchases by North American investors, TOPIX



Source: BofA Global Research, QUICK

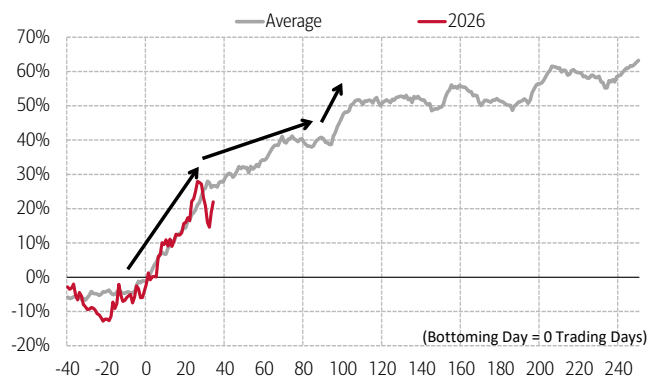
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Initial rally in AI market has passed, but uptrend likely to continue

Finally, we summarize our views on stock selection. We believe it is time to diversify across sectors, while keeping the focus on AI stocks. AI stocks have surged, and while it is difficult to compare AI to the past because it is an unprecedented technology, all AI stocks have high betas. Looking at high-beta stock rallies since 2003, we see these commonalities: (1) a long-term upward trajectory, but (2) an expiration date for the initial rally (Exhibit 25-Exhibit 31). Taking (2) into account, the initial surge in AI stocks may be nearing over.

Exhibit 25: Rallies tend to lose momentum 40 trading days after bottom

Beta factor: Comparison with past rallies



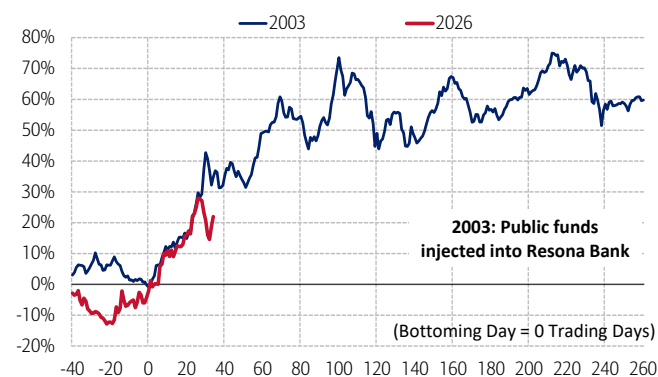
Source: BofA Global Research, QUICK

Note: 1 Comparison of current recovery phase vs periods since 2003 when beta factor rebounded sharply after bottoming out. Same for Exhibits 24-29

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Exhibit 26: 2003: Public funds injected into Resona Bank

Beta factor: Comparison with past rallies



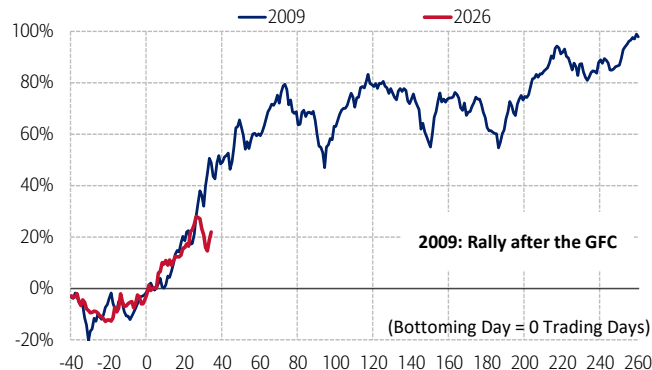
Source: BofA Global Research, QUICK

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Exhibit 27: 2009: Rally after the Global Financial Crisis (GFC)

Beta factor: Comparison with past rallies

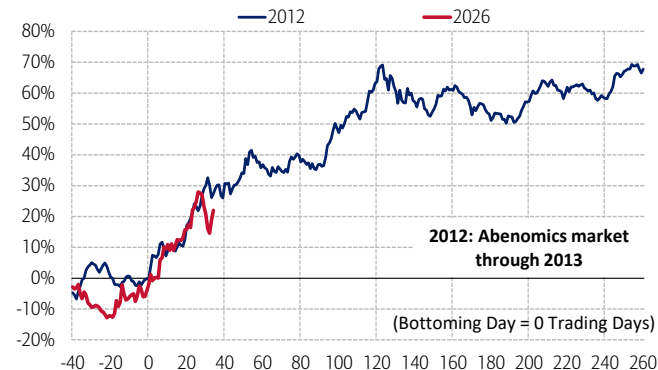


Source: BofA Global Research, QUICK

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Exhibit 28: 2012: Abenomics market through 2013

Beta factor: Comparison with past rallies

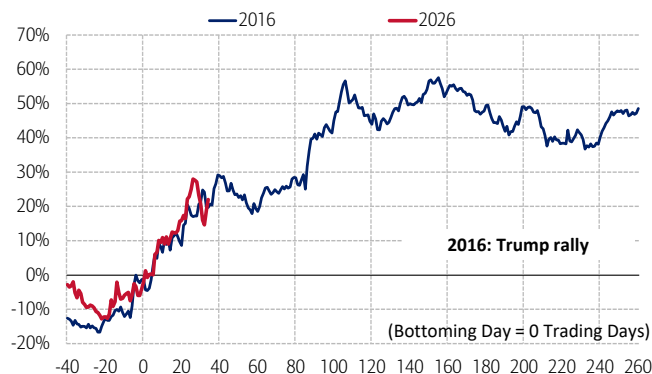


Source: BofA Global Research, QUICK

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Exhibit 29: 2016: Trump rally

Beta factor: Comparison with past rallies

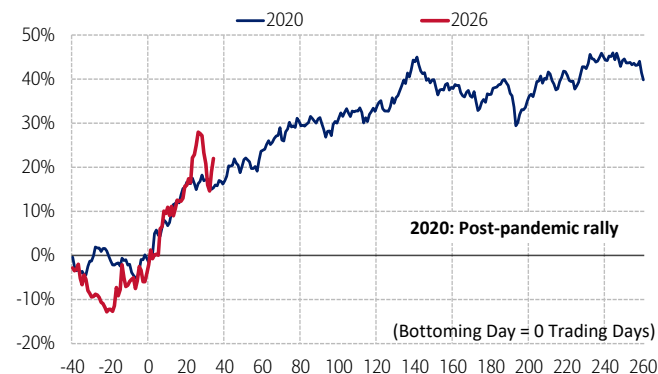


Source: BofA Global Research, QUICK

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Exhibit 30: 2020: Post-pandemic rally

Beta factor: Comparison with past rallies

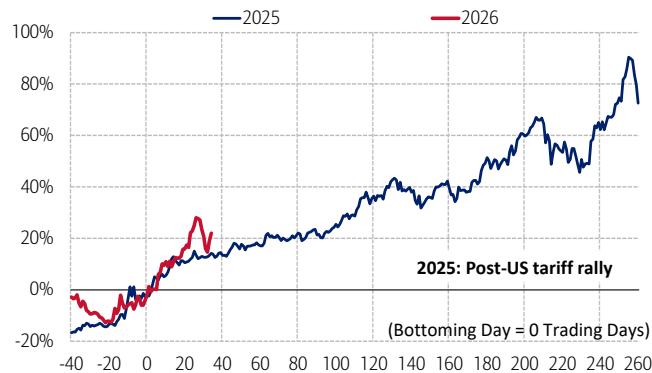


Source: BofA Global Research, QUICK

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Exhibit 31: 2025: Post-US tariff rally

Beta factor: Comparison with past rallies



Source: BofA Global Research, QUICK

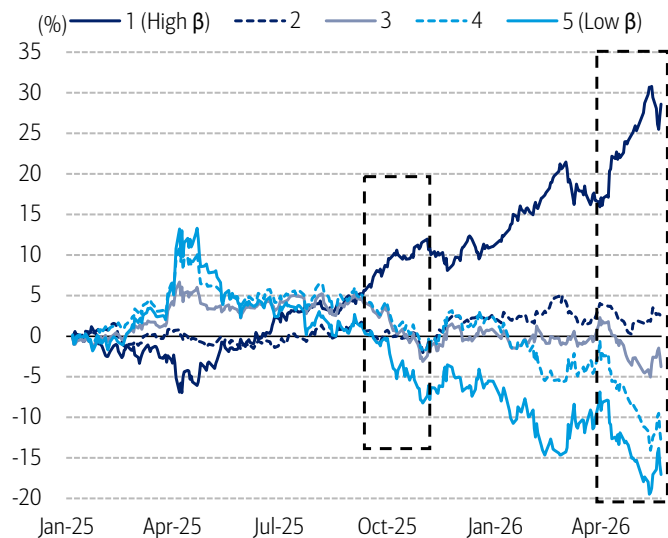
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We cannot rule out a short-term overheating in AI stocks. When we divide stocks into quintiles based on their betas and measure their relative performance, only the highest beta quintile outperforms (Exhibit 32). A similar pattern occurred in September-October 2025, but a return reversal materialized in early November as expectations receded for Fed rate cuts. At that time, the correction ended when the N/T ratio (Nikkei divided by

TOPIX plunged from $+3\sigma$ to $+1\sigma$ above the average (Exhibit 33). This time, the N/T ratio also rose to $+3\sigma$ above the average at one point, and if a similar correction occurs, the correction is likely to end at around 15.5x, which is $+1\sigma$ above the average N/T ratio.

Exhibit 32: Only the highest-beta stocks outperformed

Relative returns by beta quintile



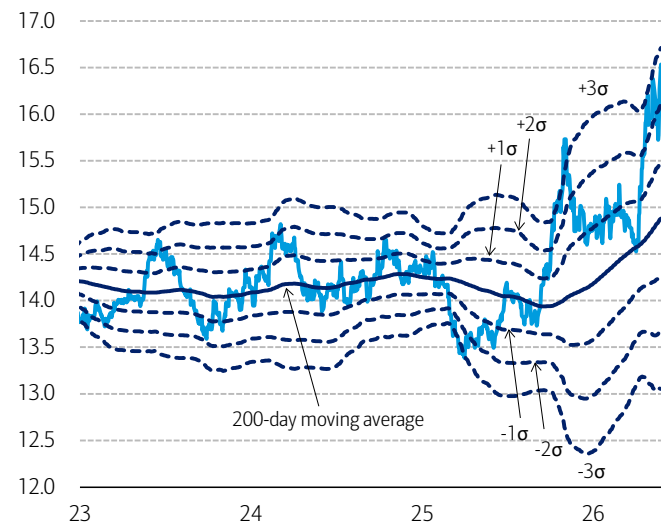
Source: BofA Global Research, QUICK

Note: TOPIX constituents were sorted into five beta quintiles and calculated relative return to TOPIX

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Exhibit 33: ratio diverges by 3σ from the mean, as in Nov last year

N/T ratio



Source: BofA Global Research, Bloomberg

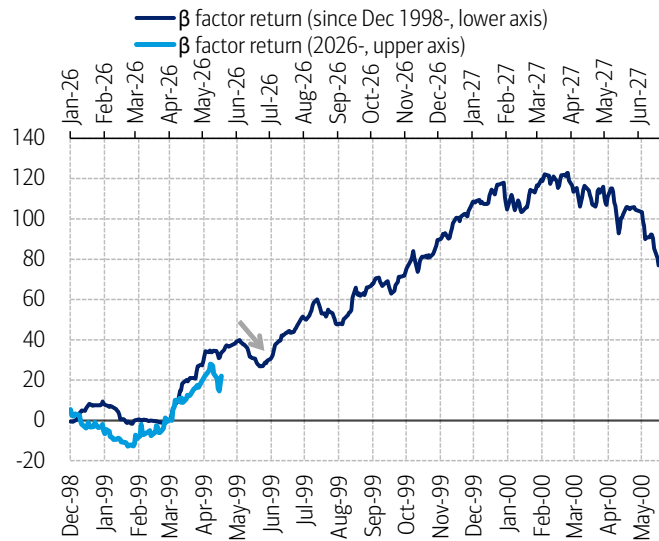
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On the other hand, the AI market itself is likely to last for a long time. Compared to the dot-com bubble around 2000, the market is still only in the early stages of an upward trend, even if it is likely to stall in the near term (Exhibit 34, Exhibit 35). The recovery in the manufacturing industry since the Fed cut rates last year is similar to the developments after the 1998 rate cut, which was one of the contributing factors to the dot-com bubble (Exhibit 36). Back then, the Fed's consecutive rate hikes triggered the collapse of the bubble, but no rate hikes have been implemented yet (Exhibit 37). In this context, we believe that sector diversification is necessary, but exiting AI stocks prematurely should also be avoided.



Exhibit 34: Compared with dot-com bubble, the beta rally appears to be in an early stage

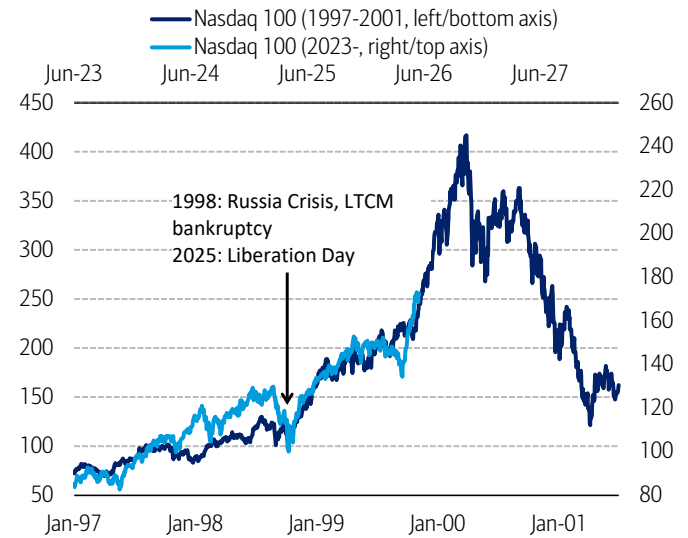
Beta factor: comparison with dot-com bubble



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Exhibit 35: Rally in tech stocks is reminiscent of the dot-com bubble

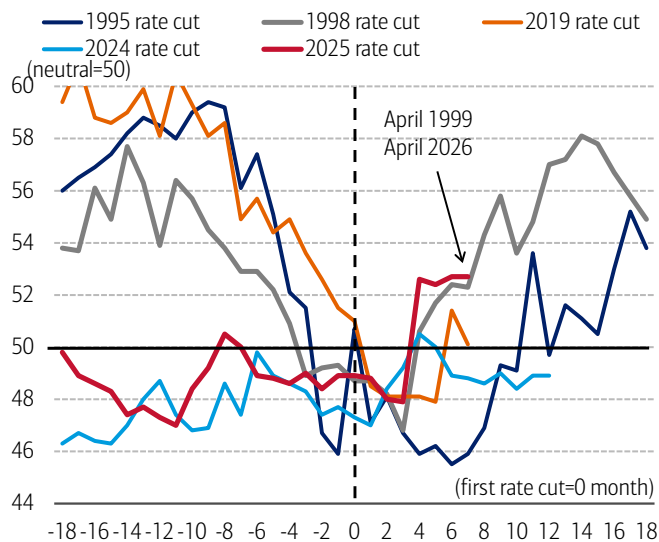
Nasdaq 100: comparison with dot-com bubble



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Exhibit 36: Manufacturing recovery mirrors the post-1998 rate cut trend

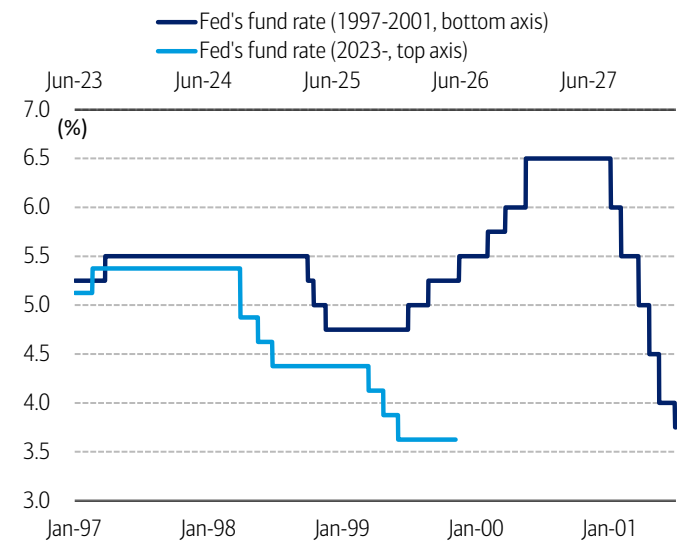
ISM manufacturing index around Fed rate cuts: a soft-landing pattern in the US



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Exhibit 37: Fed has not even begun to raise rates yet

FF rate: comparison with dot-com bubble



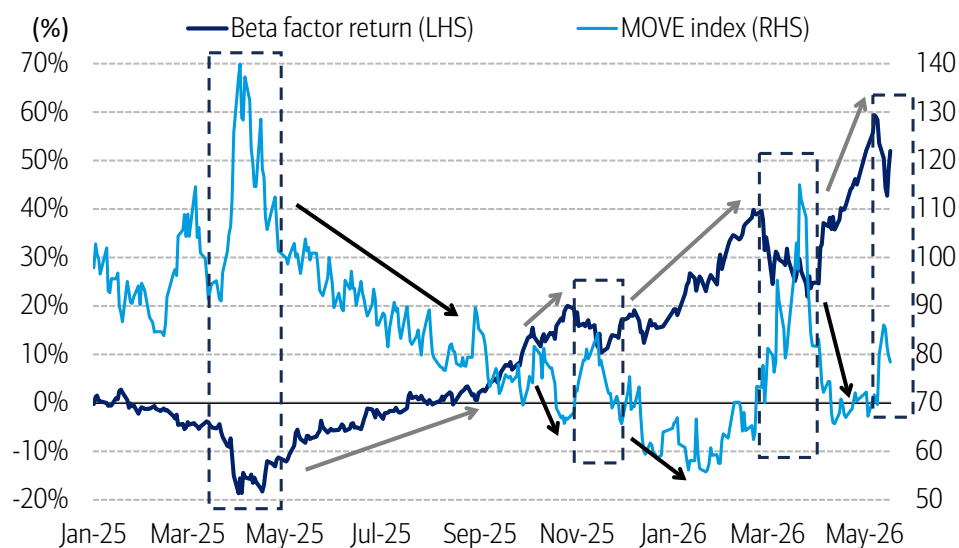
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Highlighted Sectors

What would happen if the Strait of Hormuz were reopened? First, in a phase where only expectations rise, high-beta AI stocks are likely to rise reflexively. High-beta stocks are most likely to react when oil prices, market volatility and interest rates fall (Exhibit 38).

Exhibit 38: Beta outperforms during periods of declining interest rate volatility

Cumulative beta factor return, MOVE index



Source: BofA Global Research, QUICK

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If the Strait of Hormuz is actually reopened, the impact on fundamentals must also be considered. A fall in raw material prices are likely to lead to a sharp rise in sectors such as transportation equipment, rubber products, chemicals and steel. However, most of these sectors were not favored by investors, even before the closure of the Strait of Hormuz. We believe that sectors that were favored before the closure of the Strait of Hormuz should be included in portfolios.

Specifically, these sectors are (1) construction, which benefits from falling material prices; (2) real estate, which benefits from a decline in the need for gasoline subsidies and the loss of the fiscal premium (decline in interest rates); (3) Takaichi stocks, including defense, if the government's financial resources and policy priorities shift from Hormuz measures to growth strategies; and (4) banks, if reduced fiscal concerns lead to less government pressure on the BoJ to raise interest rates.

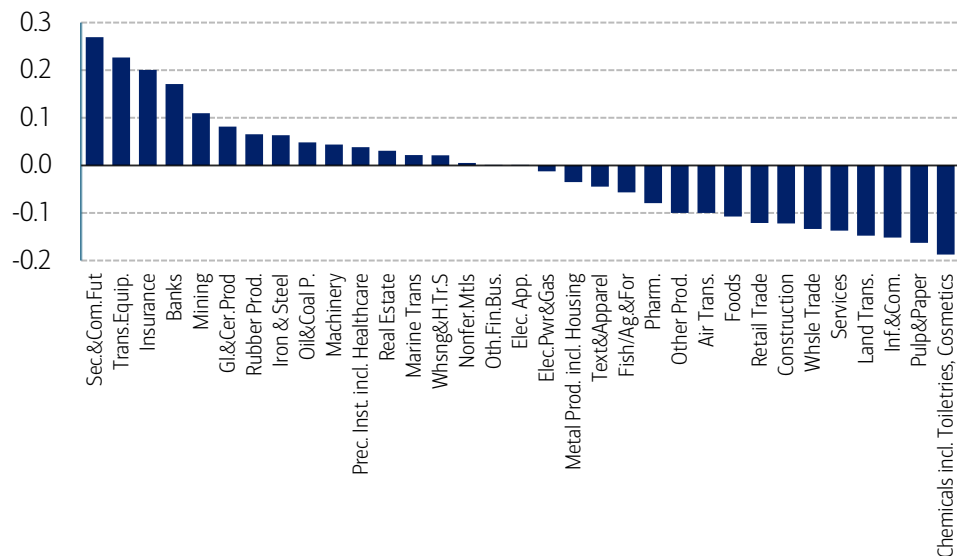
Among these, banks are an effective hedge against rising interest rates, as their full-year guidance is stronger than expected. We also maintain our Overweight stances on machinery, energy infrastructure-related industrial machinery, and trading companies (which benefit from rising resource prices and increased trading opportunities if the Strait of Hormuz is reopened), which we have favored in the past.

Looking ahead, if the yen gradually strengthens after the reopening of the Strait of Hormuz, as we mentioned above, stock selection may also broaden to consumer-related sectors such as railroads, airlines, retail, services, food, and cosmetics/toiletries (Exhibit 39). If inflation slows, defensive sectors such as pharmaceuticals and healthcare may also see their undervaluation corrected (Exhibit 40).

At this stage, stocks with global exposure and unique growth potential in these sectors rank highly in our order of preference. The reopening of the Strait of Hormuz may provide an opportunity to reassess stocks with significant domestic exposure. IT service companies, which have seen a significant adjustment in their P/E multiples, are unlikely to return to their previous levels, but we see upside potential in line with EPS recoveries after quarterly earnings are confirmed.

Exhibit 39: Consumer sectors show a negative correlation with USD/JPY

Correlation between sector relative performance and USD/JPY (since 2010)

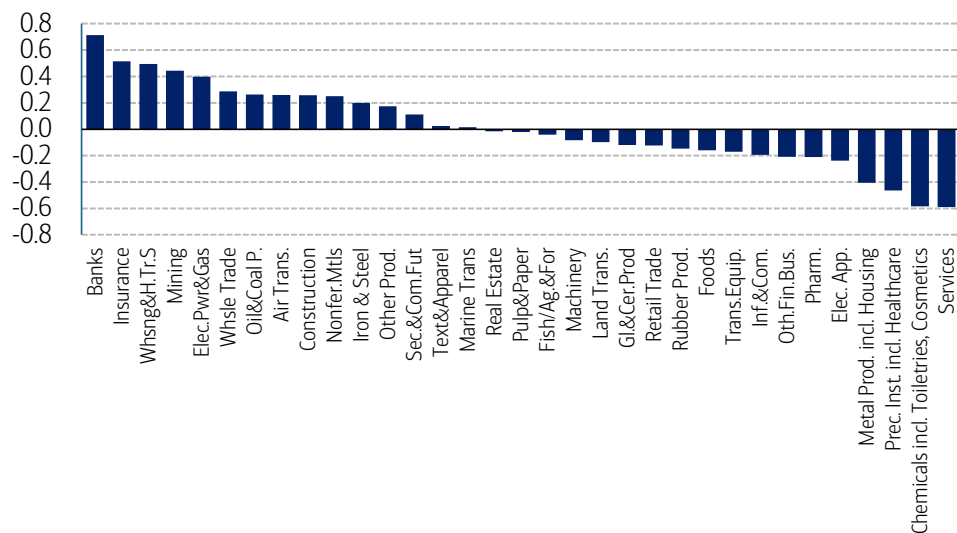


Source: BofA Global Research, QUICK

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Exhibit 40: Sectors with weaker pricing power show a negative correlation with core CPI

Correlation between sector relative performance and core CPI (since 2010)



Source: BofA Global Research, QUICK

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From a stock screening perspective, we have traditionally favored high-beta/high-earnings stocks (Exhibit 41). This includes many AI stocks. From a sector diversification perspective, stocks with solid full-year results, as shown in Exhibit 42, may also be a useful reference. Many share buybacks were announced along with the full-year results, which will support share prices once they enter the execution stage. Exhibit 43 lists the stocks that announced share buybacks, with its announced amount against to market cap of at least 0.5%.

Exhibit 41: High-beta stocks with improving earnings forecasts

Recurring profit revision above 0%, ROE above 7.5%, financial leverage below 3x, beta above 1

Code	Name	Sector	Market cap (bnJPY)	RP revision (%, FY1, vs.3m prior)	ROE (FY1, %)	P/E (FY1, x)	P/B (x)	YTD relative Return (%, vs.TOPIX)
285A	KIOXIA HD	Elec. App.	30,234	158.6	159.1	7.2	21.6	416.1
5706	MITSUI KINZOKU	Nonfer.Mtls	2,680	22.8	19.8	30.3	6.4	150.5
4062	IBIDEN	Elec. App.	5,036	9.3	11.1	80.0	9.0	151.4
5016	JX ADVANCED METALS	Nonfer.Mtls	3,647	24.9	23.7	22.0	4.4	86.2
5801	FURUKAWA ELECTRIC	Nonfer.Mtls	3,482	36.8	16.8	53.9	8.0	378.1
6787	MEIKO ELECTRONICS	Elec. App.	1,073	5.9	18.2	42.9	7.5	259.8
5802	SUMITOMO ELECTRIC INDUSTRIES	Nonfer.Mtls	8,519	9.7	12.2	26.9	3.0	55.5
5713	SUMITOMO METAL MINING	Nonfer.Mtls	2,673	28.8	9.3	14.0	1.2	30.4
6506	YASKAWA ELECTRIC	Elec. App.	1,786	9.5	10.1	35.9	3.6	26.6
3110	NITTO BOSEKI	Gl.&Cer.Prod	831	17.6	12.5	37.8	4.6	101.7
6857	ADVANTEST	Elec. App.	19,577	8.8	53.7	40.2	24.6	22.0
6871	MICRONICS JAPAN	Elec. App.	602	44.4	26.9	31.2	9.1	99.2
4186	TOKYO OHKA KOGYO	Chemicals	1,351	9.4	16.4	34.4	5.6	67.9
6976	TAIYO YUDEN	Elec. App.	1,061	14.7	8.2	41.1	3.1	115.9
6368	ORGANO	Machinery	764	0.5	20.8	24.5	5.3	13.0
6268	NABTESCO	Machinery	627	14.6	8.1	29.0	2.2	27.5
6723	RENASAS ELECTRONICS	Elec. App.	7,080	23.9	12.2	21.3	2.9	62.7
6146	DISCO	Machinery	7,122	2.7	27.3	42.0	12.1	22.1
6920	LASERTEC	Elec. App.	3,589	3.2	33.0	47.6	17.1	14.2
6361	EBARA	Machinery	2,303	16.7	18.3	23.5	4.4	22.5
6954	FANUC	Elec. App.	7,532	5.9	10.5	38.3	4.0	11.8
6504	FUJI ELECTRIC	Elec. App.	2,289	2.6	13.1	22.1	2.7	15.2
6525	KOKUSAI ELECTRIC	Elec. App.	1,668	6.6	20.1	36.1	7.6	13.3
6323	RORZE	Machinery	662	12.2	20.2	22.5	4.7	52.7
5714	DOWA HD	Nonfer.Mtls	630	20.6	13.0	12.9	1.3	22.6
6981	MURATA MANUFACTURING	Elec. App.	13,205	7.9	11.3	42.2	4.9	93.1
7729	TOKYO SEIMITSU	Prec. Inst.	693	4.2	14.2	24.7	3.6	33.5
6503	mitsubishi electric	Elec. App.	12,825	5.3	11.0	26.1	2.8	18.2
6273	SMC	Machinery	4,137	5.6	8.5	22.9	2.0	4.7
1801	TAISEI	Construction	2,210	4.9	16.4	14.2	2.2	-22.9
6134	FUJI	Machinery	742	18.9	12.2	24.7	3.2	94.1
8015	TOYOTA TSUSHO	Whsle Trade	7,234	1.6	14.4	17.6	2.2	15.0
6481	THK	Machinery	849	33.1	11.3	29.2	3.2	63.7
1812	KAJIMA	Construction	2,956	3.7	12.4	16.8	2.1	-18.4
7735	SCREEN HD	Elec. App.	2,047	10.6	22.3	18.0	4.2	26.6
6762	TDK	Elec. App.	6,106	0.2	10.2	27.5	2.8	27.9
6479	MINEBEA MITSUMI	Elec. App.	1,656	3.3	9.7	19.0	1.8	9.2
8035	TOKYO ELECTRON	Elec. App.	22,840	12.9	31.1	32.3	11.0	28.0
6754	ANRITSU	Elec. App.	607	11.0	10.9	41.5	4.6	84.9
8002	MARUBENI	Whsle Trade	8,844	3.7	13.6	14.7	2.0	8.1
5101	YOKOHAMA RUBBER	Rubber Prod.	1,058	3.7	10.6	9.5	1.0	-8.5
7011	MITSUBISHI HEAVY INDUSTRIES	Machinery	13,353	3.5	13.1	32.9	4.1	-11.1
1803	SHIMIZU	Construction	1,854	19.1	14.8	12.8	1.9	-17.3
9962	MISUMI GROUP	Whsle Trade	920	4.5	10.0	23.6	2.4	17.7
6326	KUBOTA	Machinery	3,077	5.6	8.1	14.0	1.1	7.7
6370	KURITA WATER INDUSTRIES	Machinery	995	2.3	12.1	23.7	2.9	20.7
5333	NGK	Gl.&Cer.Prod	1,666	6.0	10.4	19.9	2.0	55.9
6856	HORIBA	Elec. App.	1,052	4.4	12.1	23.8	3.0	41.9
3407	ASAHI KASEI	Chemicals	2,334	3.2	8.6	13.8	1.1	8.9
6752	PANASONIC HD	Elec. App.	8,397	2.0	8.8	18.8	1.6	54.9
5020	ENEOS HD	Oil&Coal P.	3,539	17.2	9.2	11.1	0.9	3.9
9412	SKY PERFECT JSAT	Inf.&Com.	1,225	2.7	9.0	44.7	4.0	92.2
8031	MITSUI	Whsle Trade	16,220	10.5	11.7	16.3	1.8	7.8
8058	MITSUBISHI	Whsle Trade	20,078	21.2	11.0	19.0	2.0	36.7
5393	NICHIAS	Gl.&Cer.Prod	636	8.1	13.8	19.5	2.7	33.2
1802	OBAYASHI	Construction	2,244	11.3	13.0	13.8	1.7	-14.9
6861	KEYENCE	Elec. App.	18,717	5.9	14.0	37.0	5.4	21.6
6674	GS YUASA	Elec. App.	606	16.7	11.8	14.3	1.4	46.8

Source: BofA Global Research, QUICK

Note: Screened from TOPIX universe using following criteria: (1) market cap above ¥600bn; (2) Recurring profit revision (FY1) above 0%; (3) ROE (FY1) above 7.5%; (4) financial leverage below 3x; (5) beta (180-day) above 1. Forecasts are QUICK consensus. Sorted in descending order by beta. This is a screen and not a recommended list either individually or as a group of stocks and options. Investors should consider the fundamentals of the companies and their own individual circumstances / objectives before making any investment decision.

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Exhibit 42: Stocks with solid full-year results

Stocks with 4Q RP that exceeded prior consensus by 5% or more and guidance that is at least -5.5% below consensus

Code	Name	Sector	Market cap (bnJPY)	4Q RP (%, vs. consensus)	FY26 Company forecast RP (%, vs. consensus)	ROE (%, FY26)	YTD relative return (%, vs. TOPIX)
6857	ADVANTEST	Elec. App.	19,651	56.8	-1.6	53.7	22.5
6981	MURATA MANUFACTURING	Elec. App.	13,996	19.6	0.2	11.3	105.5
7011	mitsubishi heavy industries	Machinery	13,390	31.2	-5.0	13.1	-10.8
6503	MITSUBISHI ELECTRIC	Elec. App.	13,315	24.4	0.5	11.0	23.2
7182	JAPAN POST BANK	Banks	11,100	14.0	13.0	6.7	26.3
5802	SUMITOMO ELECTRIC INDUSTRIES	Nonfer.Mtls	9,384	36.4	2.2	12.2	72.7
6954	FANUC	Elec. App.	8,030	13.8	1.4	10.5	20.2
6367	DAIKIN INDUSTRIES	Machinery	7,054	22.3	-4.1	9.5	5.7
6762	TDK	Elec. App.	6,551	10.9	-2.3	10.2	38.2
8750	DAIICHI LIFE GROUP	Insurance	5,978	27.2	16.6	12.4	12.4
6971	KYOCERA	Elec. App.	4,527	42.8	3.9	3.8	22.3
6273	SMC	Machinery	4,233	45.3	-0.5	8.5	7.5
4901	FUJIFILM HOLDINGS	Chemicals	3,957	14.1	1.2	7.6	-19.1
5801	FURUKAWA ELECTRIC	Nonfer.Mtls	3,791	44.9	24.0	16.8	421.8
5020	ENEOS HOLDINGS	Oil&Coal P.	3,519	80.1	3.2	9.2	3.3
7013	IHI	Machinery	2,989	31.4	21.8	22.0	-13.9
9735	SECOM	Services	2,966	10.9	-4.1	8.2	-0.1
7012	KAWASAKI HEAVY INDUSTRIES	Trans.Equip.	2,494	55.2	-2.3	12.7	28.9
9532	OSAKA GAS	Elec.Pwr&Gas	2,248	5.0	2.1	8.4	-10.1
9101	NIPPON YUSEN	Marine Trans	2,204	55.5	-2.7	6.5	-8.0
9531	TOKYO GAS	Elec.Pwr&Gas	2,185	35.9	3.8	7.3	-9.1
1801	TAISEI	Construction	2,183	6.1	0.9	16.4	-24.0
7733	OLYMPUS	Prec. Inst.	2,104	219.7	-1.8	11.6	-19.0
4684	OBIC	Inf.&Com.	2,062	12.1	3.4	15.8	-30.1
7735	SCREEN HOLDINGS	Elec. App.	2,054	8.3	-2.4	22.3	27.1
5334	NITERRA	Gl.&Cer.Prod	1,923	159.0	-4.8	14.3	25.8
1803	SHIMIZU	Construction	1,826	15.1	16.5	14.8	-18.7
6479	MINEBEA MITSUMI	Elec. App.	1,705	111.8	-0.9	9.7	12.9
9435	HIKARI TSUSHIN	Inf.&Com.	1,654	104.2	3.8	10.2	-28.2
9107	KAWASAKI KISEN	Marine Trans	1,605	64.8	-1.5	5.9	0.9
6586	MAKITA	Machinery	1,601	19.9	0.7	8.2	6.5
9843	NITORI HOLDINGS	Retail Trade	1,469	17.0	5.7	8.5	-20.5
1944	KINDEN	Construction	1,359	8.4	-2.8	11.3	-14.1
3099	isetan mitsukoshi holdings	Retail Trade	1,215	28.8	-2.5	9.7	31.1
6787	MEIKO ELECTRONICS	Elec. App.	1,165	33.2	17.9	18.2	291.5
7701	SHIMADZU	Prec. Inst.	1,101	63.5	-4.9	10.3	-24.9
9962	MISUMI GROUP	Whsle Trade	963	7.5	0.2	9.8	23.8
9143	SG HOLDINGS	Land Trans.	951	11.5	0.6	11.0	-10.6
9024	SEIBU HOLDINGS	Land Trans.	911	158.1	-4.1	6.3	-45.0
3289	TOKYU FUDOSAN HOLDINGS	Real Estate	910	9.7	7.7	10.6	-25.8
6845	AZBIL	Elec. App.	871	16.5	0.1	14.9	-1.1
7276	KOITO MFG.	Elec. App.	852	20.7	3.6	7.3	5.6
6806	HIROSE ELECTRIC	Elec. App.	848	20.0	-3.9	9.4	23.2
3231	NOMURA REAL ESTATE HOLDINGS	Real Estate	828	22.6	-1.3	10.6	-20.9
9508	KYUSHU ELECTRIC POWER	Elec.Pwr&Gas	792	37.6	-0.2	10.5	-14.7
5406	KOBE STEEL	Iron & Steel	771	55.3	-3.2	6.6	-20.2
6368	ORGANO	Machinery	762	21.8	-4.0	20.8	12.6
9513	ELECTRIC POWER DEVELOPMENT	Elec.Pwr&Gas	729	3001.8	29.0	4.8	16.5
4980	DEXERIALS	Chemicals	715	21.0	-4.4	27.1	41.5
7729	TOKYO SEIMITSU	Prec. Inst.	715	15.1	1.4	14.2	38.1
5076	INFRONEER HOLDINGS	Construction	690	569.3	18.4	9.1	-4.7
6323	RORZE	Machinery	686	13.8	8.9	20.2	58.7
2670	ABC-MART	Retail Trade	664	16.7	0.5	11.6	-13.2
5711	MITSUBISHI MATERIALS	Nonfer.Mtls	662	100.3	-5.5	8.3	23.1
5393	NICHIAS	Gl.&Cer.Prod	656	16.5	2.1	13.8	37.9
2327	NS SOLUTIONS	Inf.&Com.	654	7.4	1.7	11.2	-33.3
5714	DOWA HOLDINGS	Nonfer.Mtls	644	34.7	17.1	13.0	25.6
6754	ANRITSU	Elec. App.	625	9.1	10.3	10.9	90.8
6674	GS YUASA	Elec. App.	618	27.6	-3.6	11.8	49.8
8233	TAKASHIMAYA	Retail Trade	606	9.3	3.2	8.5	6.9

Source: BofA Global Research, QUICK

Note: Screened from TOPIX universe using following criteria: (1) market cap above ¥600bn; (2) 4Q RP vs. prior consensus estimates above 5%; (3) FY26 CoE RP vs. prior consensus estimates above -5.5%. Prior consensus forecasts are QUICK consensus as of end-Mar. Sorted in descending order by market cap. This is a screen and not a recommended list either individually or as a group of stocks and options. Investors should consider the fundamentals of the companies and their own individual circumstances / objectives before making any investment decision.

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Exhibit 43: Major share buyback announced stocks

Stocks with share buyback amount/ market cap above 0.5%, FY1 RP at least -1%

Code	Name	Sector	Market cap (bnY, A)	Announced buyback amount (bnY, B)	B/A (%)	FY1 P/E (x)	FY1 ROE (%)	FY1 RP revision (%)	Relative YTD return (vs. TOPIX, %)
8015	TOYOTA TSUSHO	Whsle Trade	7,234	663.7	9.2	17.6	14.4	1.6	15.0
5016	JX ADVANCED METALS	Nonfer.Mtls	3,647	250.0	6.9	22.0	23.7	24.9	86.2
6113	AMADA	Machinery	840	50.0	6.0	19.9	6.9	5.4	28.7
7912	DAI NIPPON PRINTING	Other Prod.	1,204	50.0	4.2	12.7	8.1	-0.5	-12.5
7911	TOPPAN HD	Other Prod.	1,309	50.0	3.8	19.2	5.2	1.5	-18.9
9401	TBS HD	Inf.&Com.	978	36.0	3.7	18.9	4.7	-1.0	-11.9
8591	ORIX	Oth.Fin.Bus.	7,016	250.0	3.6	13.9	11.0	16.2	22.9
9532	OSAKA GAS	Elec.Pwr&Gas	2,255	80.0	3.5	15.4	8.4	2.8	-9.8
6370	KURITA WATER INDUSTRIES	Machinery	995	35.0	3.5	23.7	12.1	2.3	20.7
6532	BAYCURRENT	Services	861	30.0	3.5	18.1	37.9	4.6	-29.0
9735	SECOM	Services	3,000	100.0	3.3	26.1	8.2	2.1	1.2
8766	TOKIO MARINE HD	Insurance	14,886	487.4	3.3	14.5	17.8	7.7	18.1
9962	MISUMI G	Whsle Trade	920	30.0	3.3	23.6	10.0	4.5	17.7
9007	ODAKYU ELECTRIC RAILWAY	Land Trans.	627	20.0	3.2	15.0	8.2	0.7	-14.5
8725	MS&AD INSURANCE G HD	Insurance	6,493	190.0	2.9	10.3	14.9	-1.0	3.9
4307	NOMURA RESEARCH INSTITUTE	Inf.&Com.	2,721	70.0	2.6	22.1	26.7	3.0	-36.4
6178	JAPAN POST HD	Services	5,993	150.0	2.5	15.5	3.9	-0.6	15.1
6098	RECRUIT HD	Services	14,083	350.0	2.5	23.3	34.2	9.0	-6.1
9042	HANKYU HANSHIN HD	Land Trans.	1,209	30.0	2.5	14.3	7.5	1.6	7.8
4684	OBIC	Inf.&Com.	2,070	50.0	2.4	25.3	15.7	4.2	-29.7
6845	AZBIL	Elec. App.	848	20.0	2.4	23.1	14.9	1.1	-4.1
6758	SONY G	Elec. App.	21,856	500.0	2.3	18.1	14.6	1.1	-25.9
6448	BROTHER INDUSTRIES	Elec. App.	891	20.0	2.2	12.3	9.6	6.5	-3.5
2875	TOYO SUISAN	Foods	1,225	27.5	2.2	17.5	13.2	1.6	-11.4
2801	KIKKOMAN	Foods	1,365	30.0	2.2	21.8	11.1	-0.0	-15.1
4732	USS	Services	839	18.0	2.1	20.0	20.2	1.2	-11.1
5333	NGK	Gl.&Cer.Prod	1,666	33.0	2.0	19.9	10.4	6.0	55.9
4063	SHIN-ETSU CHEMICAL	Chemicals	13,611	250.0	1.8	24.3	12.7	3.8	26.5
1721	COMSYS HD	Construction	616	11.0	1.8	16.3	9.6	0.2	0.4
7180	KYUSHU FG	Banks	673	12.0	1.8	16.2	5.4	3.0	28.5
3086	J.FRONT RETAILING	Retail Trade	602	10.0	1.7	19.8	7.4	-1.0	-12.8
9404	NIPPON TELEVISION HD	Inf.&Com.	772	12.0	1.6	13.1	5.6	5.4	-36.5
8418	YAMAGUCHI FG	Banks	682	10.0	1.5	15.7	6.4	1.8	22.7
5020	ENEOS HD	Oil&Coal P.	3,539	50.0	1.4	11.1	9.2	17.2	3.9
1812	KAJIMA	Construction	2,956	40.0	1.4	16.8	12.4	3.7	-18.4
8630	SOMPO HD	Insurance	5,202	69.0	1.3	10.9	9.8	0.0	-9.8
8309	SUMITOMO MITSUI TRUST G	Banks	3,985	50.0	1.3	11.6	9.6	4.7	5.2
8377	HOKUHOKU FG	Banks	824	10.0	1.2	13.5	0.0	1.5	34.0
6273	SMC	Machinery	4,137	50.0	1.2	22.9	8.5	5.6	4.7
6981	MURATA MANUFACTURING	Elec. App.	13,205	150.0	1.1	42.2	11.3	7.9	93.1
4021	NISSAN CHEMICAL	Chemicals	960	10.5	1.1	18.6	20.3	3.4	18.6
7337	HIROGIN HD	Banks	645	7.0	1.1	13.3	8.4	-0.9	19.3
8697	JAPAN EXCHANGE G	Oth.Fin.Bus.	1,937	20.0	1.0	21.8	25.5	14.9	-2.2
8053	SUMITOMO	Whsle Trade	8,509	80.0	0.9	13.3	13.5	-0.2	17.4
6504	FUJI ELECTRIC	Elec. App.	2,289	21.0	0.9	22.1	13.1	2.6	15.2
8359	HACHIJUNI NAGANO BANK	Banks	1,160	10.0	0.9	17.1	6.7	8.1	24.3
8331	CHIBA BANK	Banks	1,829	15.0	0.8	17.1	8.4	3.3	20.7
5393	NICHIAS	Gl.&Cer.Prod	636	5.0	0.8	19.5	13.8	8.1	33.2
8316	SUMITOMO MITSUI FINANCIAL GROU	Banks	23,084	180.0	0.8	13.1	10.9	3.1	5.5
4403	NOF	Chemicals	656	5.0	0.8	15.1	14.3	-0.4	-22.1
4901	FUJIFILM HD	Chemicals	3,975	30.0	0.8	14.2	7.6	0.4	-18.6
5713	SUMITOMO METAL MINING	Nonfer.Mtls	2,673	20.0	0.7	14.0	9.3	28.8	30.4
8308	RESONA HD	Banks	4,891	35.0	0.7	16.0	10.1	6.1	27.8
6954	FANUC	Elec. App.	7,532	50.0	0.7	38.3	10.5	5.9	11.8
8411	MIZUHO FG	Banks	17,835	100.0	0.6	13.9	11.4	2.6	13.9

Source: BofA Global Research, QUICK

Note: Screened from TOPIX universe using following criteria: (1) fiscal year ending in Feb-Mar; (2) market cap of above ¥600bn; (3) announced share buyback amount/ market cap above 0.5%; and (4) FY1 RP above -1%. Consensus forecasts are QUICK consensus. Sorted in descending order by announced share buybacks amount/market cap. This is a screen and not a recommended list either individually or as a group of stocks and options. Investors should consider the fundamentals of the companies and their own individual circumstances / objectives before making any investment decision.

BofA GLOBAL RESEARCH



Japan economy (Izumi Devalier / Takayasu Kudo)

Growth: Gradual slowdown as Middle East spillovers become more visible

Preliminary 1Q CY26 real GDP showed solid growth of 0.5% QoQ SA (+2.1% annualized), with broad-based expansion across expenditure components (Exhibit 44; see [Jan-Mar GDP \(Prelim\): Broad-based expansion: downside risks building 19 May 2026](#)). Domestic consumption, supported by rising real wages (see [Wages update: Near-term resilience amid elevated Middle East uncertainty 11 May 2026](#)), firm capex, and export growth (including AI-related products) all lifted activity.

That said, spillovers from Middle East disruptions are becoming more visible. Since March, both business and consumer sentiment have deteriorated sharply, and resource supply shortages have led to a sizable drop in upstream petrochemical production (see [Chartbook \(Apr '26\): Hormuz disruptions start to bite 15 May 2026](#)). While the government aims to secure stable supplies of crude oil and petroleum products, as the impact spreads beyond upstream sectors, we expect GDP growth to slow gradually from 2H CY26.

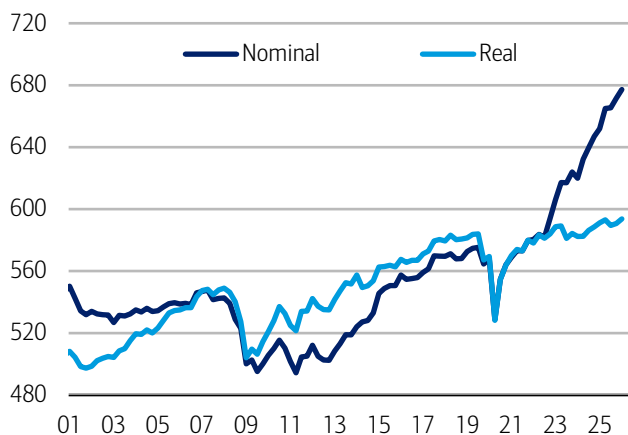
Inflation: Near-term disinflation; re-acceleration from this autumn

Core CPI momentum has continued to slow, reflecting policy effects and negative base effects from last year's sharp food-price increases (Exhibit 45). With the government subsidies capping energy costs and FY-start price revisions remaining modest, the disinflation trend is likely to persist near-term (see [April CPI: Downside surprise, with subdued price hikes at the start of the fiscal year 01 May 2026](#)).

By contrast, April PPI points to a sharp rise in prices for naphtha and petrochemical intermediates. While pass-through to consumer prices will take time, additional cost pressures raise the likelihood of CPI re-acceleration from this autumn. Medium- to long-term inflation expectations—an important input into the BoJ's assessment of "underlying inflation"—are also likely to rise further (see [Inflation expectations are likely to rise further 20 April 2026](#)).

Exhibit 44: Japan's economy showed strong growth in 1Q (Jan–Mar)

Japan's real GDP (JPY tn, annualized)

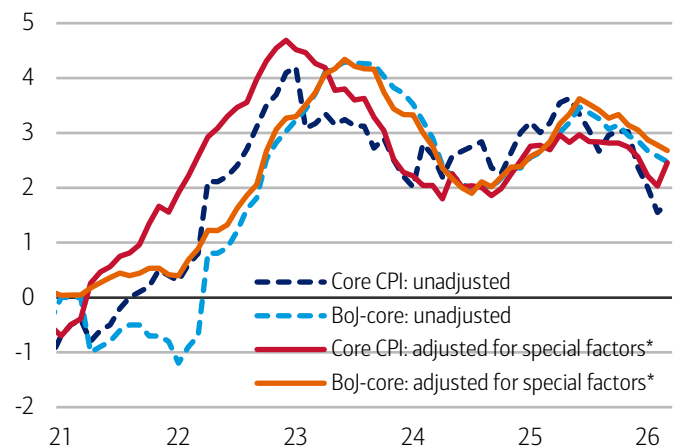


Source: BofA Global Research, CAO

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Exhibit 45: The disinflation trend is continuing

Japan's core inflation measures (YoY %, Nationwide CPI)



Source: BofA Global Research, MIAC *Core CPI refers to Japan-style core CPI (excl. fresh food). BoJ core refers to BoJ-style core CPI (excl. fresh food and energy). **Special factors include (1) consumption tax rate changes; (2) free education; (3) the 2021 reduction in mobile phone charges; (4) travel subsidy programs; and (5) energy cost relief.

BofA GLOBAL RESEARCH

Fiscal policy: A steady run of headlines through May–June

The government is cushioning the impact of higher crude oil prices through energy subsidies, at the cost of rising fiscal burdens. In line with market expectations, it has begun considering a first supplementary budget for FY26 to secure funding for these measures. We expect a ¥3–5tn package to be compiled around June–July (see [Cost of energy subsidies: rising risk of a supplementary budget ahead of summer 23 April 2026](#)).

Beyond the supplementary budget, the government will publish its Honebuto (Basic Policy) guidelines in June. The guidelines are likely to cover household transfers—potentially including measures such as a food consumption tax cut—as well as a new fiscal framework, both of which could shape the medium- to long-term fiscal path (see [Japan's fiscal policy: A guide to the debate 18 May 2026](#)).

In addition, the Liberal Democratic Party (LDP) proposals on “Three Strategic Documents,” also due in June, are likely to signal a direction toward higher defense spending from the current 2% of GDP (see [Japan at a crossroad: Defense spending, security imperatives and fiscal limits 02 April 2026](#)).

Monetary policy: The BoJ is increasingly vigilant on upside price risks

At the 28 April Monetary Policy Meeting, the Bank of Japan (BoJ) left the policy rate unchanged at 0.75%. However, the statement, Outlook Report, and Governor Ueda’s press conference were more hawkish than expected (see [BoJ review: A hawkish hold 28 April 2026](#)). The BoJ is becoming increasingly concerned about upside price risks stemming from developments in the Middle East. While it stayed on hold in April given elevated uncertainty, we think the bank will proceed with a hike in June as the outlook for Middle East tensions becomes clearer.

Subsequent materials—including the Summary of Opinions and Policy Board speeches—carried a similarly hawkish tone (see [BoJ Watch: Apr MPM SOP: Hawkish tone as expected 12 May 2026](#)). Hence, we expect the BoJ to raise the policy interest rate to 1.0% at the next 15–16 June meeting, unless (1) tensions in the Middle East escalate further or (2) significant financial market disruptions occur around the June meeting.

Thereafter, we continue to expect 25bp hikes in October 2026, March 2027, and July 2027, maintaining our terminal rate forecast at 1.75% at end-2027. That said, if the upside price risks highlighted by the BoJ materialize, the pace of hikes could be faster and/or the terminal rate higher than 1.75%.



JPY: Wake up, yen... a window may be opening (Shusuke Yamada)

Full report: [FX Viewpoint: Wake up, yen... a window may be opening 19 May 2026](#)

Medium-term JPY view revised toward neutral

We have been structurally bearish on JPY since 2021, and since 2022 have premised our outlook on a prolonged period of JPY weakness driven by structural outflows. However, there are now signs of an improvement in structural flow dynamics. Moreover, other major currencies face their own risk factors. As a result, the medium-term outlook for JPY has improved. That said, a clear JPY long would still require a policy shift—or FX and rate levels that would trigger such a shift—as well as a decline in oil prices.

A shift in one of the two drivers of JPY weakness

There have been two key drivers behind JPY depreciation in recent years. First, persistent structural JPY selling has kept FX supply-demand balance skewed toward excess JPY supply. Second, the market's assessment of the policy mix—overly accommodative monetary policy and fiscal risks (particularly under the Takaichi administration)—has weighed on the currency. However, structural JPY selling is now moderating. On a basic balance basis (current account plus direct investment), Japan has moved into surplus, while the euro area surplus has narrowed and the US continues to run a sizable deficit. Japanese equities' outperformance versus US and European peers also points to an improvement in JPY fundamentals.

When higher yields become supportive

Since 2024, JPY has weakened despite a widening disconnect from rate differentials. However, with improving JPY flow dynamics, a narrowing bank loan-deposit gap, and rising real rates, further increases in yen rates may begin to act as a supportive factor for the currency if fiscal risk peaks.

Three JPY depreciation risks and the risk-reward balance

Even as structural JPY selling fades, several factors remain downside risks for the currency: (1) concerns about Bank of Japan (BoJ) independence and the risk of the BoJ being behind the curve, (2) fiscal risks, and (3) higher oil prices. However, these risks are not unique to JPY. Taking into account the likelihood of policy responses and valuation, we assess the overall risk balance as more neutral.

Market implications

1) Reconsider the “sell JPY strength” strategy; 2) reassess hedging strategies; 3) reassess JPY as a funding currency; and 4) nonetheless, a clear JPY long requires catalysts (10Y yields at 3%, USD/JPY at 160, crude oil below US\$90/barrel).

Risks

A slowdown in AI-related exports, persistently high oil prices, an acceleration in household JPY selling, and an expansion of monetary and fiscal risks.

JP rates: Fiscal policy back in focus

(Tomonobu Yamashita)

Key theme: JGB selling fueled by supply–demand imbalance and budget risks

Yen rates have risen significantly, with the 10-year JGB yield rising above 2.7% and the 30-year reaching a record-high level. While net JGB supply is widely expected to increase in 2026 versus 2025, the May auction schedule and supplementary budget headlines are fueling selling pressure (see [Liquid Insight: Global government bond supply update: same same, but different 14 May 2026](#)).

Since late-April to early May was Japan's national holiday period, the JGB auction schedule has been particularly crowded from mid-May through early June. Meanwhile, demand for JGBs has been subdued, except from Japanese pension funds. As a result, each auction is adding to selling pressure on JGBs.

In addition, media reports suggest the Japanese government is considering a first supplementary budget for FY2026 to finance energy subsidies for households. Even if the Takaichi administration decides to compile the supplementary budget by the end of the current Diet session, which runs through 17 July, we do not expect a near-term increase in auction sizes. However, this could act as an obstacle to buying JGBs on dips (see [Japan Viewpoint: Cost of energy subsidies: rising risk of a supplementary budget ahead of summer 23 April 2026](#)).

Forecast: We raise our end-2026 10-year forecast to 2.9%

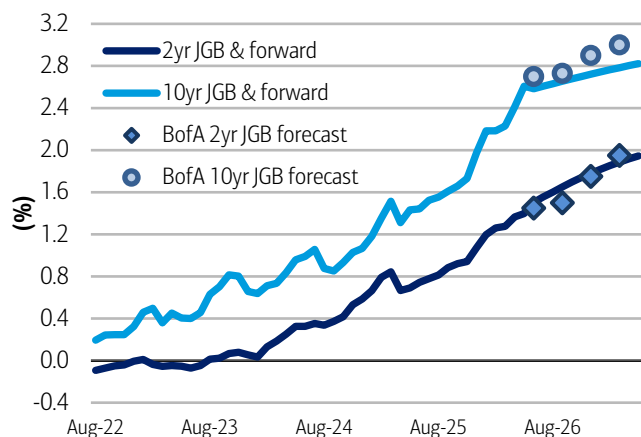
Overall, we expect these supply–demand imbalances to persist at least until early June. Hence, we raise our end-2026 forecast for the 10-year JGB yield from 2.6% to 2.9%.

Risk: Equity prices drop

Japanese pension funds' portfolio rebalancing—selling equities and buying domestic bonds—provides some support to the JGB market. However, a potential decline in equity markets could instead add to upward pressure on JGB yields.

Exhibit 46: Yen rates – JGB yield forecasts and forwards

Both the market and BofA anticipate a continued upward trajectory



Source: BofA Global Research, Bloomberg

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Exhibit 47: Government bond yield forecasts

We forecast end-2026 10yr JGB yield at 2.9%

	Q2 26	Q3 26	Q4 26	Q1 27
TONA	0.98	0.98	1.23	1.48
2y Govt.	1.45	1.50	1.75	1.95
5y Govt.	2.00	2.05	2.30	2.50
10y Govt.	2.70	2.73	2.90	3.00
30y Govt.	3.90	4.08	4.30	4.35

Source: BofA Global Research

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Exhibit 48: Swap rate forecasts

Our Japan 10yr swap rate end-2026 forecast is 2.65%

	Q2 26	Q3 26	Q4 26	Q1 27
2y	1.45	1.50	1.70	1.90
5y	1.95	2.00	2.20	2.40
10y	2.50	2.53	2.65	2.75

Source: BofA Global Research

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Banks (Shinichiro Nakamura / Yuji Kobayashi)

Sector overall view for the next quarter

Initial FY3/27 NP plans imply YoY growth of c.5-25% for the major banks and c.10-30% for regional banks. Given assumptions of no / one BoJ rate hike, the Nikkei 225 at ¥55,000, and USD/JPY at ¥150, we believe these plans have an upside bias (Exhibit 53/Exhibit 54). Going forward, we think expectations for outperformance should increase, particularly for the major banks.

MUFG: We view the initial plan as realistic, assuming one BoJ rate hike and credit costs, but consolidated NP is 10% above consensus, which is somewhat positive. Assumptions for the Nikkei 225 at ¥55,000 & equity-related gains/losses look somewhat conservative.

Mizuho: Core gross business profit is 5% above our forecast, based on assumptions of no BoJ rate hike, the Nikkei 225 at ¥57,000, and USD/JPY at ¥150, while consolidated NP is in line with our expectation. We see scope for an upward revision at the 1H results.

SMFG: Although consolidated NP is slightly below our forecast / consensus, we view the plan as somewhat conservative, given assumptions of no BoJ rate hike, USD/JPY at ¥150, and a decline in equity gains. We see a high likelihood of upward revision at 1H results.

Resona: Consolidated NP is above consensus even under conservative BoJ rate hike assumptions, and credit costs / equity-related gains and losses also look conservative. We believe there is a high likelihood of an upward revision at the 1H results.

For regional banks, initial plans are stronger than we expected, supported by higher TIBOR and improving loan spreads. We see significant scope for upward revisions at Yokohama, Chiba, Shizuoka, Fukuoka, and Mebuki, whose plans assume a policy rate of 0.75%. At the 1Q results, there remains scope for Shizuoka, Mebuki, Gunma, and Daishi Hokuetsu, which refrained from announcing share buybacks at the FY3/26 results, to announce buybacks. Chiba could also announce an additional buyback at the 1Q results once its existing program is completed.

Key catalysts / events

We remain medium-term bullish on Japanese bank stocks and regard the major banks as attractive, for three reasons: (1) although Middle East geopolitical risks persist, the probability of a BoJ rate hike at the June-July meeting is high; (2) FY3/27 NP plans are above market expectations, and expectations for upward revisions at the 1H results are also high; and (3) on FY3/28 ROE, ROE premium vs TOPIX should widen further, while investors' focus should increasingly shift to FY3/28 from the FY3/27 1H results onward.

Recommended stocks

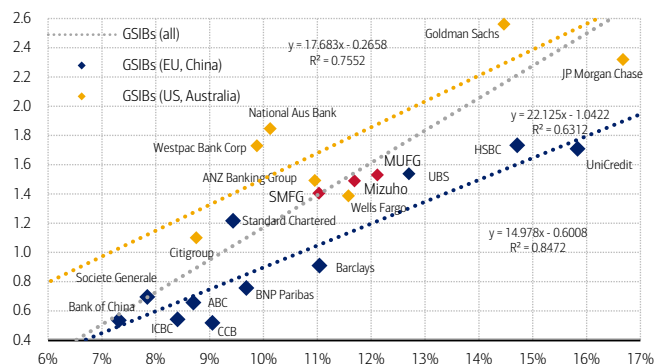
MUFG (8306): (1) MUFG has suggested a direction of aiming for medium- to long-term ROE of 14% (assuming a policy rate of 1.25% or higher) and PBR of over 2x, which we expect to be achievable under the next medium-term management plan through FY3/30; (2) the FY3/27 NP plan of ¥2.7tn is 10% above consensus, and its DPS forecast of ¥96 offers some investment appeal; and (3) we expect additional share buybacks to be expanded at the 1H results, as the CET1 ratio is likely to return to the lower end of the target range ([Mitsubishi UFJ Financial Group \(8306\): FY3/26 briefing: next MTP suggests ROE 14%; buyback boost at 1H results expected 19 May 2026](#)).

Mizuho (8411): (1) The FY3/27 NP plan of ¥1.3tn (EPS of ¥534) has upside mainly from market environment assumptions, as it assumes no BoJ rate hike; (2) the FY3/29 ROE target could be around 13.5% assuming a BoJ policy rate of 1.25%, broadly in line with MUFG's level and solid; and (3) additional share buybacks will be decided after examining future loan demand, while management clarified that the Rakuten Bank investment is not a constraint, suggesting around ¥300bn could be possible ([Mizuho Financial Group \(8411\): FY3/26 briefing: Rakuten Bank investment does not appear to pose buyback downside 19 May 2026](#)).

Resona (8308): (1) The FY29 NP target implies ROE of 14% when the policy rate is 1.5% (our forecast is around 15%), and fee income should expand from FY3/28 onward; (2) the inorganic investment budget of ¥200bn is three times the previous medium-term plan, and the company plans to consider a wide range of opportunities, including regional bank M&A as well as securities / nonbank businesses; and (3) Resona still has a relative advantage, with loan spreads improving in lending yields and deposit beta controlled relative to peers in deposit yields ([Resona Holdings \(8308\): FY3/26 briefing: ROE 14% envisaged at 1.5% policy rate: focus also on M&A 19 May 2026](#)).

Exhibit 49: Megabank valuations are slightly cheaper than the G-SIB average

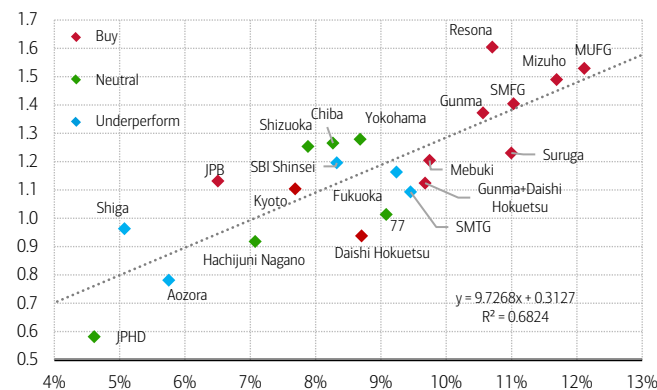
Global PBR (latest) – ROE (FY26) matrix



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Exhibit 50: Resona / top regional banks' premium versus the three megabanks has expanded

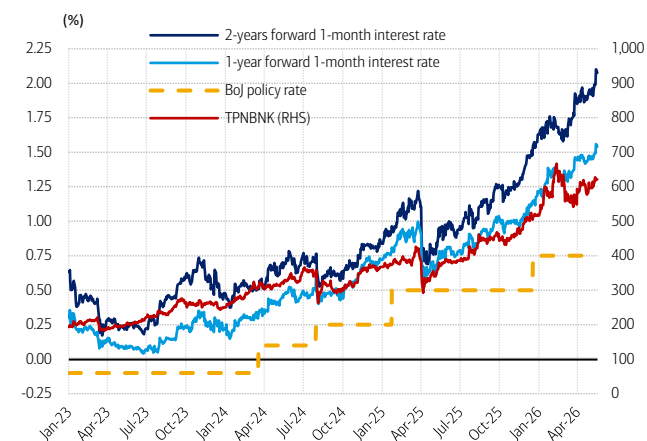
PBR (latest) – ROE (FY3/27) matrix for banks under our coverage



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Exhibit 51: The one-year forward one-month rate is 154bp, still pricing in 75bp of rate hikes

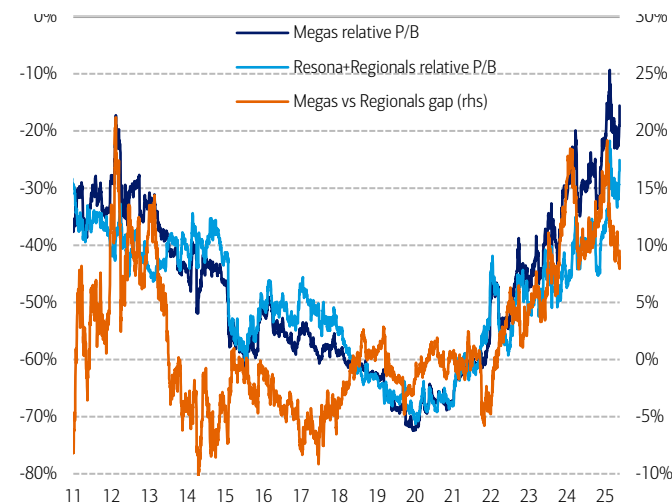
Trends in the two-year forward / one-year forward one-month rate, BoJ policy rate, and TPNBNK (RHS)



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Exhibit 52: The P/B discount of bank stocks relative to TOPIX has gradually narrowed

Trends in P/B relative to TOPIX for megabanks and Resona + regional banks



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Exhibit 53: FY3/27 Yucho / Resona / Shiga have high growth rates in initial FY3/27 plans

NP growth rates for banks under our coverage

(JPY, bn)		FY3/27				FY3/28		FY3/29	
Company	Rating	Ce	YoY%	BofAe	YoY%	BofAe	YoY%	BofAe	YoY%
MUFG	BUY	2,700.0	11.2%	2,592.6	6.8%	2,900.6	11.9%	3,137.8	8.2%
SMFG	BUY	1,700.0	7.4%	1,757.1	11.0%	1,974.7	12.4%	2,149.7	8.9%
Mizuho	BUY	1,300.0	4.1%	1,313.9	5.2%	1,568.0	19.3%	1,674.7	6.8%
SMTG	U/P	380.0	19.7%	330.7	4.1%	369.4	11.7%	427.3	15.7%
Resona	BUY	310.0	19.8%	319.1	23.3%	413.9	29.7%	480.9	16.2%
Aozora	U/P	27.0	5.0%	28.1	9.1%	33.0	17.6%	37.3	13.1%
JPB	BUY	660.0	25.6%	611.6	16.4%	754.9	23.4%	950.8	25.9%
Seven	U/P	17.0	26.2%	16.0	18.8%	22.0	37.2%	23.7	8.1%
JPHD	NEUTRAL	380.0	1.5%	398.2	6.3%	481.6	20.9%	578.6	20.1%
Yokohama	NEUTRAL	129.0	21.1%	121.8	14.3%	148.8	22.2%	175.4	17.9%
Chiba	NEUTRAL	107.0	13.8%	106.1	12.8%	131.7	24.1%	155.1	17.7%
Fukuoka	U/P	100.0	17.1%	100.2	17.3%	125.2	25.0%	145.2	15.9%
Shizuoka	NEUTRAL	105.0	16.1%	101.1	11.7%	115.1	13.8%	132.0	14.7%
Suruga	BUY	32.0	-7.9%	34.2	-1.6%	40.3	18.0%	43.9	8.8%
Kyoto	BUY	52.0	-46.2%	85.7	-11.4%	95.9	11.9%	106.5	11.0%
77	NEUTRAL	61.5	13.9%	62.3	15.3%	76.2	22.3%	91.9	20.7%
Hachijuni	NEUTRAL	73.0	13.1%	74.4	15.3%	85.7	15.1%	95.0	10.8%
Gunma	BUY	65.0	10.4%	65.2	10.8%	77.8	19.3%	90.3	16.1%
Daishi Hokuetsu	BUY	50.0	18.8%	49.1	16.6%	58.6	19.3%	69.9	19.4%
Mebuki	BUY	95.0	12.9%	107.2	27.3%	130.6	21.9%	155.2	18.8%
Shiga	U/P	28.5	33.8%	25.8	21.3%	32.9	27.2%	38.7	17.8%
Rakuten	U/P	81.3	11.3%	80.0	9.4%	101.3	26.7%	116.3	14.8%
SBI Shinsei	U/P	---	---	101.2	-10.8%	119.3	17.9%	147.9	24.0%

Source: Company disclosure, BofA Global Research estimates

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Exhibit 54: FY3/27 plans are above our forecasts / consensus for MUFG / SMTG / Yucho / Yokohama

Comparison of our NP forecasts, consensus forecasts, and company plans for banks under our coverage

(JPY, bn)		FY3/27						FY3/28			FY3/29		
Company	Rating	BofAe	Ce	Var%	Cons	Var%		BofAe	Cons	Var%	BofAe	Cons	Var%
MUFG	BUY	2,592.6	2,700.0	-4.0%	2,446.0	6.0%		2,900.6	2,738.3	5.9%	3,137.8	3,006.5	4.4%
SMFG	BUY	1,757.1	1,700.0	3.4%	1,757.0	0.0%		1,974.7	1,891.6	4.4%	2,149.7	2,024.3	6.2%
Mizuho	BUY	1,313.9	1,300.0	1.1%	1,307.4	0.5%		1,568.0	1,513.9	3.6%	1,674.7	1,651.4	1.4%
SMTG	U/P	330.7	380.0	-13.0%	334.2	-1.0%		369.4	352.2	4.9%	427.3	373.4	14.4%
Resona	BUY	319.1	310.0	2.9%	305.5	4.4%		413.9	342.0	21.0%	480.9	388.4	23.8%
Aozora	U/P	28.1	27.0	3.9%	26.6	5.7%		33.0	29.5	11.8%	37.3	32.0	16.6%
JPB	BUY	611.6	660.0	-7.3%	635.4	-3.7%		754.9	822.4	-8.2%	950.8	930.2	2.2%
Seven	U/P	16.0	17.0	-5.8%	17.8	-10.1%		22.0	22.5	-2.4%	23.7	25.7	-7.6%
JPHD	NEUTRAL	398.2	380.0	4.8%	406.2	-2.0%		481.6	490.5	-1.8%	578.6	---	---
Yokohama	NEUTRAL	121.8	129.0	-5.6%	122.5	-0.6%		148.8	129.1	15.3%	175.4	141.6	23.9%
Chiba	NEUTRAL	106.1	107.0	-0.8%	105.0	1.1%		131.7	110.0	19.8%	155.1	148.4	4.6%
Fukuoka	U/P	100.2	100.0	0.2%	96.8	3.5%		125.2	100.0	25.2%	145.2	90.9	59.7%
Shizuoka	NEUTRAL	101.1	105.0	-3.7%	99.9	1.2%		115.1	105.0	9.6%	132.0	130.3	1.3%
Suruga	BUY	34.2	32.0	6.8%	31.6	8.2%		40.3	31.0	30.1%	43.9	---	---
Kyoto	BUY	85.7	52.0	64.8%	85.7	0.0%		95.9	87.2	10.0%	106.5	95.2	11.9%
77	NEUTRAL	62.3	61.5	1.2%	62.3	-0.1%		76.2	68.8	10.7%	91.9	80.9	13.7%
Hachijuni	NEUTRAL	74.4	73.0	2.0%	69.9	6.6%		85.7	79.9	7.3%	95.0	88.4	7.5%
Gunma	BUY	65.2	65.0	0.4%	65.2	0.1%		77.8	---	---	90.3	---	---
Daishi Hokuetsu	BUY	49.1	50.0	-1.8%	49.1	0.0%		58.6	---	---	69.9	---	---
Mebuki	BUY	107.2	95.0	12.8%	107.2	0.0%		130.6	115.9	12.7%	155.2	139.1	11.6%
Shiga	U/P	25.8	28.5	-9.4%	25.8	0.1%		32.9	33.0	-0.4%	38.7	39.0	-0.7%
Rakuten	U/P	80.0	81.3	-1.7%	83.3	-4.0%		101.3	94.2	7.5%	116.3	109.6	6.1%
SBI Shinsei	U/P	101.2	---	---	97.5	3.8%		119.3	108.6	9.9%	147.9	111.0	33.3%

Source: Company disclosure, IFIS, BofA Global Research estimates

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Insurance, non-banks, and brokerage

(Natsumu Tsujino)

Sector overall view for the next quarter

Securities: In the short term, we pay the most attention to this sector, alongside life insurers. Equity market conditions remain strong, with trading value continuing to increase, and inflows into face-to-face brokerage channels also ongoing. While earnings dependence on market conditions makes long-term investment less straightforward, for now profits are likely to be sustained at levels that imply dividend yields above 4%. For long-term holdings, we believe a close monitoring of sudden market changes is required.

Life insurers: We pay more attention to life insurers over non-life in the short term, but regard non-life as more attractive than life insurers in the long term. Inflation impacts have already been visible in auto insurance for non-life, but life insurers are also facing rising expenses, expiry of older high-margin policies, and declining in-force contracts, leading to weaker insurance-related profits. Non-life insurers benefit from shorter liabilities, greater pricing flexibility, and demand that is increasingly driven by inflation and rising perils, while interest in protection-type life insurance is moderating. That said, in the short term, investment income is supporting earnings recovery. Many life insurers are delivering DPS growth above 10%, with dividend yields approaching the 4% range, higher than for non-life, making them more attractive in the near term.

Non-life insurers: Share-price momentum may be weak in the short term, as expectations for improved shareholder returns had become overly elevated. Among the group, MS&AD offers relatively high dividend and total shareholder-return yields, making it attractive. In contrast, for Tokio Marine HD and Sompo HD, which are seen as pursuing large-scale M&A, dividend growth remains strong but share buybacks are now expected to be smaller than anticipated. Share prices may lack direction until more clarity emerges on likely large M&A. Within non-life, the loss ratio for domestic auto insurance is expected to improve in FY3/27. This is the first time since deterioration began that management guidance points to improvement from the start of fiscal year, suggesting that pricing increases are finally taking effect—positive for sector momentum.

Other financials: ORIX is in a unique situation. With Toshiba shifting its accounting for Kioxia shares to FVTPL, ORIX's equity-method earnings will become significantly more volatile. A ¥10,000 increase in Kioxia's share price would contribute approximately 1.0% of ORIX's current market capitalization through equity-method earnings from Toshiba. While strong momentum in Kioxia shares is supporting ORIX's share price, this appears somewhat excessive. The stock remains prone to short-term volatility and higher risk. Among other non-banks, situations are more idiosyncratic; Credit Saison looks increasingly undervalued, while Mitsubishi HC Capital still appears the most expensive.

Key catalysts / events

Higher 1Q progress rates are likely for Credit Saison, Japan Exchange Group (JPX)—as company assumptions for Tokyo Stock Exchange trading value remain overly conservative at FY3/26 levels—and the three non-life insurers (1Q typically sees fewer natural disasters, although actual outcomes remain uncertain). Life insurers usually report slightly weak 1Q earnings, as Japanese equity dividends are booked in 4Q.

Announcements of large-scale M&A could act as catalysts for Tokio Marine HD and Sompo HD.

Recommended stocks

Dai-ichi Life Group (8750): Near-term earnings are supported by gains on equity sales, and proceeds are being used to pursue growth through M&A. While the business portfolio several years out is difficult to foresee, the relatively high dividend yield and management's dividend-focused stance suggest strong investment appeal.



Sompo HD (8630): Management plans to raise the payout ratio based on 3-year average adjusted profit to 50% by FY3/31 (39% in FY3/27). Although the share price declined post-results on perceptions of limited appetite for share buybacks, this policy implies DPS can grow at around a 20% annual rate over the next 3–4 years. In addition, the company retains capacity to generate ¥100bn (vs. FY3/27 Co.E adj. profit of ¥500bn) in incremental profit through M&A. Despite a currently low dividend yield, the investment appeal remains strong.

Daiwa Securities Group (8601): Our estimates do not include the impact of the ORIX Bank acquisition, which is likely to be closed in Oct. Even after goodwill amortization, we estimate a 7–8% uplift to full-year earnings. While significant synergies are unlikely in the short term, if current market conditions persist, dividend yields in the low-to-mid 4% range are achievable, suggesting relatively strong investment appeal, albeit with attention to market conditions.

Exhibit 55: There is no possibility of a decrease in the insurers' dividend, and there is significant room for dividend hike, but dividend yields of Tokio Marine HD, Sompo HD and JPI are now low

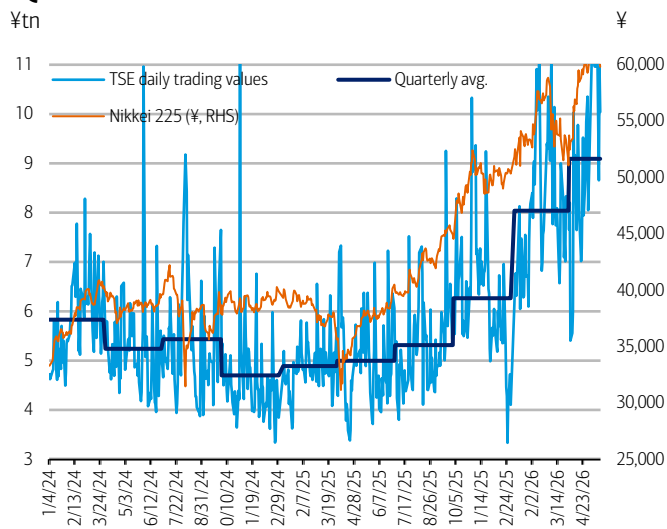
Yields of life and non-life insurance, brokers, and non-banks

	Dividend yields				Total return yields			
	FY3/26	FY3/27E	FY3/28E	FY3/29E	FY3/26	FY3/27E	FY3/28E	FY3/29E
Tokio Marine HD (Buy)	2.83%	3.18%	3.40%	3.71%	4.50%	5.94%	5.09%	2.83%
MS&AD (Buy)	3.68%	3.91%	4.08%	4.37%	7.79%	6.45%	5.59%	3.68%
Sompo HD (Buy)	2.69%	3.59%	3.66%	4.20%	5.55%	6.33%	7.09%	2.69%
Japan Post Insurance (Neutral)	2.69%	3.24%	3.50%	4.02%	5.30%	5.36%	5.67%	2.69%
Sony FG (Buy)	5.30%	5.57%	6.16%	7.39%	5.30%	5.57%	6.16%	5.30%
Dai-ichi Life HD (Buy)	3.27%	4.31%	4.49%	4.85%	3.27%	5.15%	6.02%	3.27%
T&D (Buy)	3.19%	4.02%	4.61%	5.21%	3.19%	6.07%	6.67%	3.19%
ORIX (Neutral)	2.61%	3.27%	3.11%		4.84%	7.17%	6.38%	2.61%
Mitsubishi HC Capital (Underperform)	3.13%	3.68%	3.96%	4.24%	3.13%	3.68%	3.96%	3.13%
Tokyo Century (Underperform)	3.25%	3.66%	3.37%		3.25%	3.66%	3.37%	3.25%
Credit Saison (Neutral)	2.98%	3.43%	4.12%		6.11%	6.67%	7.46%	2.98%
Nomura HD (Neutral)	4.13%	4.13%	4.37%	4.45%	6.94%	6.34%	6.09%	4.13%
Daiwa Securities (Neutral)	4.36%	4.29%	4.43%	4.63%	6.79%	5.78%	5.96%	4.36%
SBI HD (Neutral)	3.11%	3.76%	4.25%	5.07%	5.64%	3.76%	4.25%	3.11%
JPX (Neutra)	3.34%	3.47%	3.47%	3.68%	4.39%	4.53%	4.75%	3.34%

Source: Company disclosure, BofA Global Research estimates. Note: Based on 5/21 closing price.

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Exhibit 56: TSE daily avg trade value from Apr to date is up 13% from 4Q

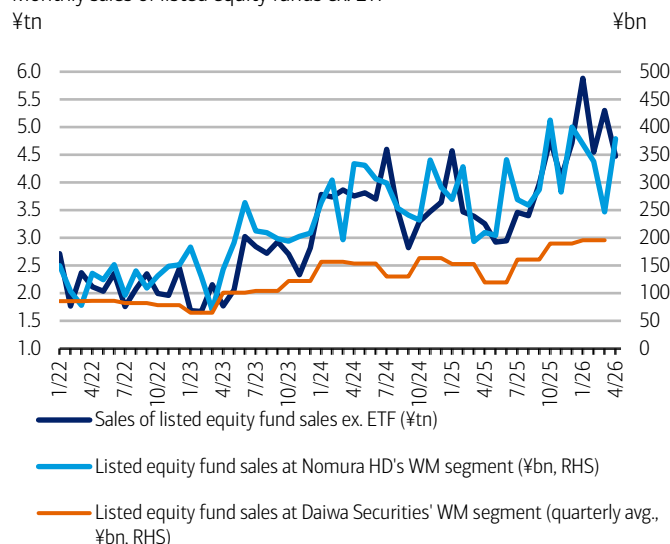


Source: Bloomberg, BofA Global Research

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Exhibit 57: Mutual fund sales in April were 19% higher than 4Q average at Nomura but lower by 15%

Monthly sales of listed equity funds ex. ETF



Source: The Investment Trust Association, Japan, company disclosure, BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 58: Japan's auto insurance loss ratio finally start to decline

Loss ratio of major P&C insurers (ex. nat cat)

	FY3/26	YoY	FY3/27E	YoY chg
Tokio Marine HD, Japan P&C	61.9%	2.4%	60.2%	-1.2%
Fire	31.7%	-6.5%	39.2%	-0.7%
Auto	67.5%	2.0%	64.6%	-2.2%
Other (specialty)	78.9%	15.4%	66.3%	-0.5%
Mitsui Sumitomo Marine	60.5%	-2.8%	62.3%	-2.4%
Fire	40.5%	-14.0%	47.7%	-3.5%
Auto	70.6%	2.2%	65.4%	-4.4%
Other (specialty)	58.8%	-3.7%	64.1%	2.9%
Sompo HD	55.6%	-2.8%	55.7%	0.1%
Fire	25.9%	-10.4%	28.7%	2.8%
Marine	60.7%	-0.4%	64.4%	3.7%
Personal accident	61.1%	0.8%	57.8%	-3.3%
Auto	68.8%	1.7%	66.9%	-1.9%
Other (specialty)	49.4%	-8.0%	53.1%	3.7%

Source: Company disclosure, BofA Global Research estimates. Tokio Marine HD and MSI's figures for F3/26 are JGAAP and IFRS from FY3/27 including YoY change.

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Exhibit 59: With ¥10,000 rise in Kioxia's share price, ORIX's NP will increase by ¥70bn

Toshiba's stake in KIOXIA, ¥bn

	KIOXIA	Toshiba's holding	o/w attributable to ORIX		
	Share	(17.6%)	(15% x 17.6% = 2.64%)		
	price (¥)	mn shares	Mkt val.	Market value	Unrealized gain (after tax)
12/31/2025	10,435	117,978	1,231	185	107
3/31/2026	19,080	96,050	1,833	275	174
5/21/2026	55,340	96,050	5,315	797	532
Impact of ¥10,000 rise	10,000		961	144	101

Source: Company disclosure, BofA Global Research estimates

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Exhibit 60: Toshiba's 4Q FY3/26 OP was ¥86.1bn but posted one-time FVTPL gains on Kioxia shares in non-OP

Quarterly profit of Toshiba which ORIX owns 15%

¥bn	4-6 /24	7-9 /24	10-12 /24	1-3 /25	4-6 /25	7-9 /25	10-12 /25	1-3/26
OP	14.3	56.2	43.8	84.2	40.1	75.9	98.7	86.1
Non-OP	3.2	6.9	128.72	41.0	153.3	125.1	130.4	2,004.1
o/w Kioxia	2.6	3.7	89.1	11.4	6.1	16.6	29.6	2,224.7
NP	38.3	78.0	68.5	94.2	146.9	169.1	183.2	1,468.1
ORIX's stake (15%)	5.7	11.7	10.3	14.1	22.0	25.4	27.5	220.2

Source: Company disclosure, BofA Global Research

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Semiconductors/SPE (Mikio Hirakawa/Mayako Ouchi)

Sector overall view for the next quarter

AI and data centers are expected to remain key themes in the April–June quarter. However, we believe the semiconductor and semiconductor production equipment (SPE) front-end cycle, which has been driven by memory pricing, is moving into its later phase. In stock selection, having clear catalysts will be an important requirement.

Key catalysts / events

We focus on Renesas's Capital Markets Day (25 June).

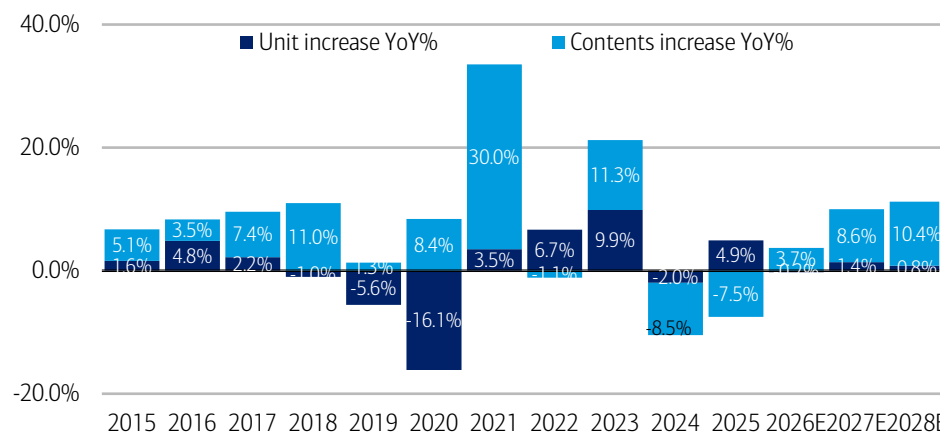
Renesas commented at its October–December quarter earnings call that it will redefine its data center-related business and discuss the opportunity at its Capital Markets Day. We believe this enhanced disclosure could lead to the market assigning an AI premium to Renesas's valuation.

Recommended stock

Our Buy thesis on Renesas is based on 1) growth in data center-related revenue and 2) recovery in the automotive semiconductor market. In its Jan–Mar quarter results, Renesas' 2Q gross margin guidance fell short of our/market expectations due to higher manufacturing costs, which was a negative. But, recovery trends were confirmed in both automotive and non-automotive markets, and the company stated that demand from the Apr–Jun quarter onward will be stronger than initially expected. As noted above, we see the key catalyst as discussion of the data center business at the Capital Markets Day.

Exhibit 61: Auto semi market, which contracted in FY2024–25, could return to growth

Auto semi market forecasts (YoY%)



Source: Company, IDC, BofA Global Research estimates

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Electronics (Mikio Hirakawa)

Sector overall view for the next quarter

We are positive on the electrical equipment sector for the April–June quarter. Among industrial electronics companies, infrastructure-related businesses will act as key drivers, while in consumer electronics, Panasonic (data center-related) and Sony (gaming-related) are each on an earnings growth trend, driven by their respective segments.

Catalysts and events

Four companies will host capital markets events in the April–June quarter: Panasonic, Hitachi, Mitsubishi Electric, and Fuji Electric.

At Panasonic's Investor Day (8 June), the company will focus on explaining its Energy and Industry segment strategies. In particular, the revenue expansion strategy for AI-related businesses within the Industry segment will be a key point of interest. At its FY3/26 full-year earnings briefing, the company outlined a plan to expand Industry AI-related revenue (under a new definition) from ¥230bn in FY3/26 to ¥430bn in FY3/29. If Investor Day provides a convincing strategy for this expansion, it could lead to a re-rating of Panasonic's valuation.

At Mitsubishi Electric's IR Day (29 May), the focus will be on balance sheet (capital) efficiency and digitalization. Regarding balance-sheet efficiency, if the company presents targets exceeding previously reported figures—such as an FY3/28 ROE of 10% and a total payout ratio of over 70% during the new medium-term plan period (vs. the current target of over 50%)—the stock price is likely to react positively. On digitalization, strong execution of a strategy leveraging Nozomi Networks, an OT (operational technology) security solutions company whose acquisition is set to be completed in February 2026, could have a positive impact on valuation.

At Hitachi's Investor Day (10 June), the key focus will be its physical AI strategy. In the medium-term plan update announced alongside its FY3/26 results, Hitachi disclosed that HMAX, a recurring digital service positioned as a driver of physical AI, generated ¥300bn in revenue with an EBITA margin above 20% in FY3/26. If Hitachi can clearly explain 1) the project composition of HMAX revenue by segment, 2) the visibility and monetization strategy for HMAX opportunities in each segment, and 3) its medium- to long-term revenue and margin targets for HMAX, this could lead to an improved valuation.

At Fuji Electric's business strategy briefing (27 May), the focus will be on its medium-term target payout ratio of 50% (reached through share buybacks in FY3/27), its overseas strategy in the energy segment (its main growth driver), and its strategy for the underperforming automotive semiconductor business.

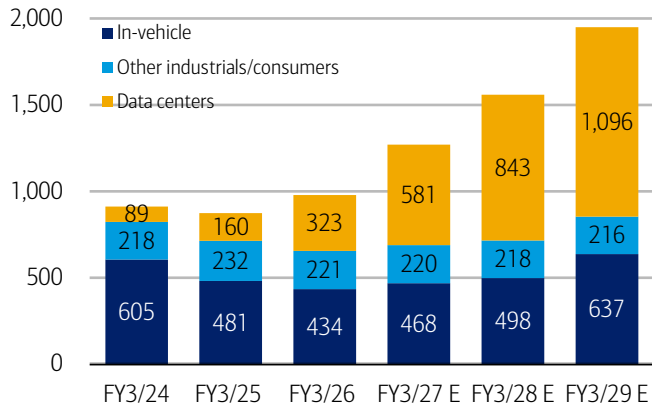
Recommended stock

Our Buy thesis for Panasonic is based on 1) growth in data center BBU (battery backup unit) demand and 2) improved and stabilized profitability driven by structural reforms. At the 8 June Investor Day, we will focus on the competitive environment and order progress in data center BBUs, as well as growth strategies for AI-related businesses in the Industry segment. We also believe that the visible impact of structural reforms implemented in FY3/26, leading to improved earnings stability, will serve as a catalyst for share-price upside.



Exhibit 62: Data center sales likely to surpass automotive in FY3/28

Panasonic Energy sales forecasts (T bn)

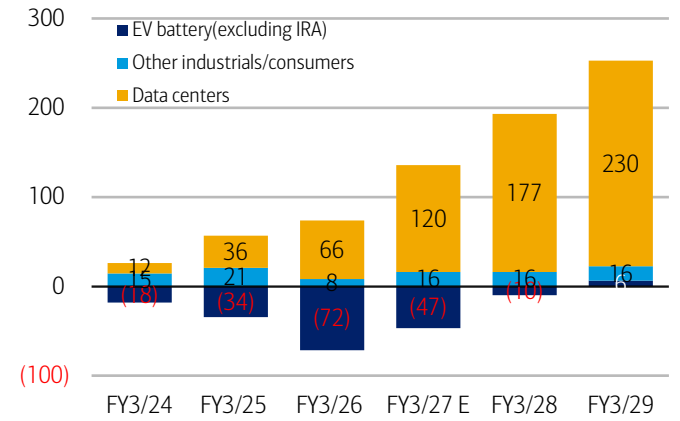


Source: Company, BofA Global Research estimate

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Exhibit 63: Profit growth in data center would offset losses in EV

Panasonic Energy operating profits forecasts (T bn)



Source: Company, BofA Global Research estimate

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Electronic components sector (Masashi Kubota)

Sector view for next quarter

In the electronic components sector heading into the Jul-Sep 2026, positive factors include (1) continued expansion in AI server and data center-related business, (2) demand growth driven by iPhone seasonality, and (3) stable product price trends supported by tight supply demand balance. On the other hand, points to monitor include (1) the impact of rising material prices such as gold and copper, (2) the impact of higher crude oil prices associated with worsening Middle East conditions, and (3) the risk of slowing end-demand for automobiles and IT devices.

However, regarding rising material prices, companies are steadily passing on costs to product prices. In addition, while there is a risk of demand slowdown for automobiles and IT devices, there is a growing view that the negative impact will not be as significant as previously feared, supported by progress in electrification and firm demand outlook for high-end smartphones.

Catalysts and events

On the other hand, it is true that expectations for earnings growth driven by expansion in AI-related business have already been largely priced into share prices, and valuation discounts of electronic component manufacturers have diminished. Therefore, for share prices to show further upside, events that push up expectations for earnings will be required. Specifically, these could include (1) product price increases backed by tighter supply demand balance and (2) demand for IT devices such as smartphones, PCs, and tablets exceeding prior assumptions of a slowdown.

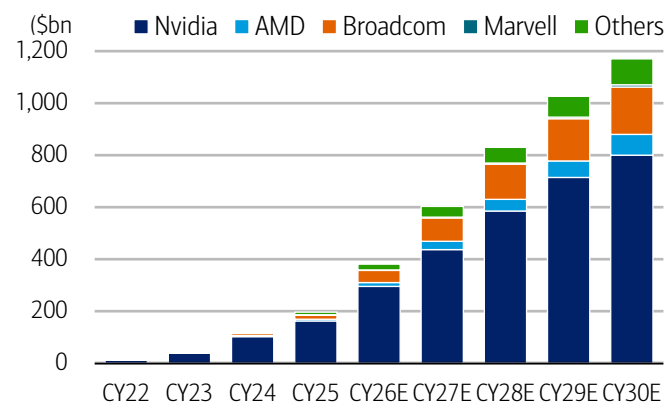
In AI-related areas, in addition to increased investment in traditional AI servers, attention should also be paid to the potential acceleration in expansion of the edge AI market represented by physical AI.

Key area to watch

Within the electronic components sector, we continue to focus on AI-related areas, including semiconductor packaging, passive components (MLCCs, inductors, aluminum electrolytic capacitors, sensors), and HDD-related electronic components (magnetic heads, suspensions, glass substrates). Supported by strong demand, we think tightening supply-demand balance and the resulting outlook for stable pricing could drive a significant improvement in profitability for related companies.

Exhibit 64: AI accelerator market sees accelerating expansion of ASICs alongside GPUs

AI accelerator TAM

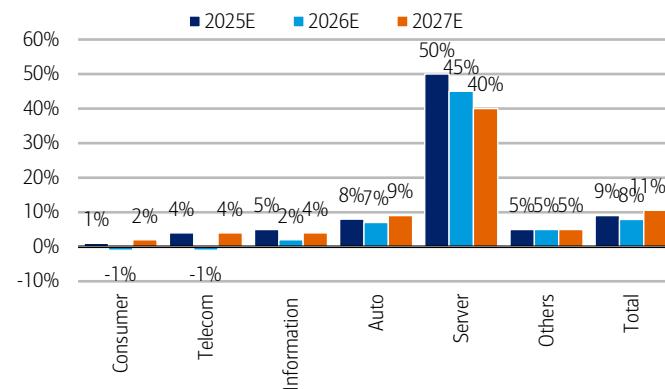


Source: BofA Global Research estimate

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Exhibit 65: AI server MLCCs to drive demand growth

MLCC numbers forecast by application



Source: BofA Global Research estimates

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Internet, game, and media (Yoshitaka Nagao)

Sector overall view for the next quarter

This earnings season highlighted a tug-of-war between upfront investment for the medium term and the visibility of earnings growth. We saw improving earnings visibility at several companies, including Recruit, where the HR Tech segment guided for +18% YoY pricing, PayPay, where operating leverage is beginning to emerge, and CyberAgent, where all three businesses performed well simultaneously. On the other hand, uncertainty around cost plans became a common overhang for FY3/27, with higher logistics costs at ZOZO, and continued upfront investment in Kakaku.com's Kyujin Box.

In the game sector, the contrast between the earnings power of core IP and conservative FY3/27 guidance stood out. Konami's eFootball remains strong, and Capcom's Resident Evil series reached 6.91mn units, underscoring resilient IP-driven monetization. However, company guidance for FY3/27 was broadly conservative and below market expectations, including Bandai Namco guiding for OP decline, Capcom remaining cautious, Konami falling short of expectations, and Square Enix also guiding for OP decline. We think this conservatism in guidance weighed on share prices.

Key catalysts / events

In the media sector, the key theme was cautious topline assumptions alongside improvements in cost control and capital policy. Dentsu G saw its domestic OP margin improve by 1.8ppt YoY, while Hakuodo DY cut SG&A by 0.2% for the full year, resulting in OP growth of 18.9% YoY, indicating disciplined cost management at both companies. In contrast, the four broadcasters guided for OP decline in FY3/27, reflecting conservative assumptions for spot advertising. We think the evaluation focus remains on the balance sheet. TV Asahi HD raised its payout ratio from 20% to 40%, Nippon TV HD announced a ¥12bn share buyback, and TBS HD indicated cumulative shareholder returns of ¥105bn over three years, highlighting a clearer commitment to shareholder returns. Meanwhile, Fuji Media HD delivered a P/L surprise, with OP plan of ¥40.1bn significantly exceeding market expectations, confirming a return to an earnings recovery trajectory.

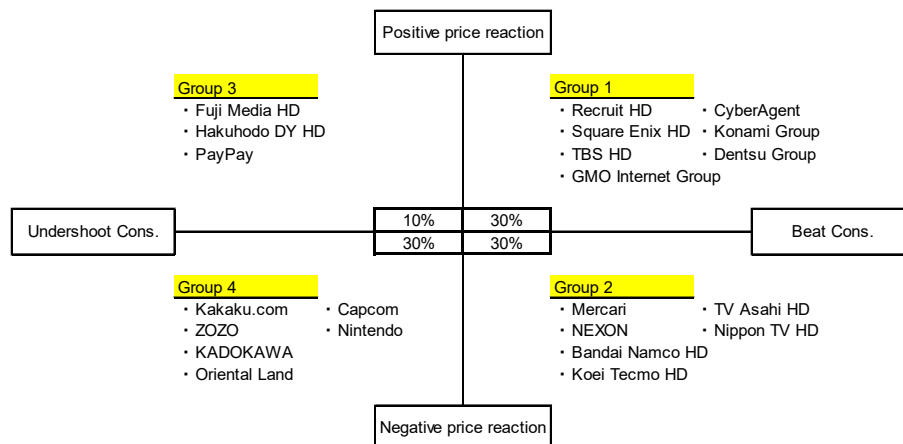
Recommended stocks)

Across the three sectors, we summarize the FY3/26 results with Recruit HD (6098), Capcom (9697), and CyberAgent (4751) as names where we maintain Buy rating. Recruit benefits from AI-driven pricing expansion in HR Tech, Capcom continues to demonstrate the earning power of its core IP, and CyberAgent sees strong performance across all three businesses. We think all three have further improved earnings visibility. Nintendo's (7974) medium-term growth story also remains intact, supported by pricing power for Switch 2 and a broader software lineup. On the other hand, we flag Bandai Namco HD and Nexon as names to watch. Bandai Namco (7832) has a back-end loaded earnings profile, and Nexon (3659) shows signs of slowing in core titles.



Exhibit 66: Groups 1 & 2 account for 60%; earnings beat expectations, but share-price reactions were mixed

1Q (Jan-Mar) results recap (Internet, Gaming, and Media sectors)



Source: BofA Global Research

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Exhibit 67: While pipelines across companies are not yet fully announced, Capcom stands out with a relatively robust lineup

Pipeline overview of major game companies

Company	Title	Release date	Platform
Capcom(9697)	PRAGMATA	4/24/2026	PS5, Switch 2, XSX S, Steam
	Onimusha: Way of the Sword	2026	PS5, XSX S, Steam
	Mega Man: Dual Override	2027	PS5, Switch 1&2, XSX S, Steam
CyberAgent(4751)	GRANBLUE FANTASY: Relink - Endless Ranarok	7/9/2026	PS5, Switch 2, Steam
	hololive Dreams	2026	iOS, Android
Nintendo(7974)	Pokémon Champions	4/8/2026	Switch
	Tomodachi Life: Living the Dream	4/16/2026	Switch
	Yoshi and the Mysterious Book	5/21/2026	Switch 2
	Star Fox	6/25/2026	Switch 2
	Rhythm Heaven Groove	7/2/2026	Switch
	Splatoon Raiders	7/23/2026	Switch 2
	Fire Emblem: Fortune's Weave	2026	Switch 2
	Pokémon Winds / Waves	2027	Switch 2
Square Enix HD(9684)	DRAGON QUEST Smash/Grow	4/21/2026	iOS, Android
	FINAL FANTASY XIV Online	6/3/2026	Switch 2, XSX S
	The Adventures of Elliot: The Millennium Tales	6/18/2026	PS5, Switch 2, XSX S, Steam
	Dragon Quest X: the Lost Children of Time and Space Online	6/25/2026	PS4, Switch, Windows
Koei Tecmo HD(3635)	DEAD OR ALIVE 6 Last Round	6/25/2026	PS5, XSX S, Steam
	BLUE REFLECTION Quartet	7/30/2026	PS5, Switch 1&2, Steam
	Dynasty Warriors 3 Complete Edition Remastered	2026	PS5, Switch 1&2, XSX S, Steam
Konami Group(9766)	eFootball™ Kick-Off!	6/4/2026	Switch 2
	Powerful Pro Baseball 2026-2027	6/11/2026	PS4, Switch
	Ganbare Goemon Daishuugou	7/2/2026	PS5, Switch, Steam
	Pro Baseball Spirits 2026	7/16/2026	PS5, Steam
	METAL GEAR SOLID: MASTER COLLECTION Vol.2	8/27/2026	PS5, Switch 1&2, XSX S, Steam
	SILENT HILL: Townfall	2026	PS5, Steam, Epic Games
	Castlevania: Belmont's Curse	2026	PS5, Switch, XSX S, Steam
KADOKAWA(9468)	The Duskbloods	2026	Switch 2
	Danganronpa 2x2	2026	PS5, Switch 1&2, XSX S, Steam, Epic Games
Bandai Namco HD(7832)	Echoes of Aincrad	7/9/2026	PS5, XSX S, Steam
	CAPTAIN TSUBASA 2: WORLD FIGHTERS	8/27/2026	PS5, Switch, XSX S, Steam
	The Blood of Dawnwalker	9/3/2026	PS5, XSX S, Steam

Source: Company, BofA Global Research

BofA GLOBAL RESEARCH

IT service sector (Hideaki Tanaka)

Sector overall view for the next quarter

We expect earnings to remain firm. While share prices of major system integrators have shown signs of stabilizing following the US Anthropic shock, a full recovery has yet to materialize. Looking ahead, we believe share prices will rise gradually, supported by sustained strong earnings and clearer demonstrations of AI adoption and its benefits. However, we do not expect a sharp rebound. Rather than a self-driven recovery, we believe inflows into the sector will be driven by a shift in risk-off asset allocation.

Over the medium term, we expect the equity market to increasingly recognize AI as a net positive for earnings, particularly among large system integrators, paving the way for a more meaningful recovery in share prices ([see our report dated 15 April](#)).

Review of FY1–3/26 results: While Nomura Research Institute (4307, NRI) revised down FY3/26 earnings significantly owing to a ¥96.9bn impairment loss in its overseas business, overall earnings were generally solid excluding this factor. Profitability trends remain positive, with Fujitsu (6702) and NEC (6701) showing notable margin improvements in IT services, supported by strong offering services. On the other hand, although FY3/27 guidance was broadly in line with consensus, even minor downside deviations were negatively received by the market.

Outlook for FY4–6/26: We expect major system integrators such as NEC, Fujitsu, and NRI to deliver strong earnings, with double-digit operating profit growth. We also forecast solid performance from package and cloud-based vendors, including OBIC (4684) and OBC (4733).

Key catalysts / events

Previously expected catalysts—the new medium-term management plans (MTPs) from NEC, Fujitsu, and NRI—did not drive share-price performance.

NEC's five-year MTP was positive, targeting a profit CAGR of 15% ([see our note dated 12 May](#)). However, despite FY3/27 guidance slightly missing consensus due to incorporating procurement risks, the share-price reaction was limited on the day following the announcement. NRI's plan was received negatively, reflecting conservative assumptions on margin improvement.

Fujitsu is scheduled to announce its new MTP on 28 May. While the format of its financial targets remains unclear, if it presents five-year targets, the key focus will be on the extent to which it can exceed a 10% CAGR. In the near term, sustained strong earnings performance is likely to be the main share-price driver. In terms of events, in addition to Fujitsu's MTP announcement, NEC is scheduled to hold an IR Day on 1 June. We believe management's continued emphasis on AI adoption and its positive impact could prompt a reassessment of earnings sustainability.

Recommended stocks

We continue to focus on major system integrators, including NEC, Fujitsu, and NRI. Among these, we highlight NEC in particular, as we forecast a top-tier Non-GAAP operating profit CAGR of 17% over the next three years, leading the sector.



Exhibit 68: FY3/27 outlook remains favorable

Quarterly operating profit trend (¥bn)

JPY bn	FY3/26 3Q		FY3/26 4Q		FY3/27 1Q		FY3/27 2Q		FY3/27 3Q		FY3/27 1Q	
	A	(YoY)	A	(YoY)	BofA E	(YoY)	BofA E	(YoY)	BofA E	(YoY)	V.A.Con	(YoY)
NSSOL	12.7	+11%	13.3	+49%	9.0	+6%	12.0	+23%	13.0	+2%	9.1	+7%
(OPM)	13.1%		12.5%		9.7%		11.2%		12.3%		9.8%	
TIS	19.3	+5%	21.4	+6%	16.9	+3%	19.6	+2%	21.2	+10%	-	-
(OPM)	13.0%		13.4%		11.6%		12.7%		13.8%		-	
NRI	40.0	+9%	-60.5	-286%	42.5	+14%	47.5	+14%	46.0	+15%	41.9	+12%
(OPM)	19.5%		-28.5%		20.7%		22.5%		21.3%		20.6%	
Obic	22.6	+13%	22.6	+14%	24.1	+12%	24.5	+10%	25.0	+11%	24.2	+12%
(OPM)	65.9%		64.3%		67.1%		66.9%		66.7%		67.3%	
OBC	6.1	+5%	6.3	+8%	6.1	+10%	6.3	+13%	6.8	+11%	6.0	+8%
(OPM)	47.2%		46.7%		45.5%		44.7%		46.3%		44.4%	
NEC (Non-GAAP)	82.4	-15%	187.3	+26%	49.0	+23%	111.0	+27%	100.0	+21%	46.0	+15%
(Non-GAAP OPM)	9.7%		16.1%		6.6%		12.2%		10.9%		6.2%	
IT Service	-	-	-	-	41.0	-	81.0	-	81.0	-	39.0	-
(Non-GAAP OPM)	-		-		8.1%		13.8%		13.5%		7.5%	
Fujitsu (Adj OP)	107.9	+52%	161.4	-5%	45.0	+28%	80.0	-7%	125.0	+16%	39.5	+13%
(Adj-OPM)	12.2%		15.3%		6.1%		10.0%		14.4%		5.3%	
Service Solutions	96.5	+32%	153.7	+20%	60.0	+25%	85.0	+18%	115.0	+19%	56.5	+18%
(Adj-OPM)	16.3%		21.1%		11.3%		14.9%		18.9%		10.6%	
BIPROGY	9.0	+25%	12.3	-12%	8.3	-3%	13.1	+2%	11.3	+26%	8.4	-2%
(OPM)	8.8%		9.7%		8.1%		11.4%		10.0%		8.1%	
	FY12/25 3Q		FY12/25 4Q		FY12/26 1Q		FY12/26 2Q		FY12/26 3Q		FY12/26 2Q	
	A	(YoY)	A	(YoY)	A	(YoY)	BofA E	(YoY)	BofA E	(YoY)	V.A.Con	(YoY)
Trendmicro	16.0	+8%	13.3	+50%	15.6	+4%	12.5	-7%	13.3	-17%	12.5	-7%
(OPM)	23.2%		18.2%		21.1%		17.0%		17.9%		17.2%	
Otsuka Corp	17.4	+30%	23.4	+6%	23.5	+11%	23.5	-16%	14.7	-15%	26.6	-5%
(OPM)	5.6%		7.4%		6.8%		6.7%		5.1%		7.4%	
	FY5/26 3Q		FY5/26 4Q		FY5/27 1Q		FY5/27 2Q		FY5/27 3Q		FY5/26 4Q	
	A	(YoY)	BofA E	(YoY)	BofA E	(YoY)	BofA E	(YoY)	BofA E	(YoY)	V.A.Con	(YoY)
Oracle Japan	24.4	+9%	24.0	+6%	22.8	+8%	23.3	+8%	26.2	+8%	25.1	+11%
(OPM)	33.8%		31.8%		32.1%		31.7%		33.9%		32.7%	

Source: Company, VA Consensus, BofA Global Research estimates (Three-tier presentation reflecting differences in fiscal year-ends)

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Auto, auto parts and tire (Shiro Sakamaki)

Sector view for the next quarter

In the near term, positives and negatives are likely to be mixed across OEMs. At the sector level, downside risk remains from production cuts due to naphtha shortages not factored into company guidance. As a result, companies may present conservative plans, while Toyota Motor (7203), with relatively strong procurement capabilities, should offer reassurance. That said, even for Toyota, some caution is warranted around potential share sales by financial institutions and the scope for consensus estimate cuts. Subaru Corp (7270) also appears to have set a fairly conservative plan, but upside to earnings will likely require solid US monthly sales data. Meanwhile, Mitsubishi Motors (7211), with high exposure to Asia where macro concerns linked to higher oil prices tend to weigh, and Suzuki Motor (7269), where production in India remains a concern following Prime Minister Narendra Modi's 10 May call to limit outings, could see share-price rebounds if Middle East tensions ease. For Mitsubishi Motors in particular, while its plan is not clearly conservative, expectations for its medium-term plan announcement, including alliance developments, should support the share price in the near term. Among companies that presented relatively strong full-year plans, Nissan Motor (7201) could see its 1Q progress appear modest. However, with the 1 July revision of the USMCA (United States–Mexico–Canada Agreement) approaching, both Nissan and Mazda Motor (7261) should benefit if the Mexican government succeeds in securing lower tariffs on exports to the US. Honda Motor (7267), which suggested a shift away from a self-reliant approach, now faces scrutiny over how it will fill the gap from cancelling BEV launches in North America next year, and clearer details on its forward strategy, including implications for affiliated suppliers, are awaited.

Among suppliers, attention is likely to focus on Toyota-affiliated names, which should benefit from relatively stable production volumes given the supply backdrop outlined above. Koito Manufacturing (7276) should continue to see share-price support from expectations for narrowing losses in its LiDAR business and a potential share buyback announcement. Meanwhile, for DENSO (6902), the next strategic step following the ROHM acquisition is awaited. For Honda-affiliated suppliers, the impact of Honda's evolving procurement strategy warrants close monitoring. Companies with growth drivers outside the automotive sector, such as NHK Spring (5991), are also likely to attract attention. In particular, NHK Spring offers upside not only from its HDD suspension business but also from semiconductor process components, for which it is targeting around 50% revenue growth.

In tires, there is concern about potential guidance cuts by companies such as Sumitomo Rubber (5110), which implemented price adjustments in the US from April. However, if Middle East tensions ease, a pullback in commodity prices, including natural rubber and crude oil, could present a buying opportunity. On a company-specific basis, expectations for a share buyback at Toyo Tire (5105) remain.

Catalysts and events

As noted, developments in the Middle East are the key macro event. At the company level, focus will also be on Mitsubishi Motors' medium-term plan announcement around end-May, and developments in auto tariffs stemming from the USMCA review. As Denso concludes its share-buyback program into the summer, its next strategic move will be closely watched. Meanwhile, in tires, industry consolidation will be a key area of focus toward the second half.

Recommended stocks

With visibility on earnings outlook still limited, Honda Motor may remain relatively resilient, supported by factors such as its dividend yield alongside expectations for the next step in structural reform. Mitsubishi Motors also warrants attention on its medium-term plan. Among suppliers, amid some lingering uncertainty over production volume outlooks, NHK Spring appears relatively undervalued considering Seagate's share-price strength in the HDD industry and remains a focus name, alongside Koito Manufacturing.



Exhibit 69: While more conservative guidance should provide greater reassurance, stock drivers remain mixed at the company level

Summary of operating profit by company

(bn)	Share price as of 15-May (¥)	Share price Change% April24-May15	4Q24	3Q25	Actual a	YoY	4Q25 BofAE b	a/b-1	ConE c	a/c-1	FY25 Actual	YoY	CoE	YoY	FY26 BofAE	ConE before after	FY26 CoE Forex W/\$	¥/€	
TOPIX OEM	3,863.97	+4%																	
7201 Nissan	375.0	+6%	5.8	17.5	68.1	+1077%	5.0	1262%	-9.9	na	58.0	-17%	200.0	245%	110.0	136.5	135.4	150	175
7203 Toyota *	3,085.0	+1%	1,116.1	1,191.0	569.5	▲49%	810.0	▲30%	862.2	▲34%	3,766.2	-21%	3,000.0	▲20%	4,430.0	4,607.4	4,338.3	150	180
7211 MMC	347.0	+11%	34.2	14.4	43.9	+28%	36.0	+22%	33.3	+32%	75.5	-46%	90.0	+19%	90.0	100.7	92.3	154	183
7261 Mazda	1,092.5	+7%	37.9	30.8	74.7	+97%	66.0	+13%	56.9	+31%	51.6	-72%	150.0	+191%	141.0	129.9	125.8	155	180
7267 Honda *	1,430.0	+10%	73.6	153.4	-1,005.9	na	-972.0	na	-661.3	na	-414.3	na	500.0	▲221%	30.0	504.7	330.3	145	-
7269 Suzuki *	1,843.5	+4%	163.1	152.6	193.8	+19%	150.0	+29%	161.5	+20%	622.9	-3%	570.0	▲8%	607.0	644.5	626.5	155	180
excl other profit/loss			157.8	148.5	182.0	+15%	145.0	+25%			591.9	-5%			583.0				
7270 SUBARU *	2,567.5	+5%	36.2	-36.4	-26.2	na	57.0	na	62.2	na	40.1	na	150.0	+274%	248.0	272.4	236.8	155	180
excl other profit/loss			42.3	19.2	49.0	+16%	60.0	▲18%			176.5	-58%			260.6				
Toyota-affiliated suppliers																			
3116 Toyota Boshoku *	2,285.5	▲2%	-9.6	23.2	-6.3	na	5.0	na	18.6	na	53.9	27%	80.0	+48%	85.0	85.9	82.0	150	180
excl other profit/loss			20.4	23.5	-3.2	na	21.0	na			55.9	-23%			87.0				
6902 Denso *	1,944.0	+4%	117.4	164.5	176.7	+50%	166.0	+6%	169.5	+4%	552.5	6%	500.0	▲10%	677.0	642.3	585.2	153	180
excl other profit/loss			126.3	168.6	188.5	+49%	166.0	+14%			571.0	15%			677.0				
7259 Aisin *	2,480.5	+14%	87.0	60.3	72.5	▲17%	73.0	▲1%	66.5	+9%	228.8	13%	235.0	+3%	250.0	262.3	253.7	150	175
excl other profit/loss			86.3	60.2	84.8	▲2%	73.0	+16%			235.4	25%			250.0				
7276 Koito	2,850.0	+13%	14.7	13.9	17.7	+20%	11.0	+61%	14.1	+26%	51.4	15%	60.0	+17%	55.0	58.2	57.6	150	-
7282 Toyoda Gosei *	4,771.0	+19%	12.8	19.6	27.0	+112%	19.0	+42%	16.2	+67%	79.6	33%	80.0	+1%	79.0	79.5	80.2	155	-
excl other profit/loss			21.6	20.5	29.7	+38%	25.0	+19%			82.9	21%			82.0				
Independent supplier																			
5991 NHK Spring	3,541.0	+27%	16.9	12.9	14.4	▲15%			16.1	▲11%	45.8	-12%	59.0	+29%	56.6	58.1	58.3	150	-
6674 GS Yuasa	6,450.0	3%	18.3	19.2	22.2	21.6%			17.7	25%	60.2	20%	60.0	0%	61.0	60.6	72.5	150	-
6923 Stanley Electric	3,487.0	+17%	16.1	10.1	14.1	▲12%	16.0	▲12%	16.2	▲13%	42.7	-13%	55.0	+29%	50.0	50.2	50.7	-	-

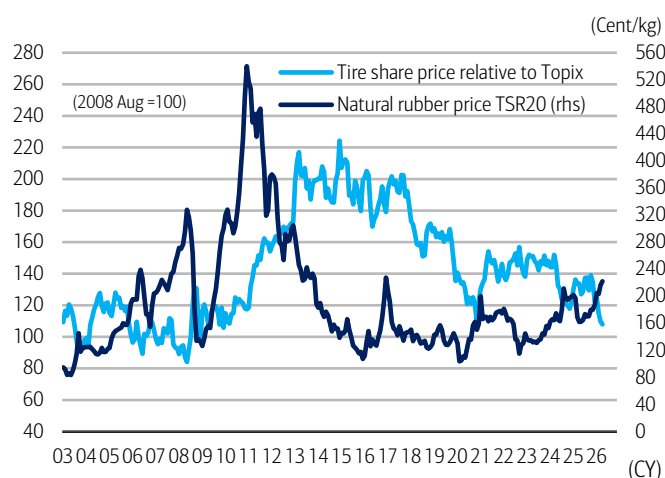
Note: CoE refers to company estimates, while ConE refers to consensus average estimates. For FY26 consensus estimates, "before" indicates the figures as of April 20 (prior to the earnings announcement), and "after" reflects the figures as of May 20

Source: BofA Global Research

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Exhibit 70: Share price inversely correlates with natural rubber price

4 tire companies' TOPIX-relative share price vs natural rubber price

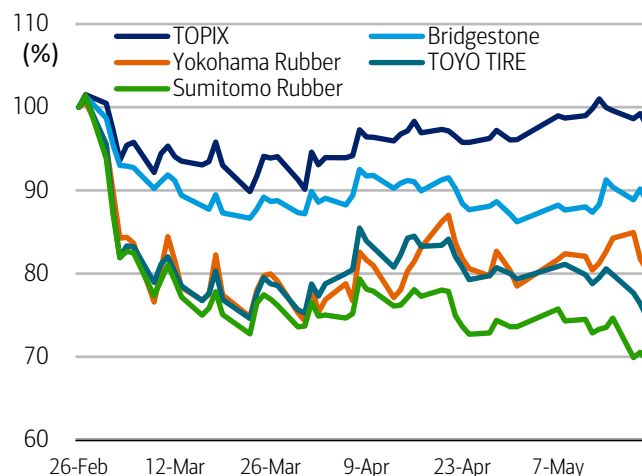


Source: Datastream, BofA Global Research

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Exhibit 71: Rebound expected on easing Middle East tensions

Trend of share prices for four tire companies and TOPIX



Source: Bloomberg, BofA Global Research

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Machinery (Kenjin Hotta)

Sector overall view for the next quarter

Among the key subsectors under our coverage, we remain relatively positive on factory automation (FA). Total FA-related orders rose 19% QoQ in 1Q CY2026, providing a solid set-up for 2Q CY2026. Moreover, based on our company discussions, we get the sense that order trends remain firm, likely supporting earnings momentum into 3Q CY2026.

We also believe that current semiconductor-related order run rates imply around mid-teens growth in FA demand in FY3/27, and even in the absence of a broad-based recovery, growth in FY3/27 should remain solid.

By contrast, we remain relatively cautious on construction and mining equipment, which we believe lacks a strong near-term volume growth driver, although we do not see evidence of any deterioration in underlying trends.

Finally, we take a neutral view on the heavy industrials, reflecting a lack of clear catalysts, and in the case of IHI, likely headwinds from weaker commercial aero engine-related demand.

Key catalysts / events

The potential announcement of the next defense spending plan in June, though recent reporting suggests potential delays in publishing an actual target for spending.

Ongoing monitoring of semis related data points (e.g. South Korea semis exports and Chipmaking equipment billings)

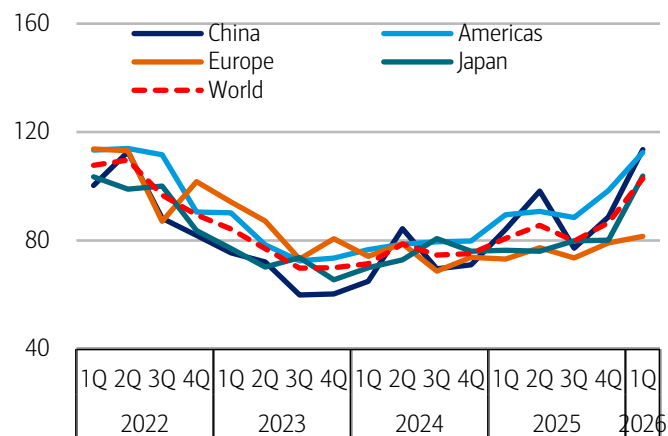
Recommended stock

Among our heavy industries coverage, our recommended stock is KHI (7012). With the Powersports & Engine business no longer expected to be a major earnings headwind, we believe FY3/27 should mark an earnings inflection point. In the meantime, valuations remain relatively attractive, in our view.

Within our construction-related coverage, we highlight Makita (6586). While volume growth in FY3/27 is likely to remain modest, we expect valuations to benefit from management's increased focus on improving ROE.

Exhibit 72: FA-related orders inflect across most regions in 1Q CY2026

FA related orders by region (index)

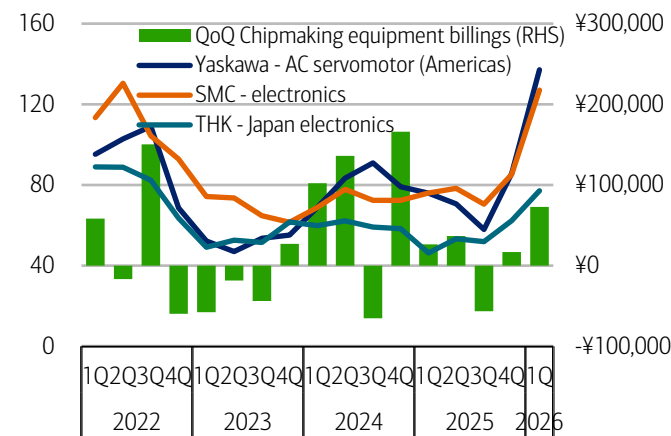


Source: Company data

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Exhibit 73: Semis-related orders drive the inflection

Yaskawa/SMC/THK order trends related to "semis"



Source: Company data, SEMI

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Transport (Nathan Gee / Hiro Nakakura)

Sector overall view for the next quarter

Shipping: Container shipping fundamentals tightening in the near term. But Iran war impacts are far more mixed than COVID and the Red Sea, and oversupply pressures looming into 2027-28. Watch scope for shareholder-return surprises from NYK and K-Line once Iran war uncertainties ease.

Airlines: Iran war a clear negative with a sharp earnings contraction expected in June'26 quarter. But Japanese airlines look better cushioned given fuel subsidies, hedging, tight international passenger market and robust cargo pricing. Domestic supply reforms could offer upside to medium-term profits.

Railways: Focus is shifting toward non-transport businesses (primarily real estate), as no major updates on railway pricing is expected. Cross-shareholdings reduction is likely to continue and could lead to additional shareholder-return surprise in 2H.

Trucking: Delivery volume is expected to grow, supported by both domestic and cross-border EC demand. The key focus will be on managing the volume mix and sustaining improvements in unit pricing. Earnings growth should continue to be driven by cost control, given limited visibility for major price hikes in the near term.

Key catalysts/ events

Iran war: Iran war having a big impact on shipping and airlines – so all eyes on potential resolution, including possible reopening of Hormuz.

Inbound tourism: A recovery in Chinese inbound demand is unlikely in the near term. However, if inbound traffic from North America and Europe softens, it could weigh on rail and hotel segment profitability, posing downside risk.

Recommended stocks

ANA (9202): Valuation near the bottom at 1x PBV. Upside risks around domestic supply reforms and strong cargo and international pricing power, while support from large buyback ongoing.

Odakyu (9007): Earnings visibility has improved further following the recent plan update. Combined with an uplift in shareholder returns and additional return measures, Odakyu offers one of the highest total shareholders returns among peers, while still retaining further upside to shareholder returns over the coming years.

Electronic materials sector (Niima Komura)

Sector overall view for the next quarter

Driven by robust AI demand, we expect 1Q FY2026 earnings for semiconductor material names to show solid progress, with upside increasingly coming into focus. Many companies may not have fully incorporated the impact of agentic AI adoption into their guidance, and we believe valuations remain attractive even for those that have issued bullish outlooks.

In AI server-related segments, stronger demand for 1.6T transceivers and the ramp-up to mass production of ceramic heat dissipation substrates should support a further step-up in MARUWA's earnings.

Key catalysts / events

Adoption of CMP slurry in advanced packaging by manufacturers would expand Fuso Chemical's exposure to back-end processes via its customers, supporting a potential re-rating of its valuation.

In addition, confirmation of (1) upward revisions to earnings outlook by foundries and memory manufacturers, (2) increased AI capex by hyperscalers in 2027, and (3) broader adoption of agentic AI could serve as positive catalysts for semiconductor materials and AI component names.

Recommended stocks

Tokyo Ohka Kogyo (4186) reported 1Q results, suggesting it is on track to achieve its revised medium-term OP target of ¥58bn for FY12/27 as early as this fiscal year, driven by robust AI demand. We expect an upward revision as early as 2Q, while the market is likely to start pricing in a meaningful upside to the medium-term plan beyond that.

Fuso Chemical (4368), despite issuing unusually bullish guidance for FY3/27, may not have fully incorporated the impact of agentic AI adoption into its company plan. As such, we believe 1Q results should pave the way for upward revisions.

MARUWA (5344) has set full-year guidance that appears overly conservative, reflecting geopolitical risks. However, we see significant upside potential in its AI and semiconductor businesses, and expect internal forecasts to be raised following 1Q results. Meanwhile, the market is likely to anticipate further upside, supporting a continued upward trend in the share price. In addition, any pull-forward in shipments of ceramic heat dissipation substrates for CPO, currently scheduled for 2H, could provide an additional upside driver for its AI-related business.



Glass & ceramic / paper & pulp (Kyoji Chiba)

Sector overall view for the next quarter

In the glass & ceramics sector, we continue to see AI-related growth as the key driver. We focus on catalysts tied to AI semiconductors, including Nichias's (5393) materials for semiconductor production equipment (SPE), Nippon Electric Glass's (5214) semiconductor support glass, AGC's (5201) extreme ultraviolet (EUV) mask blanks and CCL. In the cement sector, investor perception of Sumitomo Osaka Cement (5232), which develops electrostatic chucks, could change.

In the paper & pulp sector, we see the impact of rising logistics and labor costs, as well as higher raw material and fuel prices driven by Middle East developments. In Japan, ongoing price increases are likely insufficient to offset cost pressures, and further hikes will be needed. We also see expectations for industry restructuring, and will closely monitor developments at each company.

Key catalysts / events

AGC plans to hold a semiconductor business briefing on 2 June, which could lead to renewed recognition of its AI exposure. Positive AI-related news flow should support valuations of the two glass companies and SPE-related names (Nichias and Sumitomo Osaka Cement). For the three paper & pulp companies, we look for announcements of additional domestic price increases.

Recommended stocks

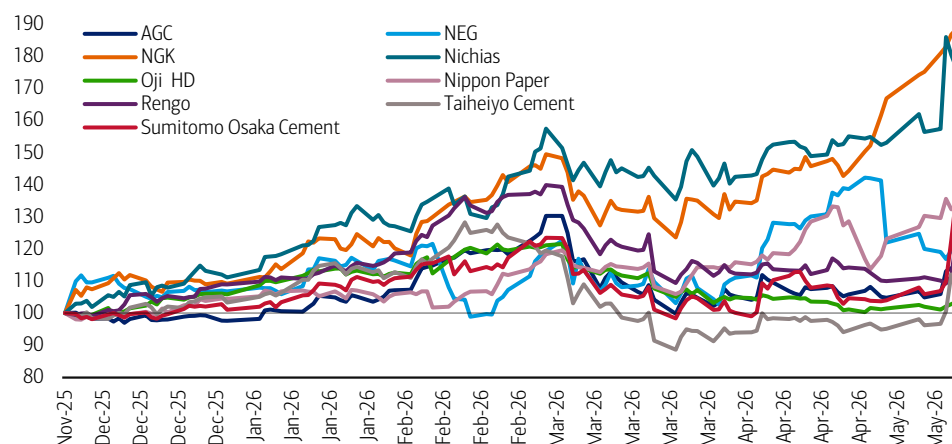
Nichias: We expect growth in materials for SPE and increased maintenance demand following nuclear power plant restarts. The company also has scope to enhance shareholder returns backed by strong cash inflows.

Nippon Electric Glass: Although the share price declined after 1Q FY12/26 results, we believe its AI-related growth story remains intact. We also watch for announcements related to advanced packaging materials such as low thermal expansion glass fiber and glass core substrates.

AGC: Following the above briefing, the market could again recognize the company's AI-related growth potential.

Exhibit 74: Nichias and NGK Insulators outperformed

Share-price performance of eight glass & ceramics and paper & pulp companies (six months)



Source: Bloomberg, BofA Global Research

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Retail sector (Arashi Nishizawa)

Sector view for the next quarter

Key points from the earnings announcements in Apr-May centered on the impact of Middle East tensions. At present, aside from some signs of rush demand for items such as toilet paper, there has been no major impact. However, with utility costs rising and cost inflation persisting, the focus is on the extent to which this will affect consumption. Given rising labor costs as well, companies will likely have no choice but to pass on costs. That said, we expect some companies to respond to changes in consumer behavior by seeking to secure gross profit dollars rather than gross margin.

At present, there are concerns about the impact on domestic consumption and cost inflation for daily necessities. However, if Middle East tensions become prolonged, the focus is likely to shift toward the impact on inbound demand, as well as pricing power of companies such as apparel retailers, where cost hikes tend to emerge with a time lag.

Catalysts and events

If the challenging environment is expected to continue, we believe this could serve as a catalyst for further industry consolidation. We have been focusing on consolidation in the food supermarket sector, and there have also been developments such as PPIH (7532) acquiring Olympics. We also get the impression that more companies are considering M&A as an option to secure store locations. We expect competition to intensify across industry boundaries, including among discounters and drugstores.

Recommended stocks

We continue to focus on Fast Retailing (9983), ASICS (7936), and Ryohin Keikaku (7453), which have growth drivers overseas. In terms of capturing domestic demand, we focus on PPIH (7532), Trial (141A), Kobe Bussan (3038), which we believe are likely to expand share while controlling margins.

Exhibit 75: JINS and Fast Retailing saw positive share-price reactions to earnings

List of full-year Feb-ending earnings results, company guidance and share-price reactions

Companies		Results					
		Actual	Guidance	Cons.	Vs. actual	BofA(Old)	Vs. actual
JINS	1H OP	4,932	5,160	4,718	4.5%	4,200	17.4%
Fast Retailing	1H OP	400,666		371,603	7.8%	376,000	6.6%
	BP	386,963		367,347	5.3%	370,000	4.6%
ABC-MART	FY OP	63,287	64,000	62,612	1.1%	61,200	3.4%
PAL	FY OP	27,144	26,400	27,933	-2.8%	27,000	0.5%
and ST	FY OP	16,524	19,000	16,000	3.3%	16,600	-0.5%
Cosmos Pharmaceutical	3Q OP	11,345		11,059	2.6%	10,800	5.0%
Kusuri no Aoki	3Q OP	7,926		7,650	3.6%	7,500	5.7%
Ryohin Keikaku	1H OP	45,045		43,753	3.0%		
Nishimatsuya Chain	FY OP	9,941	13,600				
Shimamura	FY OP	61,483		61,461	0.0%	61,300	0.3%
Bic Camera	1H OP	18,727	14,440	18,701	0.1%		
Sugi Holdings	FY OP	48,568	49,000	49,310	-1.5%	48,500	0.1%
Seven & i Holdings	FY OP	422,993	404,000	418,316	1.1%	420,000	0.7%
Takashimaya	FY OP	53,516	52,500	53,333	0.3%		
	BP	59,624	57,000				
J. Front Retailing	FY OP	49,015	44,000	46,196	6.1%		
	BP	50,597	48,500				
Aeon	FY OP	270,459	275,000	276,101	-2.0%		
Tsuruha Holdings	FY OP	63,037	63,300	60,267	4.6%	64,000	-1.5%
Saizeriya	1H OP	8,654	7,800	7,664	12.9%		

Source: BofA Global Research, company report

FY Guidance		FY		Share price reactions
		New FY Guidance	FY Cons.	
13,000	12,772	12,101	11,000	18.6%
650,000	700,000	657,097	668,900	12.0%
650,000	690,000		660,000	
	65,600	64,691	62,400	7.7%
	29,400	30,400	28,500	7.1%
	17,200	17,400	17,700	3.1%
40,500		41,643	42,000	1.9%
23,000		26,537	28,000	1.5%
79,000	89,000	86,717	86,500	1.4%
	12,540			1.1%
	66,842	64,753	61,600	0.7%
30,500	34,400	33,180		0.7%
	54,000	53,256	52,500	-1.8%
	405,000	429,752	378,000	-2.1%
	57,500	57,333		-2.1%
	64,300			
	47,000	49,050		-2.1%
	52,000			
	340,000	329,907		-4.4%
	99,400	87,691	87,000	-10.2%
19,000	18,200	19,179		-13.6%

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Exhibit 76: Nitori, K's, Goldwin and Seria saw positive share-price reactions to earnings

List of full-year Mar-ending earnings results, company guidance and share-price reactions

Companies		Results					
		Actual	Guidance	Cons.	Vs. actual	BofA(Old)	Vs. actual
Nitori	FY OP	125,526	123,504	1.6%	123,000		
K's	FY OP	26,799	23,977	11.8%			23,000
Goldwin	FY OP	25,859	24,986	3.5%	24,000		25,900
	RP	33,904	31,958	6.1%	31,520		33,900
Seria	FY OP	20,968	20,298	3.3%	21,000	-0.2%	19,300
Yamada	FY OP	16,166	16,943	-4.6%	16,100	0.4%	16,100
United Arrows	FY OP	9,126	9,000	1.4%	9,000	1.4%	9,000
Isetan Mitsukoshi	FY OP	80,020	78,113	2.4%			
Yonex	FY OP	16,546	16,313	1.4%			16,200
Edion	FY OP	25,782	26,000	-0.8%			25,000
Toridoll	FY BP	21,460					
	OP	10,578	16,150	-34.5%			19,600
Sundrug	FY OP	46,831	46,759	0.2%	46,000		14,600
F&L	1H OP	28,080	26,521	5.9%			
Komeri	FY OP	23,055	22,767	1.3%			23,500
ZOZO	FY OP	69,366	70,090	-1.0%			
PPIH	3Q OP	43,527	43,190	0.8%	43,000		
Skylark	1Q BP	9,089					
	OP	8,220	8,550	-3.9%			
MatsukiyoCocokara	FY OP	84,935	85,425	-0.6%	85,500		85,500
H2O	FY OP	32,386	31,000	4.5%			
ASICS	1Q OP	60,762	55,114	10.2%	55,500		
Workman	FY OP	29,676	29,553	0.4%	29,800	-0.4%	28,200
Intermestic	1Q OP	2,467					
Genky DrugStores	3Q OP	2,305	2,283	1.0%			
Zensho	FY OP	81,440	84,250	-3.3%			82,000
Trial	3Q OP	6,266	6,172	1.5%	6,684		

Source: BofA Global Research estimates, company report

FY Guidance	FY		Share price reactions
	New FY Guidance	FY Cons.	
	130,300	124,646	131,000 6.6%
	30,500	25,724	
	26,100	26,635	
	34,100	34,420	
	21,100	21,652	22,200 5.7%
	51,500	48,623	49,000 3.2%
	10,000	9,825	9,500 2.1%
	81,500	81,096	
	17,800	18,460	
	27,000	29,200	
	22,000		
	17,000	19,200	
	48,800	50,935	49,300 -0.3%
40,500	48,500	46,544	
	24,000	23,633	
	74,400	74,941	
174,000		176,810	177,000 -2.9%
36,000			
33,500		34,575	
	87,500	89,964	87,000 -5.0%
	32,500	34,750	
171,000		176,796	179,000 -7.9%
	32,112	33,457	35,200 -8.2%
	7,502		
	11,050	10,933	
	92,000	99,625	
25,400	28,000	31,423	33,600 -16.4%

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Food & beverage (Manabu Sumoge)

Sector overall view for the next quarter

Results for the January–March 2026 period were generally solid. However, across both December fiscal year-end companies in beer and soft drinks and March fiscal year-end companies in processed foods, discussion centered on cost inflation driven by the Middle East situation and the corresponding countermeasures. Companies providing insufficient explanation appeared to underperform in share price terms. Cost inflation related to the Middle East is expected to materialize mainly in the second half of the year, requiring responses that extend into FY3/27. At the same time, the magnitude of the impact remains uncertain, and many companies have not incorporated this into their plans, representing downside risk to earnings forecasts. Against this backdrop, we see three key focus areas for the sector: (1) clearer disclosure on the scale of cost increases linked to the Middle East situation; (2) the quality of pricing actions, in terms of both speed and magnitude, to offset such costs; and (3) visibility on earnings, including FY3/27. We believe companies that can respond swiftly to cost inflation while improving margins once the external environment stabilizes are likely to be relatively preferred.

Within sub-sectors, we regard beer and condiments as attractive. For beer, while competition is expected to intensify toward the liquor tax revision in October 2026, the industry's oligopolistic structure with four major names and ongoing fixed-cost optimization, driven by volume declines, suggest relatively high resilience to cost inflation. Condiments are supported by a high overseas sales ratio and the relatively limited volume impact following past price hikes. In contrast, while further price increases in soft drinks are likely, it will be important to assess whether companies can sufficiently absorb cost inflation given the current competitive environment.

Key catalysts / events

Price hike announcements across industries; monthly domestic sales data for beer and soft drinks (June, early July); US Nielsen data.

Recommended stocks

Kikkoman (2801): In 4Q FY3/26, North America sales growth (excluding FX) remained strong, with soy sauce at +7.6% and wholesale at +8.3%. By contrast, the company's assumptions for FY3/27 overseas sales growth (excluding FX) are +3.6% for North America soy sauce and +4.8% for wholesale, below the 4Q run rate. We view these assumptions as conservative, particularly in light of a recovery in exports to Canada. Costs may exceed plan, but we believe these can be addressed through cost reductions and pricing, as seen in 2022. Over the medium term, we expect improved sales growth driven by new plant operations and an acceleration in ROE improvement.

Kirin Holdings (2503): 1Q FY12/26 business profit significantly exceeded both our forecast and consensus, even excluding Kyowa Kirin. We maintain our business profit forecast to reflect potential incremental cost inflation arising from the Middle East situation. At the earnings briefing, management noted uncertainties in visibility but stated that if cost increases remain within a manageable range and are appropriately addressed, this could present upside. Our business profit forecast of ¥250.2bn is above company guidance and consensus, but considering the 1Q upside, along with ongoing cost reductions and potential additional price hikes, we believe it remains well within an achievable range.



Exhibit 77: Outperformance drivers include strong earnings, effective management of cost inflation stemming from the Middle East situation, and capital policy initiatives.

Food & Beverage Valuation / Performance (FY26/FY27: Bloomberg Consensus)

Subsector	TSE code	Company Name	Mkt Cap. ¥ bn	P/E		P/B	ROE		Yield		Stock performance				
				Current FY	Next FY	Prior FY	Current FY	Next FY							
				X	X	X	%	%	%	%	1W	1M	3M	6M	1Y
Marine Products	1332	Nissui	416	14.1	12.7	1.3	9.6	2.5	0%	3%	-10%	8%	59%		
Flour Milling	2002	Nisshin Seifun	582	14.9	14.0	1.1	7.6	3.3	3%	4%	-2%	12%	20%		
Confectionery	2201	Morinaga & Co.	220	11.1	10.7	1.5	13.8	2.9	2%	-9%	-10%	-5%	4%		
	2206	Ezaki Glico	376	33.3	28.5	1.3	3.7	1.8	1%	-7%	-6%	2%	20%		
Bakery	2212	Yamazaki Baking	710	14.8	14.0	1.4	9.1	1.9	5%	1%	-4%	0%	-2%		
Confectionery	2222	KOTOBUKI Spirits	318	22.3	19.2	6.6	27.4	1.9	-1%	-2%	3%	15%	-12%		
	2229	Calbee	401	19.2	17.8	1.7	9.4	2.3	3%	-1%	-1%	2%	3%		
Dairy	2264	Morinaga Milk	402	14.6	13.6	1.4	9.6	2.6	1%	-3%	2%	24%	46%		
	2267	Yakult Honsha	855	18.8	19.2	1.3	7.1	2.6	0%	6%	7%	9%	-6%		
	2269	Meiji HD	1,056	16.4	15.1	1.3	7.9	3.0	6%	2%	-1%	20%	20%		
Meat Product	2282	NH Foods	588	14.3	13.1	1.1	7.8	2.7	2%	-6%	-9%	-9%	22%		
Beer	2501	Sapporo	653	2.2	29.2	3.0	84.3	2.4	9%	-11%	-5%	2%	12%		
	2502	Asahi	2,405	15.6	12.3	0.8	5.5	3.1	5%	-1%	-6%	-8%	-15%		
	2503	Kirin	2,262	12.8	12.8	1.7	12.7	2.9	8%	6%	4%	12%	32%		
Soft Drink	2579	Coca-Cola BJH	605	24.5	19.5	1.6	6.1	2.0	4%	4%	-13%	22%	49%		
	2587	Suntory B&F	1,295	14.2	13.6	1.0	6.8	2.9	1%	-8%	-14%	-15%	-11%		
	2593	Ito En	251	147.6	22.7	1.9	1.6	1.6	-1%	-2%	-2%	-9%	-7%		
Oils & Fats	2602	Nisshin OilIO	170	13.2	11.9	0.8	6.2	3.4	-1%	-4%	-10%	1%	10%		
	2607	Fuji Oil	316	12.3	11.0	1.3	10.4	2.0	4%	0%	-9%	4%	22%		
Seasonings / Condiments	2801	Kikkoman	1,385	20.9	19.6	2.4	11.2	1.8	2%	-3%	-3%	0%	6%		
	2802	Ajinomoto	5,132	37.1	31.7	6.5	18.4	1.0	-9%	7%	10%	39%	53%		
	2809	Kewpie	589	22.1	20.0	1.8	8.0	1.6	2%	4%	-7%	-4%	29%		
	2810	House Foods	347	20.5	21.8	1.1	4.7	1.4	5%	14%	15%	20%	28%		
	2815	Ariake Japan	180	18.6	17.3	1.3	7.1	3.5	1%	-1%	-8%	4%	-11%		
Frozen Foods	2871	Nichirei	482	15.4	13.8	1.6	11.4	2.7	2%	0%	-9%	0%	5%		
Instant Noodles	2875	Toyo Suisan	1,228	15.3	14.4	2.0	13.4	2.0	7%	3%	-8%	0%	18%		
	2897	Nissin Foods HD	808	15.3	14.0	1.5	10.5	2.7	3%	-7%	-16%	-4%	-12%		
Tobacco	2914	JT	12,580	18.5	16.6	2.7	14.7	4.0	1%	10%	8%	10%	42%		
		Food Average		22.1	17.1	1.9	12.4	2.4	3.7%	4.3%	1.7%	12%	20%		

Source: Bloomberg, BofA Global Research

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Cosmetics & toiletries sector (Kentaro Hosoda)

Sector overall view for the next quarter

We see two key impacts from the Middle East situation: (1) supply constraints on oil-derived materials leading to production disruptions, and (2) higher raw material costs driven by rising oil prices. On (1), some companies are already seeing disruptions to new product launch cycles and shipments, and we think this will start to show more clearly in the Apr-Jun results. While firms are trying to manage this by production reallocation and delaying launches, we still need to look for risks if the situation persists. On (2), toiletry companies have been relatively proactive on price hikes, and given the essential nature of the products, the hurdle for passing on costs remains relatively low, which is somewhat reassuring. Based on the above, we summarize the sector fundamentals as balanced to slightly positive for toiletries, and negative for cosmetics.

Key catalysts / events

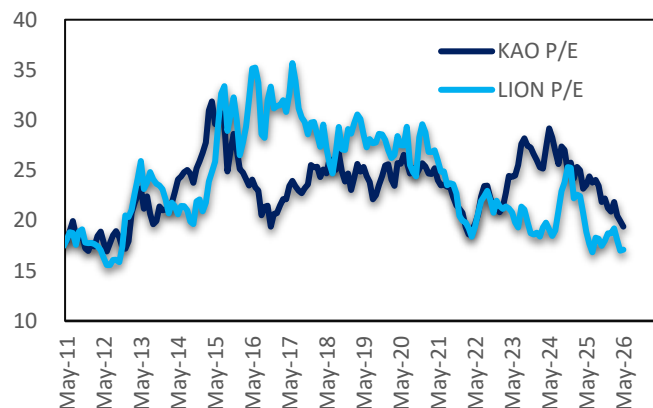
Recently, we observed some rotation into defensive names, including toiletries, driven by rising JPY interest rates. Going forward, the key question is how much of the cost pressure from the Middle East situation can be offset through pricing. In the near term, we would screen names based on “valuation attractiveness” and “domestic demand plus margin recovery.”

Recommended stocks

In a scenario where flows move into domestic defensives, we would focus on Lion (4912) given its relative valuation gap. Pigeon (7956) also looks attractive on a dividend yield basis, and if concerns around microplastics in the US continue to build and drive a shift toward glass baby bottles, there could be further upside. We also like Kao (4452) for its ability to maintain top-line growth even after passing through price increases.

Exhibit 78: Lion trades at a discount to Kao on a P/E basis

Historical P/E of Kao and Lion

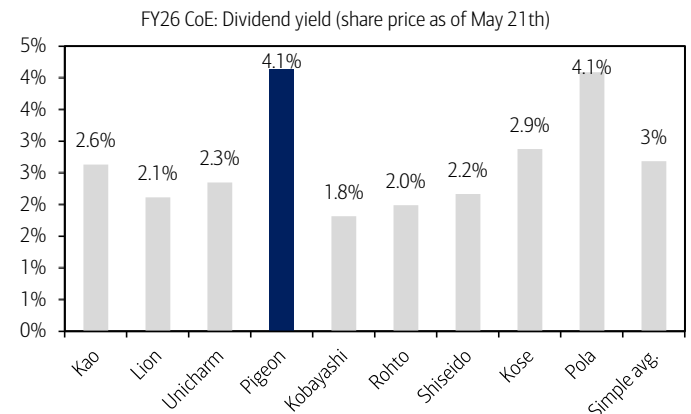


Source: LSEG, BofA Global Research

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Exhibit 79: Pigeon offers a dividend yield of 4.1%

Dividend yields of covered companies (as of May 21st)



Source: LSEG, BofA Global Research

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Biopharma sector (Koichi Mamegano)

Sector overall view for the next quarter

Biopharma stocks have been re-rated since October 2025 owing to reduced uncertainty over the US Most Favored Nation (MFN) drug-pricing policy. However, momentum has recently softened. Looking at performance, only four stocks have outperformed TOPIX over the past 52 weeks. While the number of outperformers increased over the past six months, it has again declined to just four names over the most recent four-week period, in line with the 52-week trend, suggesting a loss of momentum at the sector level. Against the backdrop of a strong Japanese equity market, biopharma stocks are increasingly being positioned as relative defensives.

Key catalysts / events

The US approval events to watch include Otsuka's centanafadine (ADHD), with a PDUFA date of 24 July; Takeda's oreporexton (narcolepsy type 1), 10 August; rusfertide (polycythemia vera), 29 August; Eisai's Leqembi IQLIK (Alzheimer's disease), 24 August; and Daiichi Sankyo's I-DXd (small cell lung cancer), 10 October. All of these are key events that could contribute to earnings growth for the respective companies.

For upcoming conference presentations, Otsuka's Voyxact (IgA nephropathy) is expected to present interim Phase-3 eGFR data at the European Renal Association (ERA; 3–6 Jun), while Ono's ONO-2808 will present positive Phase-2 data in multiple system atrophy at the International Congress of Parkinson's Disease and Movement Disorders (27 May), and ONO-4578 will present positive Phase-2 data in gastric cancer at ASCO (1 Jun). In evaluating these data, comparisons with competitor benchmarks will be important. In addition, topline Phase-2 readouts for multiple indications are expected for Ono's ONO-1110 (for depression and anxiety disorders), representing another key catalyst.

On strategic partnerships, Nxera's NXE'744 (EP4 receptor agonist) and NXE'149 (GPR52 agonist) are potential candidates for external partnering, with a possible timeline as early as mid-2026. Strategic investments to support medium- to long-term growth could also be undertaken by companies such as Otsuka, Shionogi, Santen, Eisai, and Kyowa Kirin, while Daiichi Sankyo is expected to continue divesting non-core assets.

Regarding corporate events, Ono plans to host an R&D Day on 8 June. Although timing has not yet been finalized, Shionogi is also expected to hold an R&D briefing, and Takeda plans to host a Capital Markets Day in the second half of FY3/27.

Recommended stocks

From June, we highlight Otsuka (4578), Astellas (4503), and Takeda (4502) as key stocks of interest.

For Otsuka, the impact of patent expiries for Jynarque (ADPKD) has remained more limited than initially expected, raising expectations for a potential upward revision to full-year guidance heading into the 2Q results. Otsuka also has multiple near-term catalysts, including the presentation of interim Phase-3 eGFR data for Voyxact (IgA nephropathy) at the European Renal Association (ERA) in early June, and the anticipated US approval of centanafadine (ADHD) in late-July.

Astellas is expected to outline its post-Xtandi (prostate cancer) patent expiry growth strategy in its Corporate Strategic Plan 2026. The company aims to improve its core operating profit margin through growth in strategic products and cost optimization, while accelerating the development of internally discovered assets.

Takeda, in addition to its existing business, is slated to receive the US approvals in August for oreporexton (for narcolepsy type 1) and rusfertide (for polycythemia vera), which are expected to serve as key growth drivers going forward.

Acronyms:

ADHD: Attention-Deficit/Hyperactivity Disorder

ASCO: American Society of Clinical Oncology

IgA: Immunoglobulin A

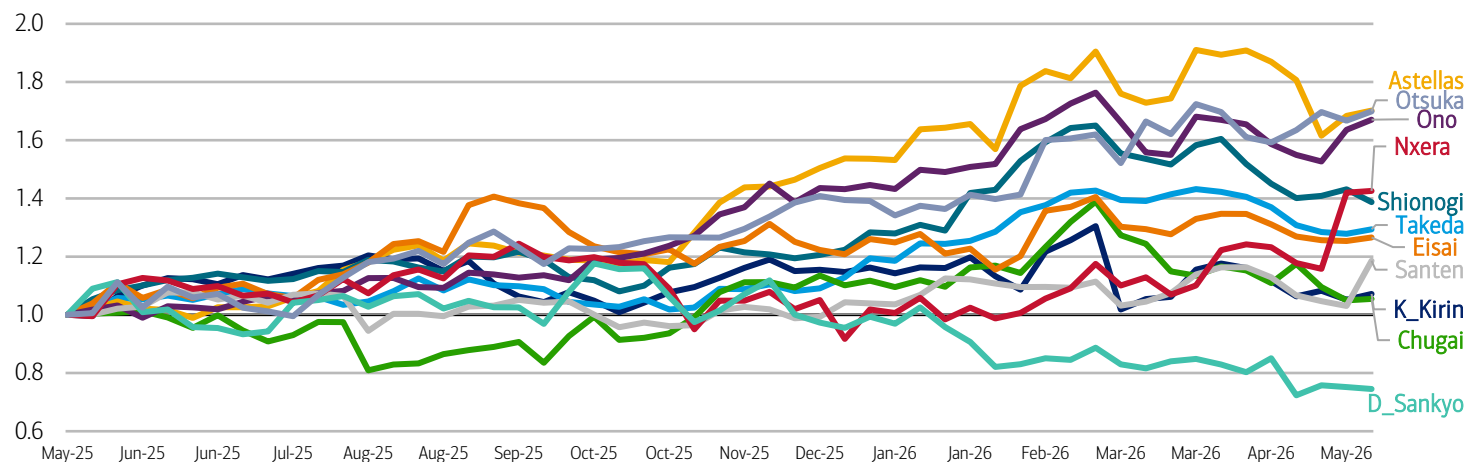
eGFR: estimated Glomerular Filtration Rate

ERA: European Renal Association

GPR52: G protein-coupled receptor 52

Exhibit 80: In the past 52 weeks, the top performers were Astellas, Otsuka, and Ono, while the underperformers were Daiichi Sankyo and Chugai.

Comparison of stock price performance over the past 52 weeks



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Exhibit 81: In the past 52 weeks, 4 out of the 11 stocks under our coverage have outperformed the TOPIX

Quarterly performance ranking

Ranking	Last 52wks		Last 9M		Last 6M		Last 3M		Last 4wks	
1	Astellas	70%	Ono	48%	Nxera	36%	Nxera	35%	Nxera	16%
2	Otsuka	70%	Otsuka	42%	Otsuka	34%	Santen	8%	Otsuka	7%
3	Ono	67%	Astellas	39%	Ono	24%	Otsuka	6%	Ono	5%
4	Nxera	43%	Chugai	27%	Astellas	23%	TOPIX	1%	Santen	5%
5	TOPIX	41%	Nxera	25%	Takeda	19%	Ono	0%	TOPIX	3%
6	Shionogi	39%	TOPIX	24%	Santen	17%	Takeda	-6%	Eisai	-3%
7	Takeda	29%	Takeda	20%	TOPIX	15%	Eisai	-7%	K.Kirin	-4%
8	Eisai	27%	Santen	18%	Shionogi	13%	Astellas	-7%	Shionogi	-4%
9	Santen	19%	Shionogi	17%	Eisai	3%	K.Kirin	-12%	Chugai	-5%
10	K.Kirin	7%	Eisai	2%	Chugai	-2%	D.Sankyo	-12%	Takeda	-6%
11	Chugai	5%	K.Kirin	-10%	K.Kirin	-5%	Shionogi	-13%	Astellas	-9%
12	D.Sankyo	-25%	D.Sankyo	-30%	D.Sankyo	-27%	Chugai	-14%	D.Sankyo	-12%
SD*		29%		22%		18%		14%		8%

Source: Bloomberg, BofA Global Research. SD: Standard Deviation.

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Healthcare (Ritsuo Watanabe / Kei Takeuchi)

Sector overall view for the next quarter

In medtech, stable end-demand should continue to support earnings, even amid a macro environment characterized by higher raw material costs and rising interest rates. Jan-Mar results confirmed solid performance at many major names, led by Terumo. If the market broadens after the AI-driven rally runs its course, we see a gradual correction of discounted valuations that have been overlooked. A resolution of medical device tariffs, scheduled for end-May, should also provide a tailwind. We believe this is a time to consider gradually adding risk exposure while monitoring the strength of the AI trade.

In healthcare services, developments following the June medical fee revision will be important. In particular, the pharmacy and hospice industries face a significant negative impact from the revision, and attention should be paid not only to the earnings impact but also to moves toward industry consolidation. For generics, the key issue is building production capacity to meet growing demand. Staffing services are showing signs of recovery, and we focus on the possibility that the busy Apr-Jun quarter could be evaluated positively. For healthcare IT, which we focus on, activity among hospitals and clinics remains sluggish, and we expect a relatively quiet quarter for earnings. In particular, M3 (2413) and JMDC (4483) have indicated low growth or profit decline for Apr-Jun due to reactionary declines from the previous year and upfront investment, and we see limited short-term investment appeal.

Key catalysts / events

In medtech, the investigation considering additional tariffs under Section 232 of the US Trade Expansion Act, which began in September, reaches its deadline at end-May. We hope to see uncertainty resolved. In addition, June has a rich event schedule for individual names, including Fujifilm's CEO dinner on 3 June, Shimadzu's medium-term plan announcement on 4 June, Terumo's IR Day on 11 June, and Asahi Intecc's Thailand plant tour on 26 June.

In healthcare services, we do not see notable catalysts, but we focus on the possibility of MBOs and TOBs among small- and mid-cap stocks, as in 2025. Among individual names, Medipal HD (7459) is expected to complete the conversion of Paltac into a wholly owned subsidiary in early July, but it is unclear whether the earnings forecast revision will come at the 1Q results announcement or the 2Q results announcement.

Recommended stocks

In medtech, we focus on Shimadzu (7701) as a name with company-specific catalysts, expecting an update on Tescan in the medium-term plan and greater clarity on capital policy. From the perspective of capturing the benefit of fund inflows into the overall sector, Terumo (4543) offers a high degree of comfort, as concerns such as one-off expenses and OrganOx are being resolved. Among small- and mid-cap stocks, we focus on Nakanishi (7716) and Menicon (7780), where the story of returning to a growth trajectory is attractive.

In healthcare services, we believe Medley (4480) in staffing services deserves the most attention, as we expect sales and profit to exceed guidance for the first time in three years. As investment targets with a high degree of comfort, we like generics names Towa (4553) and Sawai (4887). For Towa, this is driven by the contribution from the new product Efient AG (antithrombotic drug) and the production increase effect from the Yamagata plant. Sawai has been downgraded by the market owing to weak supply capacity, and we believe it is attractive from a valuation perspective.

Exhibit 82: Confirmed generally solid earnings except for Sysmex

Quarterly earnings: Bloomberg consensus vs actuals

mn JPY			Consensus						Actual						Gap vs consensus	
			Sales	Highest	Lowest	OP	Highest	Lowest	Sales	YoY	vs FYCoE	OP	YoY	vs FYCoE	Sales	OP
Medtech																
7733	Olympus	Q4	282,095	291,641	271,900	9,395	21,900	-2,576	295,281	9%	30%	26,868	-50%	33%	5%	186%
		12M	997,490	1,007,036	987,295	79,647	92,152	67,676	1,010,676	1%	101%	97,120	-40%	120%	1%	22%
4543	Terumo	Q4	288,495	298,300	281,400	37,034	56,000	42,200	300,320	14%	27%	31,453	30%	17%	4%	-15%
		12M	1,120,052	1,129,857	1,112,957	181,901	200,867	187,067	1,131,877	9%	102%	176,320	12%	97%	1%	-3%
6869	Sysmex	Q4	137,222	139,000	130,800	11,268	12,696	9,774	138,838	-2%	28%	3,174	-84%	6%	1%	-72%
		12M	498,390	500,168	491,968	59,925	61,353	58,431	500,006	-2%	100%	51,831	-41%	102%	0%	-14%
7747	Asahi Intecc	Q3	35,064	36,170	33,700	10,623	8,100	5,950	37,100	22%	26%	13,042	57%	31%	6%	23%
		9M	106,330	107,436	104,966	34,995	32,472	30,322	108,366	18%	77%	37,414	45%	89%	2%	7%
6523	PHC HD	Q4	95,415	96,458	94,251	4,036	4,500	4,300	95,152	0%	26%	5,580	1%	28%	0%	38%
		12M	364,666	365,709	363,502	21,144	21,608	21,408	364,403	1%	100%	22,688	0%	113%	0%	7%
4901	Fujifilm	Q4	880,154	890,283	852,283	90,770	80,232	74,000	927,252	7%	28%	101,759	-5%	30%	5%	12%
		12M	3,309,871	3,320,000	3,282,000	339,221	328,683	322,451	3,356,969	5%	102%	350,210	6%	105%	1%	3%
7701	Shimadzu	Q4	156,984	160,000	144,778	22,178	16,579	11,300	162,006	5%	29%	23,466	-5%	33%	3%	6%
		12M	555,706	558,722	543,500	72,414	66,815	61,536	560,728	4%	101%	73,702	3%	102%	1%	2%
7780	Menicon	Q4	31,851	32,368	31,400	1,500	2,100	1,975	31,673	6%	25%	1,237	-17%	12%	-1%	-18%
		12M	125,783	126,300	125,332	10,499	11,099	10,974	125,605	3%	100%	10,236	2%	100%	0%	-3%
7716	Nakanishi	Q1	20,419	21,400	19,800	3,496	4,707	4,266	22,489	21%	25%	4,675	39%	29%	10%	34%

Source: BofA Global Research and Bloomberg consensus. FY CoE: Full year Company estimates.

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Exhibit 83: All companies' March-quarter OP missed consensus by more than 10% except for Medipal HD.

Quarterly earnings: Bloomberg consensus vs actuals

mn JPY			Consensus						Actual						Gap vs consensus		
			Sales	Highest	Lowest	OP	Highest	Lowest	Sales	YoY	vs FYCoE	OP	YoY	vs FYCoE	Sales	OP	
High growth healthcare service																	
2413	M3	Q4	86,968	96,605	87,105	15,585	23,223	21,100	86,968	10%	24%	11,201	-13%	16%	0%	-28%	
		12M	351,363	361,000	351,500	77,931	85,569	83,446	351,363	23%	98%	73,547	17%	105%	0%	-6%	
4483	JMDC	Q4	14,296	14,912	13,512	3,783	2,000	1,000	13,974	26%	28%	2,754	-5%	24%	-2%	-27%	
		12M	50,784	51,400	50,000	11,550	9,767	8,767	50,462	24%	100%	10,521	23%	91%	-1%	-9%	
2175	SMS	Q4	17,849	20,198	17,155	3,241	4,100	4,000	17,389	8%	26%	2,882	5%	40%	-3%	-11%	
		12M	65,195	67,544	64,501	7,146	8,005	7,905	64,735	6%	96%	6,787	7%	93%	-1%	-5%	
4480	Medley	Q1	10,109	10,320	10,010	49	2,650	1,854	10,189	25%	22%	-67	-45%	-2%	1%	n.a.	
		3M	10,109	10,320	10,010	49	2,650	1,854	10,189	25%	22%	-67	-45%	-2%	1%	n.a.	
Other healthcare service																	
7459	Medipal HD	Q4	895,996	898,258	893,733	9,431	14,443	14,443	905,687	5%	24%	9,999	-2%	19%	1%	6%	
		12M	3,807,663	3,809,925	3,805,400	52,614	57,626	57,626	3,817,354	4%	101%	53,182	-4%	102%	0%	1%	
4887	Sawai GHD	Q4	49,678	52,136	48,044	4,982	6,403	6,403	46,812	2%	23%	-49	-100%	0%	-6%	-101%	
		12M	204,542	207,000	202,908	20,925	22,346	22,346	201,676	7%	100%	15,894	292%	76%	-1%	-24%	
4553	Towa Pharm.	Q4	74,447	75,007	73,435	7,152	6,300	3,710	69,645	6%	25%	3,612	-22%	16%	-6%	-49%	
		12M	278,512	279,072	277,500	26,642	25,790	23,200	273,710	5%	100%	23,102	-1%	100%	-2%	-13%	

Source: BofA Global Research and Bloomberg consensus. FY CoE: Full year Company estimates.

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Construction, real estate, and housing

(Takumi Kasai)

Sector outlook for the next quarter

Construction: In 1Q, updates regarding the impact of Middle East developments will be a key focus. While companies are expected to maintain their stance of passing on cost increases through price adjustments, risks remain that delays in the delivery of materials and equipment could lead to project completion delays and, consequently, postponed revenue recognition. Trends in order-time profitability should also be closely monitored. We expect operating profit to increase in 1Q for all companies except Taisei Corporation. Share buybacks are not anticipated.

Real Estate: The pace of office rent increases appears to have accelerated recently, and this trend is likely to continue into 1Q. We also expect progress in sales contracts for investment properties, as well as condominium pre-sales (with initial contract rates around 60–80%). As a near-term risk stemming from a deterioration in Middle East conditions, delays in material procurement could lead to postponed condominium handovers. In 1Q, in addition to the current procurement situation, it will be important to assess contingency measures in the event that such risks materialize. The pace of long-term interest rate increases also warrants close attention.

Housing: It appears that most companies have secured visibility on material procurement through June, suggesting that the impact of worsening Middle East conditions will be limited in 1Q. However, risks remain in terms of price increases and delivery delays for functional materials and housing equipment. Procurement conditions and pricing pass-through trends heading into 2Q and beyond should therefore be monitored closely. Interest rate trends in housing loans, both domestically and overseas, should also be watched as a risk factor.

Catalysts and events

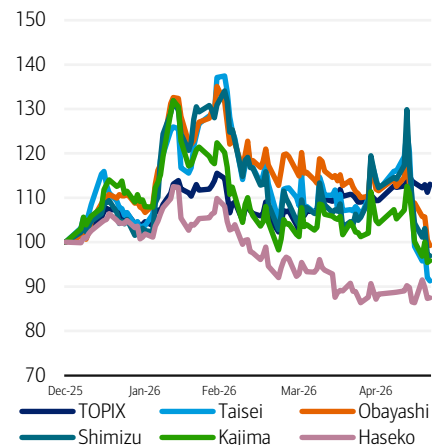
In the near term, the key events to watch are: (1) the BoJ Monetary Policy Meeting on 15–16 June, (2) updates on Middle East developments, and (3) Sekisui House's 1Q earnings announcement (4 June). Our economists expect a rate hike in June (0.75% → 1.0%). However, given that real estate stocks have already corrected significantly from their peaks, any additional negative reaction is likely to be limited. If Middle East tensions ease, we expect a positive share-price reaction for both construction and real estate sectors; in the short term, the impact is likely to be stronger for construction than real estate, as earnings concerns recede. On the other hand, if expectations for further rate increases decline significantly, real estate is likely to outperform. No positive catalyst is anticipated from Sekisui House's 1Q results, and attention will instead focus on housing material conditions and the latest trends in the US spring selling season.

Recommended stock

We recommend Katitas (8919). The company's business environment—focused on purchasing and reselling existing detached homes, primarily in regional areas—remains favorable. With reduced supply of new housing and rising prices, the value of existing homes is being reassessed, and this trend is likely to persist for the foreseeable future. While the company's guidance does not incorporate the impact of Middle East developments, it appears capable of mitigating potential delays in housing equipment procurement through measures such as continued use of existing equipment or post-handover add-ons and additional work. Its high growth profile, with an expected operating profit CAGR of approximately 13% through FY3/28 (BofA estimates), is likely to be re-evaluated in the current uncertain environment.

Exhibit 84: Sharp decline following the deterioration in Middle East conditions

Share prices of major contractors (end-2025 = 100)

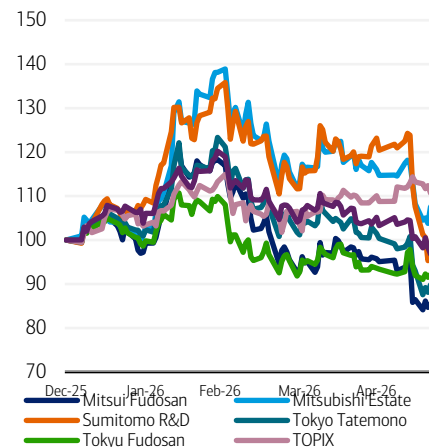


Source: BofA Global Research, Bloomberg

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Exhibit 85: Sumitomo Realty has seen a particularly sharp decline

Share prices of major developers (end-2025 = 100)



Source: BofA Global Research, Bloomberg

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Exhibit 86: Katitas rose following its earnings announcement

Share prices of major housing companies (end-2025 = 100)



Source: BofA Global Research, Bloomberg

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Exhibit 87: Stocks mentioned

Share prices and investment opinions for companies noted in this report

TSE Code	Co Name	BofA Ticker Local / ADR	QRQ	Rating	PO Local / ADR	Price Local / ADR	Analyst
1928	Sekisui House	SKHSF	B-2-7	NEUTRAL	3,800	3,345	Takumi Kasai
2413	M3	MTHRF	C-1-7	BUY	2,200	1,401	Ritsuo Watanabe
2503	Kirin Holdings	KNBWF	A-1-7	BUY	2,800	2,753	Manabu Sumoge
2801	Kikkoman	KIKOF	B-1-7	BUY	1,800	1,382	Manabu Sumoge
3038	Kobe Bussan	KOBNF	B-1-7	BUY	4,150	2,639	Arashi Nishizawa
3659	NEXON	NEXOF	B-3-7	UNDERPERFORM	2,270	2,207	Yoshitaka Nagao
4186	Tokyo Ohka Kogyo	TOKCF	C-1-7	BUY	14,300	11,170	Niima Komura
4307	Nomura Research Institute	NURAF/NRILY	B-1-7	BUY	6,100 / 39.35	4,564 / 29.58	Hideaki Tanaka
4368	Fuso Chemical	XQRDF	B-1-7	BUY	5,000	4,590	Niima Komura
4452	Kao	KAOCF	A-2-7	NEUTRAL	6,400	5,941	Kentaro Hosoda
4480	Medley	XEQNF	C-1-9	BUY	3,200	2,172	Ritsuo Watanabe
4483	JMDC	JMDCF	C-1-7	BUY	4,100	2,717	Ritsuo Watanabe
4502	Takeda Pharm.	TKPHF/TAK	A-1-7	BUY	6,000 / 19.4	5,060 / 16.25	Koichi Mamegano
4503	Astellas Pharma	ALPMF/ALPMY	B-1-7	BUY	2,950 / 19	2,233.5 / 14.21	Koichi Mamegano
4523	Eisai	ESALF	B-3-7	UNDERPERFORM	4,000	3,980	Koichi Mamegano
4543	Terumo	TRUMF	B-1-7	BUY	2,900	2,335	Ritsuo Watanabe
4553	Towa Pharmaceutical	TWAPF	B-1-7	BUY	5,300	3,890	Ritsuo Watanabe
4568	Daiichi Sankyo	DSKYF/DSNKY	B-1-7	BUY	4,500 / 29	2,706 / 16.62	Koichi Mamegano
4578	Otsuka HD	OTSKF/OTSKY	B-1-7	BUY	12,400 / 40	11,435 / 36.53	Koichi Mamegano
4684	Obic	OBIF/OBICY	B-1-7	BUY	5,600 / 36.13	4,043 / 12.99	Hideaki Tanaka
4733	Obic Business Consultants	OBIBF	B-1-7	BUY	8,800	6,009	Hideaki Tanaka
4751	CyberAgent	CYAGF	B-1-7	BUY	1,820	1,331	Yoshitaka Nagao
4887	Sawai Group Holdings	SWGHF	B-1-7	BUY	2,300	1,773	Ritsuo Watanabe
4912	Lion	LIOPF	B-1-7	BUY	2,000	1,581	Kentaro Hosoda
5105	Toyo Tire	TOTTF	B-2-7	NEUTRAL	4,100	3,718	Shiro Sakamaki
5110	Sumitomo Rubber Industries	SMTUF	B-1-7	BUY	2,500	2,067	Shiro Sakamaki
5201	AGC Inc	ASGLF	A-1-7	BUY	7,500	7,102	Kyoji Chiba
5214	Nippon Electric Glass	NPEGF	B-1-7	BUY	8,000	6,677	Kyoji Chiba
5232	Sumitomo Osaka Cement	SUCEF	B-3-7	UNDERPERFORM	3,500	5,249	Kyoji Chiba
5344	MARUWA	MAWAF	B-1-7	BUY	93,000	76,170	Niima Komura
5393	Nichias	NICFF	B-1-7	BUY	3,500	3,498	Kyoji Chiba
5831	Shizuoka Financial Group	SFGIF	B-2-7	NEUTRAL	3,100	2,955	Shinichiro Nakamura
5991	NHK Spring	NHKGf	B-1-7	BUY	3,400	3,366	Shiro Sakamaki
6098	Recruit Holdings	RCRRF	B-1-7	BUY	12,000	9,824	Yoshitaka Nagao
6501	Hitachi	HTHIF/HTHIY	C-1-7	BUY	6,000 / 38.71	5,056 / 31.6	Mikio Hirakawa
6503	Mitsubishi Electric	MIELF	B-1-7	BUY	6,700	6,539	Mikio Hirakawa
6586	Makita	MKEWF	B-1-7	BUY	6,500	5,702	Kenjin Hotta
6701	NEC	NIPNF	C-1-7	BUY	6,900	4,113	Hideaki Tanaka
6702	Fujitsu	FJTSF/FJTSY	B-1-7	BUY	4,800 / 30.97	3,370 / 20.88	Hideaki Tanaka
6723	Renesas Electronics	RNECF	C-1-7	BUY	4,900	4,589	Mikio Hirakawa
6752	Panasonic	PCRFF	B-1-7	BUY	3,800	3,607	Mikio Hirakawa
6902	DENSO	DNZOF	B-1-7	BUY	2,400	1,851	Shiro Sakamaki
7012	Kawasaki Heavy Industries	KWHIF	C-1-8	BUY	3,760	3,380	Kenjin Hotta
7013	IHI	IHICF	C-1-7	BUY	4,950	2,945	Kenjin Hotta
7167	Mebuki Financial Group	MEBUF	B-1-7	BUY	1,650	1,389	Yuji Kobayashi
7186	Yokohama Financial Group	CCRDF	B-2-7	NEUTRAL	1,700	1,651	Shinichiro Nakamura
7201	Nissan Motor	NSANF/NSANY	B-3-7	UNDERPERFORM	390 / 4.83	379.8 / 4.57	Shiro Sakamaki
7203	Toyota Motor	TOYOF/TM	B-1-7	BUY	4,200 / 269.1	3,022 / 189.08	Shiro Sakamaki
7211	Mitsubishi Motors	MMTOF	B-3-7	UNDERPERFORM	360	403	Shiro Sakamaki
7261	Mazda Motor	MZDAF	B-2-7	NEUTRAL	1,310	1,101	Shiro Sakamaki
7267	Honda Motor	HNDAF/HMC	B-1-7	BUY	1,600 / 29.83	1,407 / 26.47	Shiro Sakamaki
7269	Suzuki Motor	SZKMF	B-1-7	BUY	2,500	1,921	Shiro Sakamaki
7270	Subaru Corp	FUJHF/FUJHY	B-2-7	NEUTRAL	3,200 / 10.06	2,466 / 7.63	Shiro Sakamaki
7276	Koito Manufacturing	KOTMF	B-1-7	BUY	3,100	2,695	Shiro Sakamaki
7327	Daishi Hokuetsu Financial Group	DSHHF	C-1-7	BUY	2,400	2,094	Yuji Kobayashi
7453	Ryohin Keikaku	RYKKF/RYKKY	C-1-7	BUY	4,500 / 14.52	3,624 / 11.33	Arashi Nishizawa
7532	Pan Pacific International HD	DQJCF	C-1-7	BUY	1,150	809	Arashi Nishizawa
7701	Shimadzu	SHMZf	B-1-7	BUY	5,300	3,825	Kei Takeuchi
7716	Nakanishi	NKNSF	B-1-7	BUY	3,900	3,145	Kei Takeuchi
7780	Menicon	MNNLF	C-1-7	BUY	2,200	1,679	Kei Takeuchi
7832	Bandai Namco Holdings	NCBDF	B-3-7	UNDERPERFORM	3,610	3,631	Yoshitaka Nagao
7936	Asics	ASCCF	C-1-7	BUY	6,000	4,554	Arashi Nishizawa
7956	Pigeon	PIGEF	B-1-7	BUY	2,000	1,807	Kentaro Hosoda



Exhibit 87: Stocks mentioned

Share prices and investment opinions for companies noted in this report

TSE		BofA Ticker		PO	Price	
7974	Nintendo	NTDOF	C-1-7 BUY	10700	7060	Yoshitaka Nagao
8253	Credit Saison	CSASF	B-2-7 NEUTRAL	5,300	4,135	Natsumu Tsujino, CFA
8306	Mitsubishi UFJ Financial Group	MBFJF/MUFG	B-1-7 BUY	3,450 / 22.25	3,061 / 19.4	Shinichiro Nakamura
8308	Resona Holdings	RSNHF	B-1-7 BUY	2,350	2,085	Shinichiro Nakamura
8316	Sumitomo Mitsui Financial Group	SMFNF/SMFG	C-1-7 BUY	6,650 / 25.84	6,065 / 22.7	Shinichiro Nakamura
8331	Chiba Bank	CHBAF	B-2-7 NEUTRAL	2,500	2,353	Shinichiro Nakamura
8334	Gunma Bank	GMBKF	B-1-7 BUY	2700	2285	Yuji Kobayashi
8354	Fukuoka Financial Group	FKKFF	B-3-7 UNDERPERFORM	6,850	6,609	Shinichiro Nakamura
8411	Mizuho Financial Group	MZHOF/MFG	B-1-7 BUY	8,300 / 10.81	7,359 / 9.32	Shinichiro Nakamura
8591	ORIX	ORXCF/IX	B-2-7 NEUTRAL	6,280 / 38.87	6,362 / 38.85	Natsumu Tsujino, CFA
8593	Mitsubishi HC Capital	MIUFF	A-3-7 UNDERPERFORM	1,310	1,335	Natsumu Tsujino, CFA
8601	Daiwa Securities Group	DSECF	B-2-7 NEUTRAL	1,670	1,482	Natsumu Tsujino, CFA
8630	Sompo Holdings	NHOLF	B-1-7 BUY	7,250	5,742	Natsumu Tsujino, CFA
8697	Japan Exchange Group	OSCUF	B-2-7 NEUTRAL	2,200	1,990	Natsumu Tsujino, CFA
8750	Daiichi Life Group	DCNSF	C-1-7 BUY	1,870	1,672	Natsumu Tsujino, CFA
8766	Tokio Marine Holdings	TKOMF/TKOMY	B-1-7 BUY	9,840 / 61.96	7,356 / 46.48	Natsumu Tsujino, CFA
8919	Katitas	KTITF	B-1-7 BUY	4,000	3,515	Takumi Kasai
9007	Odakyu Railway	ODERF	B-1-7 BUY	2,000	1,649	Hiro Nakakura, CFA
9101	Nippon Yusen	NYUKF	B-2-8 NEUTRAL	6,525	5,254	Nathan Gee, CFA
9104	Mitsui O.S.K. Lines	MSLOF	B-2-8 NEUTRAL	6,400	5,554	Nathan Gee, CFA
9202	ANA Holdings	ALNPF	A-1-7 BUY	3,300	2,890	Nathan Gee, CFA
9697	Capcom	CCOEF	B-1-7 BUY	4,700	3,135	Yoshitaka Nagao
9983	Fast Retailing	FRCOF/FRCOY	B-1-7 BUY	84,000 / 54.19	75,510 / 47.73	Arashi Nishizawa
141A	Trial Holdings	XIKRF	C-1-7 BUY	5,400	2,803	Arashi Nishizawa

Source: BofA Global Research

Note: Share prices are as of 26 May 2026 close

BofA GLOBAL RESEARCH

Price objective basis & risk**Trial Holdings (141A / XIKRF)**

We set our Price Objective (PO) at ¥5,400, based on c.9.5x FY6/28 EV/EBITDA. Given the company is viewed/valued as a discounter in its home market of Kyushu, we benchmark our valuation to three comparable peers whose EV/EBITDA multiples are around c.9.5x, and set our PO accordingly.

Upside risks are (1) successful establishment of the new store format, (2) retail-tech initiatives providing further differentiation, and (3) online grocery/net supermarket emerging as a meaningful growth driver. Downside risks are (1) a slower-than-expected recovery at Seiyu, (2) intensifying competition, and (3) external factors such as weather affecting near-term earnings.

Sekisui House (1928 / SKHSF)

We base our price objective of ¥3,800 on our FY1/27 EPS estimate of ¥344.8 and a multiple of 11x, the average since 2020, when the company's US expansion gained momentum.

Upside risks are (1) share buybacks, (2) M&A, and (3) growth in energy-efficient housing demand.

Downside risks are (1) weak housing markets, (2) worsening real estate transaction markets, (3) further sharp increases in material prices, and (4) a rapid rise in interest rates.

M3 (2413 / MTHRF)

Our ¥2,200 price objective is derived from our DCF model based on 20 years of earnings forecasts for coverage companies, although we also take into consideration other valuation metrics such as P/E and EV/EBITDA. DCF assumptions are a risk-free rate of



2.0%, an equity premium of 5.5%, and a perpetual growth rate of 2.0%. FCF risk is reflected in the equity beta, which considers quantitative risk derived from scenario analysis and qualitative risk based on factors such as management strategies. The equity beta is set at a tiered level within the sector. We base our price objective on a stock beta of 0.96, based on its two-year adjusted Bloomberg data, and WACC of 6.9%.

Our price objective equates to a P/E of 23x our FY3/28 EPS. Upside risk to our PO would be that revenues generated by new businesses leveraging M3's platform exceeding expectations while downside risks are (1) sustainability of growth coming into question, (2) growth investment expanding substantially above expectations, and (3) risk tolerance for stocks from other sectors increasing.

Kirin Holdings (2503 / KNBWF)

Our price objective of ¥2,800 is based on an EV/EBITDA multiple of 11.8x for FY12/26 EBITDA excluding Kyowa Kirin (three-year historical average: 11.3x). We estimate that Kirin's enterprise value reflects a discount versus its theoretical shareholder value on a sum-of-the-parts basis, with the discount corresponding to the unrealized gains associated with Kyowa Kirin.

Upside risks to our price objective are (1) stronger-than-expected synergies in the Health Science business, (2) progress in portfolio divestitures or reorganization, (3) better-than-expected profitability improvement at Kirin Brewery, and (4) faster profit growth at Kyowa Kirin.

Downside risks are (1) impairment losses related to acquired businesses, (2) intensifying competitive environments across key markets, and (3) accelerated tightening of global alcohol regulations.

Kikkoman (2801 / KIKOF)

Our price objective of ¥1,800 is based on applying a P/E of 24x to our FY2026 forecast (ending in March 2027), which is one standard deviation below the historical average.

This corresponds to a P/B of 3.1x and an EV/EBITDA multiple of 14.0x on FY2026 estimates. Downside risks to our price objective are: (1) slower sales growth in North America and Europe, (2) profit erosion from yen appreciation on currency translation, and (3) limited progress on capital efficiency improvement measures. Upside risks are: (1) an acceleration in North America sales growth, (2) potential policy changes in the US such as tax cuts or demand stimulus measures, (3) increased relative attractiveness driven by yen depreciation, and (4) a higher likelihood of achieving the ROE target ahead of schedule.

Kobe Bussan (3038 / KBNF)

We set our Price Objective at ¥4,150, corresponding to a P/E of approximately 27x our FY10/27 estimates. As a reference point, during Oct 2025 to March 2026, when the sales momentum slowed down, P/E traded around 27x, we used this trading range to inform the PO setting. Upside risks would be an acceleration in store openings and yen appreciation that would lift margins, while downside risks are a sales slowdown that could prompt a short term share price correction and sharp yen depreciation that would raise procurement costs beyond the company's ability to absorb in the near term.

NEXON (3659 / NEXOF)

Our PO of ¥2,270 is based on applying approximately 18x P/E to our FY12/26E EPS of ¥123. This represents an approximately 20% discount to the FY26 average P/E of approximately 23x for the 10 companies in the Game & Content cluster we cover. We apply this discount as we expect the company's EPS CAGR for FY12/27-FY12/28 to be approximately 2%, below the cluster average of approximately 12%.

Upside risks to our PO are: new hit titles, success in Western markets, and progress in shareholder returns. Downside risks are: weakness in the PC game business in China and Korea, tighter game regulations in both markets, and higher share price volatility due to quarterly guidance updates.

Tokyo Ohka Kogyo (4186 / TOKCF)

Our price objective of ¥14,300 is derived by applying a 37x P/E multiple to our FY12/27 EPS forecast.

The 37x multiple represents the upper bound of the past three-year average plus 1 σ level, and reflects the company's deep involvement in technological innovation across both front-end and back-end semiconductor processes, particularly in advanced applications such as generative AI.

Downside risks are 1) longer than expected cooling demand in the semiconductor market, 2) customers failing to adopt Tokyo Ohka Kogyo's products for use in production lines for cutting-edge devices, 3) trend change of semiconductor market caused by US-China trade friction, and 4) sharp yen appreciation (FX sensitivity of OP: ¥0.2bn).

Nomura Research Institute (4307 / NURAF / NRILY)

We derive our ¥6,100 price objective (ADR: US\$39.35) by applying a FY3/28E P/E of 25x to our FY3/28 EPS forecast of ¥244.4. The 25x multiple corresponds to the three-year average forward P/E minus 1 σ , and compares with the past five-year forward P/E range of 18-39x. While we expect earnings to remain solid, this implies a historically low valuation. However, in light of recent market dynamics, including the "Anthropic shock," we view this level as appropriate.

Upside risks to our price objective are: (1) stronger-than-expected domestic order growth, (2) greater-than-expected improvement in gross margins, (3) better visibility on the overseas business outlook, and (4) additional share buybacks.

Downside risks are: (1) weaker domestic orders, and (2) supply-demand deterioration due to share sales by the largest shareholder.

Fuso Chemical (4368 / XQRDF)

Our ¥5,000 price objective is based on applying a 30.0x P/E multiple to our FY3/27E EPS. Ultra high purity colloidal silica has already driven full utilization of production lines, supported solely by demand from generative AI and other advanced logic applications. More recently, China and back end advanced packaging demand have emerged as additional growth drivers. Given that growth expectations for the company are now at their highest level in years, we believe it is appropriate to apply a valuation of +1 σ to the company's post 2020 peak multiple.

Upside risks are 1) Colloidal silica price hikes exceeding depreciation burden, 2) Colloidal silica price hikes exceeding depreciation burden, 3) Colloidal silica price hikes exceeding depreciation burden 4) Stronger malic acid export growth to Europe/US.

Downside risks are, 1) Sharp semiconductor market downturn, 2) Delays in major semiconductor fab construction, 3) Weak malic acid demand, 4) Greater competitive entry into colloidal silica

Kao (4452 / KAOCF)

Our PO of ¥6,400 is based on P/B-ROE correlation, and derived by applying a P/B multiple of 2.6x (based on our FY26/12E ROE) and multiplying it by our FY26/12E BPS.

Upside risks are earnings improvement driven by a sharp recovery in the cosmetics business, the announcement of M&A, and early disclosure of share buybacks. Downside risks are persistently high crude oil prices, supply constraints stemming from difficulties in procuring naphtha, and a further deterioration in Japan-China relations leading to weaker inbound demand, among others.

Medley (4480 / XEQNF)

Our ¥3,200 price objective is calculated based on the SOTP (sum-of-the-parts) method. A DCF model was used to derive the valuation for the Recruitment PF, which has a high visibility for FCF, and consolidated costs, based on a 20-year earnings forecast. Our



primary DCF assumptions are a risk-free rate of 2.0%, risk premium of 5.5%, WACC of 7.7%, and equity beta of 1.25. The beta is based on an assessment of the degree of risk to future earnings using Bloomberg's two-year adjusted beta. Based on the above, value per share is ¥1,410. EV/sales multiple is the base to assess the Medical PF business, which has a high growth potential, and new businesses. Value per share is ¥1,820, which is 3.5x FY12/27 segment sales forecast. Upside risk to our price objective would be new businesses that leverage the Recruitment PF exceeding expectations. Downside risks are 1) a lack of progress in the government's promotion of healthcare digitalization or failure of Medley to substantially expand its online medication service due to intense competition, 2) pricing erosion in the Recruitment PF that depresses profitability, and 3) insufficient solutions tools for the Medical PF.

JMDC (4483 / JMDCF)

Our ¥4,100 price objective is derived from our DCF model based on 20 years of earnings forecasts for coverage companies, taking into consideration other valuation metrics such as EV/EBITDA. DCF assumptions are a risk-free rate of 2.0%, an equity premium of 5.5%, and a perpetual growth rate of 2.0%. FCF risk is reflected in the equity beta, which considers quantitative risk derived from scenario analysis and qualitative risk based on factors such as management strategies. The equity beta of 1.05 is based on two-year adjusted Bloomberg data, and WACC of 6.9%. Our price objective corresponds to a P/E of 36x and EV/EBITDA of 18x FY3/27 forecasts. Downside risks to our price objective are a lack of progress in government policies to advance healthcare digitalization, utilization of healthcare big data falling short of our projections, inability to secure adequate human resources to support its data analysis and processing technology, and equity dilution from issuance of new shares to meet increased investment needs.

Takeda Pharm. (4502 / TKPHF / TAK)

We base our JPY6,000 PO (ADR: \$19.40) on our 12-year DCF model and also taking into account valuations such as P/E and P/B. Our DCF assumptions are risk-free rate 1.5%, equity risk premium 5.5%, terminal growth 1.0% and tax rate 40%. Individual company FCF risk is reflected in the stock beta, which takes into account quantitative risk based on new drug development scenario analysis and qualitative risk based on factors such as management strategies, and is set at a tiered level within the sector. We use the Bloomberg two-year adjusted beta of 0.83, and base our price objective for the company on a stock beta of 0.91, and WACC of 4.8%. Our PO equates to a P/E of 13x our FY3/28 Core EPS forecast. Upside risks are favorable new drug pipeline data and better-than-expected progress in cost reductions. Downside risks are a cancellation or postponement of new product development or changes in product evaluation, inaccuracy in our DCF assumptions and higher-than-expected impairment losses on intangible assets.

Astellas Pharma (4503 / ALPMF / ALPMY)

We base our JPY2,950 PO (ADR: \$19.00) on our 12-year DCF model and also taking into account valuations such as P/E and P/B. Our DCF assumptions are risk-free rate 1.5%, equity risk premium 5.5%, terminal growth 1.0% and tax rate 40%. Individual company FCF risk is reflected in the stock beta, which takes into account quantitative risk based on new drug development scenario analysis and qualitative risk based on factors such as management strategies, and is set at a tiered level within the sector. The equity beta used in our price objective calculation is 0.87, based on Bloomberg's two-year adjusted beta, and the WACC is 5.6%. Our PO equates to a EV/EBITDA of 9x on our FY3/28 estimates. Downside risks to our price objective are lower-than-expected core product sales, cancellation or postponement of new product development or changes in product evaluation, and a divergence between actual conditions and those assumed in our DCF calculations.

Eisai (4523 / ESALF)

We base our ¥4,000 price objective on our DCF model, while also taking into account valuations such as P/E and P/B. Our DCF assumptions are risk-free rate 1.5%, equity risk

premium 5.5%, terminal growth 1% and tax rate 40%. Individual company FCF risk is reflected in the stock beta, which takes into account quantitative risk based on new drug development scenario analysis and qualitative risk based on factors such as management strategies, and it is set at a tiered level within the sector. The equity beta used in our price objective calculation is 0.87, based on Bloomberg's two-year adjusted beta, and the WACC is 5.9%. Our PO corresponds to a P/E of 18x our FY3/27 EPS forecast. Downside risks are (1) mainstay drugs missing company guidance, (2) cancellation or postponement of new product development or changes in product evaluation, (3) adverse decisions by regulatory authorities in other countries and harsh stances on coverage by public health insurance, and (4) divergence between actual conditions and those assumed in our DCF calculations. Upside risks are greater-than-expected sales of Leqembi and development successes that generate data differentiating new drug candidates.

Terumo (4543 / TRUMF)

We base our ¥2,900 PO on EV/EBITDA of 14.0x on our FY3/27 estimates. We believe this is achievable as Terumo operates in multiple business areas, which leads to stable earnings. Downside risks to our PO are sales growth of highly anticipated WEB falling short of expectations, profit margins being squeezed by growth investment, deceleration of businesses acquired through M&A, and product acquisitions and other such activities stalling. Upside risks are higher-than-expected premium valuation in view of high earnings stability, and higher-than-expected growth through M&A.

Towa Pharmaceutical (4553 / TWAPF)

We set a PO of ¥5,300, derived primarily from a discounted cash flow (DCF) valuation based on a 20-year earnings forecast for the company, with P/E and P/B multiples used as cross-checks. Key assumptions in the DCF include a risk-free rate of 2.0%, an equity risk premium of 5.5%, a terminal growth rate of 2.0%, and a tax rate of 40%. Company-specific free cash flow risk is reflected in the equity beta, which is set in a stepwise manner based on quantitative risks derived from scenario analysis for new product development as well as qualitative risks related to management strategy.

The equity beta used in our PO calculation is 0.89, based on Bloomberg's two-year adjusted beta, resulting in a WACC of 4.3%. This corresponds to a P/E of 13x on our FY3/27E.

Downside risks to our PO are slower-than-expected expansion of the generic drug market, intensifying competition, profit pressure arising from drug pricing system reforms, deterioration in financial metrics due to expanded capital expenditure, and changes in the government's promotion policy for generics. Upside risks are stronger-than-expected penetration of generic drugs, easing competitive dynamics in the generic market, and further progress in discussions surrounding drug pricing system and policies to promote generic drug usage.

Daiichi Sankyo (4568 / DSKYF / DSNKY)

We base our ¥4,500 PO (ADR: \$29.00) on our 12-year DCF model and also taking into account valuations such as P/E and P/B. Our DCF assumptions are risk-free rate 1.5%, equity risk premium 5.5%, terminal growth 1.0% and tax rate 40%. Individual company FCF risk is reflected in the stock beta, which takes into account quantitative risk based on new drug development scenario analysis and qualitative risk based on factors such as management strategies, and is set at a tiered level within the sector. The equity beta used in our price objective calculation is 0.93, based on Bloomberg's two-year adjusted beta, and the WACC is 6.5%. Our PO equates to a P/E of 25x our FY3/28 EPS forecast. Downside risks to our PO are the sudden emergence of adverse side effects, intensifying competition, declining profits as a result of increased pressure from healthcare policies, delays in or discontinuation of new drug development, development setbacks in clinical trials, and greater-than-expected costs (mainly SG&A expenses in the US), and changes to product assessment. Upside risks are greater-than-expected profits on easing of competition or new drug demand, new profit opportunities not currently discounted such

as might result from M&A, and healthcare policies from different countries that have a positive impact on product sales. Upside risk related to pipeline is that P3 trials show a positive outcome.

Otsuka HD (4578 / OTSKF / OTSKY)

We base our ¥12,400 (ADR: \$40.00) price objective on SOTP analysis for the pharmaceutical segment, biopharma business, and the NC/consumer product business. For the biopharma business, we use a 12-year DCF model, and our DCF assumptions are risk-free rate 1.5%, equity risk premium 5.5%, terminal growth 1.0% and tax rate 40%. Individual company FCF risk is reflected in the stock beta, which takes into account quantitative risk based on new drug development scenario analysis and qualitative risk based on factors such as management strategies, and is set at a tiered level within the sector. The equity beta used in our price objective calculation is 0.87, based on Bloomberg's two-year adjusted beta, and the WACC is 6.1%. Our price objective corresponds to a EV/EBITDA of 9.5x our FY12/28 EPS forecast. Upside risks to our price objective are greater-than-expected sales of in-house drugs, increases in royalty income, and evidence that differentiates Otsuka drug candidates. Downside risks are weaker-than-anticipated sales of mainstay drugs, cancellation or postponement of new product development or changes in product evaluation, commercialization of novel competing drugs, and divergence between actual conditions and those assumed in our DCF calculations.

Obic (4684 / OBIIF / OBICY)

We derive our ¥5,600 price objective (ADR: \$36.13) by applying a P/E of 27x to our FY3/28 EPS forecast of ¥208.9. The 27x multiple corresponds to the three-year average forward P/E minus one standard deviation (with the five-year forward P/E range at 21-47x). While this represents a relatively low level versus historical valuations despite solid earnings performance, we view this as appropriate in light of recent equity market conditions.

Upside risks to our price objective are: (1) acceleration in revenue growth in system integration (SI), and (2) further expansion of shareholder returns.

Downside risks to our price objective are: (1) revenue declines in SI, and (2) a halt in gross margin improvement.

Obic Business Consultants (4733 / OBIBF)

We derive our ¥8,800 price objective by applying a P/E of 30x to our FY3/28 EPS forecast of ¥294. 30x multiple is close to the three-year average forward P/E minus one standard deviation (with the five-year forward P/E range at 23-42x). While the applied P/E may appear elevated on a relative basis, adjusting for the company's projected excess cash for FY3/28 (equivalent to more than two months of sales) and investment securities implies an effective P/E of 20x. We therefore view the applied multiple as not demanding in real terms.

Upside risks to our price objective: (1) Higher than expected growth in core business cloud SaaS subscriptions, (2) ROE accretive shareholder returns, including a higher payout ratio or the introduction of a DOE framework, (3) potential full acquisition by OBIC, the largest shareholder.

Downside risks : (1) slower growth in core business cloud SaaS subscriptions, (2) intensifying competition.

CyberAgent (4751 / CYAGF)

Our PO of ¥1,820 is based on applying a 19.5x multiple to our FY9/26E EPS of ¥93.2. The 19.5x multiple represents a 15% discount to the FY26 average PER of 23x for the 13 companies in the Game & Content cluster we cover. We apply this discount as we

expect the company's EPS CAGR for FY9/27-FY9/28 to be approximately 9%, below the cluster average of approximately 12%.

Downside risks to our PO are: (1) weaker-than-expected sales in the game business, (2) a slowdown in the advertising market, and (3) widening losses in the media business due to intensified competition.

Sawai Group Holdings (4887 / SWGHF)

We calculate our JPY2,300 price objective using a 20-year DCF model, and taking into account valuations such as P/E and P/B. Our DCF assumptions are risk-free rate 2.0%, equity risk premium 5.5%, terminal growth 2.0% and tax rate 30%. Individual company FCF risk is reflected in the stock beta, which factors in quantitative risk based on new drug development scenario analysis and qualitative risk based on factors such as management strategies. We use an adjusted 2-year beta of 0.81 based on the data provided by Bloomberg, and WACC of 5.0%. Our PO equates to a P/E of 14x our FY3/27 EPS forecast. Downside risks to our price objective are delayed expansion of the generic drug market, intensifying competition, pressure on profits due to changes to the NHI price system, a worsening in the balance sheet stemming from expanded capital investment, and changes to government stimulatory policies. Upside risks are better-than-projected market penetration of generic drugs, an easing of competition in the generic drug market, and positive progress in government debates on the NHI price system and generic stimulus measures.

Lion (4912 / LIOPF)

Our PO of ¥2,000 is based on the P/B-ROE correlation, derived by applying a P/B multiple of 1.9x (based on our FY12/26E ROE) and multiplying it by our FY12/26E BPS. Downside risks are persistently high crude oil prices, supply constraints due to difficulties in naphtha procurement, further intensification of competition in key emerging markets, and large scale M&A transactions that may be viewed as overvalued by the market.

Toyo Tire (5105 / TOTTF)

Our PO for Toyo Tire is ¥4,100. P/E is 9x, the average for FY12/19-FY12/20, the last time share price increased on the back of WLTR sales recovery. We apply this P/E to the average of our EPS estimates for FY12/26 and FY12/27 of ¥464. Downside risks are escalating competition for offroad tires (for passenger vehicles and light trucks), where Toyo Tire currently has a commanding position, and lower prices for replacement tires when materials costs are falling. Early recovery in the North America sales environment is an upside risk.

Sumitomo Rubber Industries (5110 / SMTUF)

Our PO for Sumitomo Rubber Industries is ¥2,500, based on the five-year average P/E of about 10x and the average of our EPS estimates for FY12/26 and FY12/27 of ¥253. Over the longer term, we anticipate synergies from active tread/Synchro Weather technology and the Dunlop brand, but see downside risks in tariffs and other political developments, the rising costs of raw materials including higher prices for natural rubber and crude oil, rising freight rates, and stiffer competition across the industry.

AGC Inc (5201 / ASGLF)

Our ¥7,500 PO is derived from sum-of-the-parts (SOTP) valuation using EV/EBITDA multiples for each business segment and our FY12/27 estimates. We use multiples based on segment peer averages (architectural glass 6x, automotive 6x, electronics 15x, chemicals 5.5x, and life science 6x. Our PO equates to a P/E of 16.9x on our FY12/27 EPS estimate). We use SOTP for our valuation because of the variation by business segment in growth potential, profitability and risks. We also apply a 20% conglomerate discount based on the unlikelihood of synergies within AGC's business portfolio. Upside risks to our PO are (1) unexpectedly high growth in demand for EUV mask blanks and



biopharma CDMO services, (2) better headway in raising display glass prices than we expect, (3) spikes in PVC and caustic soda prices, and (4) sharp yen depreciation. Downside risks are (1) lower demand than expected for EUV mask blanks and biopharma CDMO services, (2) a sharp downturn in display glass prices, (3) a steep decline in PVC and caustic soda prices, and (4) sharp yen appreciation

Nippon Electric Glass (5214 / NPEGF)

Our price objective of ¥8,000 is based on a P/E of 18x our FY12/27 EPS estimate. A P/E of 18x adds a 30% premium to the past five-year average. We consider an increase in valuations for AI-related stocks.

Upside risks for our PO are (1) avoiding a decline in demand for end-products (e.g., televisions, semiconductors, and automobiles) due to the repeal of US-China tariffs or other factors (2) greater-than-expected growth in the advanced semiconductor market (3) additional price hikes for displays and (4) improvement in the competitive environment for composite materials. Downside risks are (1) a greater-than-expected decline in end-product demand due to US-China tariffs (indirect impact from volume declines for televisions, semiconductors, automobiles, and other products) (2) weakness in the advanced semiconductor market (3) price cuts for displays and (4) worsening competitive environment for composite materials.

Sumitomo Osaka Cement (5232 / SUCEF)

We calculate our ¥3,500 PO from our FY3/27 EPS forecast and a P/E of 9.5x, which is a roughly 10% discount to the company's five-year average P/E. We take into account the deteriorating outlook for domestic cement, the company's largest business.

Potential upside catalysts for the share price are (1) a recovery in domestic cement demand, (2) announcement of additional cement price hikes, (3) substantial enhancements to shareholder returns, (4) a sharp decline in coal prices, (5) progress with industry consolidation, and (6) rapid yen appreciation. Downside risks are (1) even further weakness in domestic cement demand, (2) failure to raise cement prices, (3) deterioration in shareholder returns, (4) sharp rise in coal prices, (5) stalled industry reorganization, and (6) sharp yen depreciation.

MARUWA (5344 / MAWAF)

Our ¥93,000 price objective is based on a 33x P/E and our FY3/28 EPS forecast. We referenced the share-price levels seen from 3Q FY3/26 onward, when yield concerns surrounding 1.6T AI-server heat-dissipation substrate production had eased to some extent and the market had begun to factor in earnings expansion from FY3/27 onward.

Downside risks are (1) slowing generative AI demand, (2) the emergence of rivals that erode Maruwa's high value-added heat dissipation substrates' competitiveness, (3) prolonged weakness in the Chinese economy, (4) receding automobile electrification, (5) difficulties in breaking into new markets to follow AI, and (6) rapid yen appreciation (OP sensitivity to the USD is tens of millions of yen).

Nichias (5393 / NICFF)

Our price objective of ¥3,500 is based on a P/E of 20.0x our FY3/27 EPS estimate. This represents a level above the past 10-year P/E range of 7-13x, reflecting (1) prospects for the operating margin to increase, driven mainly by a return to a growth phase for SPE-related products, and (2) expectations for expanding shareholder returns. Upside risks for our PO are (1) a sharp rise in semiconductor demand, (2) acceleration of nuclear power restarts, and (3) expansion of shareholder returns. Downside risks are (1) a sharp decline in semiconductor demand, (2) stalled progress in nuclear restarts, and (3) contraction of shareholder returns.

Shizuoka Financial Group (5831 / SFGIF)

Our PO of ¥3,100 for Shizuoka FG is based on applying a fair P/B of 1.26x (FY3/27-FY3/28 average estimate ROE of 8.17%, theoretical cost of capital of 6.47%, ROE

estimates weighted at 75% for FY3/27 and 25% for FY3/28 to our FY3/27 BPS estimate of ¥2,471. The 6.47% cost of capital we use is based on an implied risk premium of 7.39%, calculated from the averages since the BoJ's adoption of its negative interest rate policy in 2016 of the risk premium for Japanese stocks of 4.82%, of the risk-free rate of 2.25%, and of the weekly beta of 1.067. To this we apply a 12.5% premium to reflect qualitative factors (including the long-term attractiveness of the business portfolio, capital policies, governance, and regulatory risks) and the high percentage of its stock owned by life insurers (and thus high selling pressure).

Upside risks to our price objective are (1) a stronger-than-expected economic recovery (lower-than-expected credit costs) in Shizuoka Prefecture, (2) faster-than-expected growth in shareholder payouts, and (3) better-than-expected results from alliances and growth investments. Downside risks: (4) Weaker-than-expected Shizuoka Prefecture economy (loan stagnation/higher credit costs), (5) slower-than-expected increase in shareholder payouts, and (6) failure to restructure the market division's securities portfolio (resulting in significant bond losses).

NHK Spring (5991 / NHKGF)

Our 12-month PO for NHK Spring is ¥3,400. For our valuation P/E, we start with the roughly 17x FY/27 consensus P/E for leading peer, to which we apply a 15% discount to reflect the uncertain outlook for the autos business and the risk of a deterioration in supply/demand caused by a reduction in cross-shareholdings. We apply the resulting multiple to our EPS estimate for FY3/27, when we expect its main customer's production reductions to have run their course. Downside risks are changes in the external environment including forex and the macro economy, escalation in competition, and company-specific factors: recalls.

Recruit Holdings (6098 / RCRRF)

Our PO of ¥12,000 is based on applying a 27x PER to our FY3/27 EPS estimate of ¥453, when we expect a step-up in earnings growth. The applied multiple is near the upper end of the 15-33x P/E range observed during 2020-22 when growth expectations were elevated.

Downside risks to our PO are: (1) a delay in recovery in the HR Technology segment, (2) slower improvement in Market Matching Technologies profitability due to intensifying competition, and (3) changes in cash management.

Hitachi (6501 / HTHIF / HTHIY)

The price objective of ¥6,000 (ADR: USD 38.7) is derived using an SOTP methodology based on FY3/27E EV/EBITDA. Digital Systems & Services (DSS) is assigned 13x, a 2pt premium to solution-based peers, reflecting growth opportunities in digital infrastructure such as Energy. Energy is valued at 21x, in line with peers. Mobility is assigned 10x (c.5pt premium) reflecting its digital strategy. Connective Industries (CI) is valued at a 2-3pt discount to peers, reflecting an ongoing portfolio strategy review.

Downside risks to our PO are: 1) faster-than-expected substitution of legacy IT services by AI, 2) a greater-than-expected deterioration in profitability owing to rising component costs, 3) weaker earnings caused by macroeconomic changes or geopolitical risk, and 4) unexpected losses on projects.

Upside risks are: 1) further acceleration in Lumada revenue growth, 2) Energy revenue and profitability improving faster than expected, 3) CI profitability improving faster than our assumptions owing to business portfolio reforms, and 4) further expansion of shareholder returns supported by a strengthened balance sheet and cash flow.

Mitsubishi Electric (6503 / MIELF)

We calculate our ¥6,700 price objective from a sum-of-the-parts (SOTP) method based on our FY3/27 EV/EBITDA forecasts.



We apply 22x to Infrastructure, a c.10% discount to peers to reflect scale differences in defence and power. FA is valued at 22x, in line with the average of three domestic peers. Automotive Equipment uses 6x, in line with domestic peers and reflecting improved profitability, Life uses 15x, in line with the average of global peers, Digital Innovation uses 9x, a 1.5-4.5-point discount to several domestic peers reflecting business scale, and Semiconductors/Devices are valued at 18x, a 2-point premium to peers reflecting the growth potential of optical devices.

Upside risks to our PO are (1) earnings expansion driven by structural reform, (2) growth in the defence business, (3) a sharp recovery in the FA market, and (4) improved shareholder returns. Downside risks are (1) a slowdown in cyclical businesses, including FA, due to a global economic slowdown, (2) a greater-than-expected rise in raw material costs, (3) delays in business structural reform, and (4) a wider impact from the Iran war.

Makita (6586 / MKEWF)

We base our ¥6,500 PO on an EV/EBIT of 13x on the average of our FY3/26-27 earnings estimates. Our 13x multiple is 1pt below the mid-cycle multiple based on the past two earnings cycle. We apply a modest discount to reflect the fact that Makita's returns (e.g. RoE's) have not quite returned to previous trends yet.

Downside risks are worse-than-expected weakening in end-market demand and return of excess promotional spending.

NEC (6701 / NIPNF)

The price objective of ¥6,900 is based on our FY3/28E EPS of ¥263.9 and a P/E of 26x. This multiple is above the midpoint of the historical five-year forward P/E range of 11-30x. We view this valuation as justified, reflecting the visibility of structural reform benefits, progress in improving IT services profitability, and expansion in defense-related businesses.

Upside risks to our price objective are as follows: (1) stronger-than-expected margin expansion and increased domestic IT services orders, (2) clearer quantitative upside from AI utilization, (3) expansion of the defense budget, (4) M&A with clear synergies, and (5) an earlier recovery and growth in the subsea cable business.

Downside risks to our price objective are: (1) a slowdown in margin improvement and (2) weak domestic IT services order trends.

Fujitsu (6702 / FJTSF / FJTSY)

Price objective of ¥4,800 (ADR: \$30.97) is based on our FY3/28E EPS of ¥200.9 and a P/E of 24x. The 24x multiple reflects an approximately 10% discount to peers (26x), taking into account relative growth prospects. We view this valuation as justified given strong earnings growth and solid shareholder returns. While 24x is close to the upper end of the past five-year forward P/E range (12-25x), the historically low ceiling was driven by the inclusion of non-core earnings and gains from divestitures of subsidiaries and affiliates.

Upside risks to our price objective are: (1) A next medium-term plan (scheduled for May 28, 2026) that exceeds market expectations, (2) Clear evidence of quantifiable upside from AI deployment, (3) Sustained strong revenue growth in service solutions, and (4) Limited compensation costs related to the UK Post Office issue

Downside risks are: (1) Weak domestic order intake, (2) Company guidance with significant downside risk, and (3) Compensation costs related to the UK Post Office issue materially exceeding market expectations

Renesas Electronics (6723 / RNECF)

Our PO for Renesas is ¥4,900, calculated by applying EV/EBITDA of 16.5x our FY12/26 estimates (non-GAAP). 16.5x multiple is par with Renesas' global peer.

Upside risks to our price objective are 1) greater-than-expected improvement in prices and the cost structure, 2) sharp growth in the market for automotive and industrial semiconductors, 3) greater-than-expected top-line synergies with acquired companies, and 4) a rise in the share of the growing segments of the automotive market (ADAS/EV). Downside risks are 1) a deterioration in semiconductor market conditions owing to worse-than-expected reductions of global auto production and macroeconomic weakness, 2) asset-impairment losses owing to weaker-than-expected earnings in businesses that the company has aggressively acquired, and 3) the negative earnings impact of yen appreciation.

Panasonic (6752 / PCRFF)

The price objective of ¥3,800 is derived using an SOTP methodology based on our FY3/27E EV/EBITDA. We apply 9x to Connect (c.4pt discount to Mitsubishi Electric and Thales) reflecting uncertainty around Blue Yonder. Electric Works is valued at 7x (1pt premium to Signify) on growth in wiring devices. HVAC&CC (Heating, Ventilation, Air Conditioning & Cold Chain) is assigned 6x (c.3pt discount to Daikin) considering differences in scale and profitability. Energy is valued at 29x (c.4pt discount to Taiwan's Delta Electronics), reflecting uncertainty in EV battery demand. Industry is assigned 13x, in line with the lower end of the peer range, factoring in relatively weaker competitiveness in FA solutions. Smart Life is valued at 5.5x, in line with the average of global appliance peers (Whirlpool, Electrolux, LG Electronics).

Downside risks to our price objective are (1) a global economic slowdown driven by geopolitical risks, (2) a prolonged consumption slump owing to domestic economic stagnation, and (3) lower profitability owing to tougher-than-assumed competition in the battery business. Upside risks are (1) stronger-than-assumed profitability improvement driven by structural reforms, (2) further narrowing of the business portfolio, and (3) a recovery in demand for the automotive battery business.

DENSO (6902 / DNZOF)

Our 12-month PO for Denso is ¥2,400. For our valuation P/B, we start with the FY3/21-25 average of 1.2x. While major OEM-affiliated suppliers may enjoy a relative advantage in terms of volumes, uncertainty surrounding the potential tender offer for Rohm leads us to apply no valuation premium or discount. The price objective is derived by applying the target P/B multiple to FY2026/3 Q3 reported BPS. Downside risks include sharp production cuts driven by rising raw material costs and supply-chain disruptions, intensifying competition, and shifts in expectations for electrification. In addition, potential M&A in the semiconductor space could represent either an upside or downside risk.

Kawasaki Heavy Industries (7012 / KWHIF)

Our PO of ¥3,760 derives from an EV/EBITDA multiple of 11x applied to our FY3/28 earnings forecasts. The shares are currently trading above the 10-year average multiple of approx. 10x and we assign a premium based on our view that the company's earnings cycle is bottoming, creating room for the stock to re-rerate.

Downside risks to our PO are (1) an unexpectedly sharp slowdown in motorcycle/RV sales in the US, (2) a lack of cyclical recovery in robotics and hydraulics, and (3) heavier US tariffs than expected. Greater strength than expected in cyclical businesses (Powersports & Engine, Precision Machinery & Robot) is an upside risk.

IHI (7013 / IHICF)

Our PO of ¥4,950 derives from an EV/EBITDA multiple of 19x applied to the average of our FY3/28 earnings forecasts. The multiple is a 1ppt discount to the average of its



global peers in aerospace which are trading on average EV/EBITDA multiple of around 20x. We believe the discount is appropriate given that IHI is not a "pure play aerospace company."

Downside risks to our PO are (1) the extension of the US slowdown in domestic air travel to other markets, and (2) a rapid reversal of the spare parts business profit inflation in FY3/25 arising from delayed cost recognition. Upside risks are (1) improvement in airline passenger traffic, and (2) continued restructuring in the Industrial Systems and General-Purpose Machinery segment, in particular.

Mebuki Financial Group (7167 / MEBUF)

Our ¥1,650 price objective is derived by applying a theoretical P/B of 1.33x to FY2027E book value per share of ¥1,228, based on an average FY2027-FY2028E ROE of 10.11% and a theoretical cost of equity of 7.63%. We weight ROE assumptions 75% for FY2027 and 25% for FY2028.

The 7.63% cost of equity reflects an implied risk premium of 7.44%, calculated from the post-2016 average Japan equity risk premium of 4.82%, average risk-free rate of 2.25%, and average weekly beta of 1.077, with a 2.5% qualitative discount applied for factors including long-term business portfolio attractiveness, capital policy, governance, and regulatory risk.

Upside risks to the price objective are: (1) stronger-than-expected economic recovery in Ibaraki and Tochigi, (2) faster-than-expected expansion of shareholder returns, and (3) better-than-expected securities-related gains. Downside risks are: (1) weaker-than-expected regional economic conditions, (2) slower-than-expected shareholder return expansion, and (3) weaker-than-expected securities-related gains.

Yokohama Financial Group (7186 / CCRDF)

We set our price objective for Yokohama Financial Group at ¥1,700, based on our FY3/27 BPS estimate of ¥1,296 and theoretical P/B of 1.32x (FY3/27-FY3/28 average estimate ROE 9.11% / theoretical cost of capital 6.91%, ROE estimates weighted at 75% for FY3/27 and 25% for FY3/28). Our theoretical cost of capital at 6.91% is based on an implied risk premium of 8.23%, derived from an average risk premium of 4.82% for Japanese stocks since NIRP adoption in 2016, risk free rate of 2.25%, and average weekly beta of 1.241, to which we apply a 16.0% premium in view of qualitative factors (including long-term attractiveness of business portfolio, capital policy, governance, and regulatory risk).

Upside risks to our PO are (1) a stronger-than-expected economic recovery in Kanagawa Prefecture (e.g., lending growth and lower credit costs), (2) faster-than-expected growth in shareholder returns, and (3) higher-than-expected growth in corporate fee income (a strength derived from the bank's geographically deep customer marketing base).

Downside risks are (1) weaker-than-expected economic conditions in Kanagawa Prefecture (e.g., weak lending and higher credit costs), (2) slower-than-expected growth in shareholder returns, (4) failed securities portfolio restructuring in the markets division (large bond losses), and failed M&A.

Nissan Motor (7201 / NSANF / NSANY)

We set our price objective for Nissan shares at ¥390 (ADR: \$4.8). Our PO basis P/B multiple is based on the FY3/21-FY3/25 average of 0.4x, adjusted to reflect risks that could erode book value per share (BPS). These are: concerns over volume deterioration following tariff-related cost burdens and price increases, potential for special losses associated with structural reforms, and broader concerns about financial resilience, as seen in rising CDS spreads. We calculate the price objective by applying the PO basis P/B to a BPS that incorporates a risk of approximately 30% erosion in shareholders' equity. Upside risks are scenarios where Nissan becomes the subject of another tender offer, a different company steps in, or changes occur in partnership structures, any of which could drive share price movements that diverge from fundamentals. Additionally, if currency trends, macroeconomic conditions, and debates around tariffs and

electrification stabilize, or if the company executes significant structural reforms, expectations for a recovery in fundamentals could lift the share price. Downside risks are currency volatility, macroeconomic instability, unfavorable developments in tariff or electrification discussions, or a deterioration in expectations for fundamental recovery.

Toyota Motor (7203 / TOYOF / TM)

Our price objective for Toyota shares is ¥4,200 (ADR: \$269.10). The PO basis P/B multiple reflects a 40% valuation premium to the FY3/21-FY3/25 average of 1.0x, taking into account our view that profitability can be maintained even with tariff burdens, as well as potential ROE improvement from share buybacks and cancellations, and the company's strength in HEVs. The price objective is calculated by applying this multiple to 3Q FY3/26 BPS. Downside risks are sharp currency fluctuations, changes in raw material prices, government policies in various countries, economic trends, and other macro business environment factors.

Mitsubishi Motors (7211 / MMTOF)

Our 12-month PO for Mitsubishi Motors is ¥360. For our valuation P/B, we start with the FY3/21-25 average multiple of 0.8x, then reflect a 30% discount given that the company does not have a US plant and may face challenges in responding to tariffs, as well as concerns about a slower-than-expected recovery in ASEAN sales and intensifying competition. We apply this multiple to 3Q FY3/26 BPS. Upside risks are progress on integration with Honda and Nissan, heightened speculation regarding accelerated restructuring, and forex swings.

Mazda Motor (7261 / MZDAF)

Our 12-month PO for Mazda is ¥1,310. The target P/B is based on the 21/3-25/3 average of 0.5x. While we have previously applied a discount to reflect risks of shareholder equity erosion from tariffs and other factors, the company has achieved profitability, visibility on margin improvement has improved, and overall market valuations have risen. Based on this, we apply a justified PBR with a zero premium or discount and derive the target price by applying it to BPS. Upside risks are policy changes such as lower tariffs, a rise in Toyota's equity stake, and heightened speculation around accelerated restructuring. Downside risks are a capital increase targeted at US capacity expansion, forex swings, and materials price fluctuations.

Honda Motor (7267 / HNDFAF / HMC)

Our 12-month price objective for Honda is ¥1,600 (ADR: \$29.83). The target P/B is based on the 21/3-25/3 average of 0.5x. While profitability has been maintained even after factoring in tariff burdens and there is scope for a re-rating of the motorcycle and financial services businesses, we apply a 5% valuation discount to reflect intensifying competition in the core US market and uncertainty surrounding the electrification strategy, and derive the target price by applying this multiple to actual 3Q FY2026/3 BPS. Downside risks are macroeconomic fluctuations and policy changes such as tariffs, as well as developments in industry restructuring, sharp currency fluctuations, and volatility in raw material prices.

Suzuki Motor (7269 / SZKMF)

Our 12-month PO for Suzuki is ¥2,500. For our valuation P/B, we start with the FY3/21-25 average of 1.15x, to which we apply a 25% premium to reflect 1) the limited direct impact from US tariffs and 2) the benefit to the India market from GST reductions. We apply the resulting multiple to 3Q FY3/26 BPS. Downside risks are India stock market movements, forex swings, and materials price fluctuations.

Subaru Corp (7270 / FUJHF / FUJHY)

Our price objective for Subaru is ¥3,200 (ADR: \$10.06). We set the PO basis P/B at the 21/3-25/3 average of 0.8x with a zero valuation premium or discount, and the price objective is derived by applying this multiple to actual 3Q FY2026/3 BPS. The upside risk



is the improvement in the earnings outlook owing to the significant easing of US tariffs. Downside risks are sudden exchange rate fluctuations and fluctuations in raw material procurement prices.

Koito Manufacturing (7276 / KOTMF)

Our 12-month PO for Koito is ¥3,100. For our valuation P/B, we start with the FY3/21-25 average of 1.3x, to which we had applied a 5% discount to reflect the relatively low weighting of sales to Toyota compared to other Toyota suppliers and the slow recovery in margins post-COVID. However, as we are now seeing signs of margin improvement, including a reduction in LiDAR losses, we assume this discount at zero. We apply the resulting multiple to 4Q FY3/26 BPS. Downside risks are changes in government policies on tariffs and safety in various countries, changes in the external environment, in particular forex and the macro economy, deterioration in LiDAR and other new businesses, escalation in competition, and company specific factors such as recalls.

Daishi Hokuetsu Financial Group (7327 / DSHHF)

Our price objective for Daishi Hokuetsu FG of ¥2,400 is based on our end-FY3/27 BPS estimate of ¥2,219 and a P/B of 1.08x (derived from a cost of capital of 8.30% and FY3/26-3/28 average ROE of 8.99% based on our estimates, weighted at 75% for FY3/27 and 25% for FY3/28. The 8.30% cost of capital we use is based on an implied risk premium of 7.90%, calculated from the averages since the BoJ adopted negative interest rate policy (NIRP) in 2016 of a Japanese equity risk premium of 4.82%, of the risk-free rate of 2.25%, and of the weekly beta of 1.173, to which we apply an 5.0% discount to reflect qualitative factors (including the long-term attractiveness of the business portfolio, capital policies, governance, and regulatory risks).

Upside risks to the price objective are: (1) A stronger-than-expected recovery in the Niigata Prefecture economy, (2) a faster-than-expected pace of shareholder return expansion, and (3) greater-than-expected synergies from the M&A with Daishi Hokuetsu FG. Downside risks are: (1) A weaker-than-expected Niigata Prefecture economy, (2) a slower-than-expected pace of shareholder return expansion, and (3) higher-than-expected M&A costs and lower-than-expected synergies or cancellation of the planned integration with Gunma Bank.

Ryohin Keikaku (7453 / RYKKE / RYKKY)

We set our PO at ¥4,500 (ADR: US\$14.52), based on c.32x our FY8/28 estimate P/E. In setting our PO, we refer to the valuation seen in 1H18, when the stock traded at a premium of slightly more than 30% to TOPIX Retail, reflecting the market's positive view of both domestic and overseas growth, supported not only by Japan but also by strong performance in China.

Upside risks to our PO are: (1) the possibility that the supermarket-adjacent format could become a new growth driver (2) a scenario in which cost improvements exceed our expectations as the supply chain is strengthened and (3) a scenario in which the equity market renews its expectations for overseas growth. Downside risks, on the other hand, are: (1) a scenario in which overseas operations, including China, underperform our expectations (2) a scenario in which sales struggle due to external factors such as weather and (3) a scenario in which management's time horizon differs from that expected by the equity market.

Pan Pacific International HD (7532 / DQJCF)

We set our PO at ¥1,150, based on c.26x our FY6/28E P/E. In setting our PO, we take reference from the fact that the stock traded broadly in line with TOPIX Retail during 2024-2025, when the market increasingly recognized the company's strengthening competitive edge as a discounter.

Upside risks to our PO are: (1) an acceleration in the company's sales growth driven by the implementation of a tax cut on food and beverages, (2) an earlier-than-expected recovery in inbound visitors from China, and (3) a higher contribution from, and/or

increasing expectations for, the company's new store formats.

Downside risks are: (1) potential near-term earnings pressure from upfront investments such as store openings and M&A, (2) a scenario where talent development fails to keep pace with the company's growth trajectory, and (3) a sharper-than-expected intensification of price competition in the domestic market.

Shimadzu (7701 / SHMZF)

Price objective is ¥5,300, which we base on an EV/EBITDA of 13.0x and our FY3/27 forecasts. 13.0x is slightly higher than 12.7x which is the upper end of the last 2-year range of two-year forward EV/EBITDA.

Upside risks are (1) earlier-than-expected recovery in demand for China business, and (2) greater-than-expected contribution from new client base/new business in North America and in the healthcare field.

Downside risks are (1) decrease in analytical equipment demand because of economic fluctuations, (2) greater-than-expected increase in R&D costs, (3) increase in investments including human capital and marketing costs, and (4) geopolitical risks from high exposure to China.

Nakanishi (7716 / NKNSF)

We derive our ¥3,900 PO by applying FY12/27 EV/EBITDA of 10.5x. We view 10.5x to be achievable as conviction regarding a return to growth strengthens, given it is broadly in line with the median of the past three-year trading range. Downside risks to our PO are (1) pricing competition originating in the low-end segment of dental spreads into the mid- to high-end segment faster than expected, (2) margins on DSO/OEM products decline more than we assume, and (3) surgical market penetration falls short of expectations due to a failure in the partner strategy.

Menicon (7780 / MNRLF)

The ¥2,200 PO is derived by applying a FY3/28 EV/EBITDA multiple of 8.1x. The 8.1x multiple represents a 5% discount to the 8.5x upper end of the past two-year range. We believe 8.5x should ultimately be achievable as sales growth and margin improvement from 1Day expansion become clearer and confidence in growth increases, but we apply a 5% discount to reflect delays versus medium-term plan. Downside risks to our PO are: (1) delays in the ramp-up of the Malaysia plant, (2) margin improvement from a higher 1Day sales mix falling short of our assumptions, and (3) overcapacity emerging earlier than expected due to accelerated capex by competitors.

Bandai Namco Holdings (7832 / NCBDF)

Our PO of ¥3,610 is derived by applying a multiple of 18.4x to our FY3/27 EPS forecast of ¥196. This represents a c.20% discount to the FY26 average PER of 23x for 13 game and content companies under our coverage. We apply this discount as we forecast the company's EPS CAGR for FY3/28-FY3/29 at c.2%, below the peer average of c.12%.

Upside risks to our PO are: (1) the creation of blockbuster titles in the game business and (2) the launch of new hit products in the toy business. Downside risks are: (1) opportunity loss due to intensifying competition for content acquisition, (2) a sharp deterioration in mobile game sales, and (3) inventory write-downs in the toy business.

Asics (7936 / ASCCF)

We set our PO at ¥6,000, based on c.33x FY12/27 P/E. In setting our PO, we reference the valuation environment in 2025, when the company's 12-month forward PER traded at a c.10-20% premium to TOPIX Retail, supported by sales growth in performance running as well as sports style and Onitsuka Tiger.

Upside risks are the establishment of new product categories, contributions from digital initiatives and the running ecosystem, and a scenario in which concerns over tariffs ease further. Downside risks are intensifying competition with peers, a slowdown in sales due to changes in consumer trends, and a scenario in which yen appreciation reduces inbound demand from overseas.



Pigeon (7956 / PIGEF)

We derive a PO of ¥2,000, based on P/B-ROE correlation, by applying a P/B multiple of 3.6x (based on our FY26/12E ROE of 14.2%) to our FY26/12E BPS. Downside risks are a deterioration in profitability in the China market, supply constraints due to procurement difficulties for petroleum derived materials, and further intensification of competition in key operating regions.

Nintendo (7974 / NTDOF)

Our price objective of ¥10,700 is derived from a 10-year DCF model covering FY3/26-FY3/36. Our assumptions include a risk-free rate of 2.0%, based on the 10-year Japanese government bond yield, an equity risk premium of 6.0%, a terminal growth rate of 0%, an equity beta of 0.8, and a WACC of 6.6%. Our price objective implies approximately 17x our forecast peak EPS of ¥631 in FY3/29.

Risks to our price objective are weaker-than-expected sales of Switch 2, delays in the release of anticipated game titles, intensifying competition from peers, rising memory prices, and tariffs.

Credit Saison (8253 / CSASF)

Our PO of ¥5,300 is based on a P/B of 0.95x (assuming adjusted ROE of around 9.5%, and a 10% cost of capital) and our end-FY3/27 BPS estimate.

Downside risks for our price objective are (1) a sharp increase in defaults in India and Vietnam, (2) a rapid decline in merchant fees in Japan, (3) a sudden slowdown in the growth of domestic revolving and installment receivables, mortgages, and annual card fee growth.

Upside risks are (1) a significant increase in the dividend payout ratio, currently 27%, (2) stronger-than-expected growth in India, Brazil, and other countries, and (3) stronger-than-expected growth in domestic revolving and installment receivables and mortgages.

Mitsubishi UFJ Financial Group (8306 / MBFJF / MUFG)

Our PO for MUFG of ¥3,450 (ADR \$22.25) is based on applying a fair P/B of 1.80x (FY3/27-FY3/28 average estimate ROE of 12.42% and theoretical cost of capital of 6.92%, ROE estimates weighted at 75% in FY3/27 and 25% in FY3/28) to our FY3/27 BPS estimate of ¥1,926. The 6.92% cost of capital we use is based on an implied risk premium of 8.38%, calculated from the averages (since the BoJ's adoption of NIRP in 2016) of the risk premium for Japan stocks of 4.82%, of the risk-free rate of 2.25%, and of the weekly beta of 1.272, to which we apply a 17.5% premium to reflect qualitative factors (including the long-term attractiveness of the business portfolio, capital policies, governance and regulatory risks).

Upside risks to our PO are (1) faster-than-expected business portfolio reshuffling and ROE improvement, (2) faster-than-expected growth in shareholder returns, and (3) more-than-expected yen depreciation and improvement in US Morgan Stanley earnings.

Downside risks are (1) greater-than-expected earnings deterioration at US Morgan Stanley and partner banks in Southeast Asia, (2) slower-than-expected growth in shareholder returns and missteps with M&A, and (3) more yen appreciation than expected.

Resona Holdings (8308 / RSNHF)

Our PO for Resona of ¥2,350 is based on applying a fair P/B of 1.74x (FY3/27-FY3/28 average estimate ROE of 11.41% and theoretical cost of capital of 6.54%, ROE estimates weighted at 75% for FY3/27 and 25% for FY3/28) to our FY3/27 BPS estimate of ¥1,362. The 6.54% cost of capital we use is based on an implied risk premium of 7.93%, calculated from the averages (since the BoJ's adoption of NIRP in 2016) of the risk premium for Japan stocks of 4.82%, of the risk-free rate of 2.25%, and of the weekly beta of 1.178, to which we apply a 17.5% premium to reflect qualitative factors (including the long-term attractiveness of the business portfolio, capital policies, governance, and regulatory risks).

Upside risks to our PO are (1) greater-than-expected fee income growth, (2) a greater-than-expected increase in net interest income owing to BoJ policy adjustments, and (3) faster-than-expected growth in shareholder payouts. Downside risks are (1) weaker-than-expected momentum in fee income, (2) weaker-than-expected momentum in net interest income, and (3) weaker-than-expected growth in shareholder payouts.

Sumitomo Mitsui Financial Group (8316 / SMFNF / SMFG)

Our PO for SMFG of ¥6,650 (ADR \$25.84) is based on applying a fair P/B of 1.57x (FY3/27-FY3/28 average estimate ROE of 11.31% and theoretical cost of capital of 7.22%, ROE estimates weighted at 75% for FY3/27 and 25% for FY3/28) to our FY3/27 BPS estimate of ¥4.254. The 7.22% cost of capital we use is based on an implied risk premium of 8.02%, calculated from the averages (since the BoJ's adoption of NIRP in 2016) of the risk premium for Japan stocks of 4.82%, of the risk-free rate of 2.25%, and of the weekly beta of 1.197, to which we apply a 10.0% premium to reflect qualitative factors (including the long-term attractiveness of the business portfolio, capital policies, governance and regulatory risks).

Upside risks to our PO are (1) a faster-than-expected recovery of its mainstay consumer finance, credit card, and asset financing businesses, (2) faster-than-expected increases in shareholder payouts, and (3) faster earnings improvement at SMBC Nikko Securities and the US capital markets business. Downside risks are (1) a slower-than-expected recovery of its consumer finance, credit card, and asset financing businesses, (2) slower-than-expected increases in shareholder payouts and overpayment for acquisitions, and (3) weak earnings improvement at SMBC Nikko Securities and relative weakness in its US capital markets business.

Chiba Bank (8331 / CHBAF)

Our price objective for Chiba of ¥2,500 is based on applying a fair P/B of 1.32x (FY3/27-FY3/28 average estimate ROE of 8.74% and theoretical cost of capital of 6.64%, ROE estimates weighted at 75% for FY3/27 and 25% for FY3/28) to our FY3/27 BPS estimate of ¥1,902. The 6.64% cost of capital we use is based on an implied risk premium of 8.19%, calculated from the averages since the BoJ's adoption of NIRP in 2016 of the risk premium for Japan stocks of 4.82%, of the risk-free rate of 2.25%, and of the weekly beta of 1.233, to which we apply a 19.0% premium to reflect qualitative factors (including the long-term attractiveness of the business portfolio, capital policies, governance, regulatory risks, and the large stakes owned by life insurers (the high pressure they are under to sell the holdings)).

Upside risks to our PO are (1) a stronger-than-expected recovery in Chiba prefecture's economy (implications for lending growth, credit cost downside), (2) greater-than-expected increases in shareholder returns, and (3) higher-than-expected revenue from the bank's cashless and alliance strategies, and strong retail sales. Downside risks are (1) a weaker-than-expected economy in Chiba prefecture (sluggish lending, higher-than-expected credit costs), (2) slower-than-expected increases in shareholder returns, and (3) mistakes in rejigging the securities portfolio in the markets division (incurrence of heavy bond losses).

Gunma Bank (8334 / GMBKF)

Our PO for Gunma Bank of ¥2,700 is based on our end-FY3/27 BPS estimate of ¥1,674 and a P/B of 1.57x (derived from a cost of capital of 6.99% and FY3/27-3/28 average ROE of 10.97% based on our estimates, weighted at 75% for FY3/27 and 25% for FY3/28). The 6.99% cost of capital we use is based on an implied risk premium of 7.76%, calculated from the averages since the BoJ adopted negative interest-rate policy (NIRP) in 2016 of a Japanese equity risk premium of 4.83%, of the risk-free rate of 2.25%, and of the weekly beta of 1.143, to which we apply an 10.0% premium to reflect qualitative factors (including the long-term attractiveness of the business portfolio, capital policies, governance, and regulatory risks).

Upside risks to the price objective are: (1) A stronger-than-expected recovery in the Gunma Prefecture economy, (2) a faster-than-expected pace of shareholder return expansion, and (3) greater-than-expected synergies from the M&A with Daishi Hokuetsu



FG. Downside risks are: (1) A weaker-than-expected Gunma Prefecture economy, (2) a slower-than-expected pace of shareholder return expansion, and (3) higher-than-expected M&A costs and lower-than-expected synergies or cancellation of the planned integration with Daishi Hokuetsu FG.

Fukuoka Financial Group (8354 / FKKFF)

We set our price objective for Fukuoka Financial Group at ¥6,850, based on our FY3/27 BPS estimate of ¥5,876 and theoretical P/B of 1.16x (FY3/27-FY3/28 average estimate ROE 8.32% / theoretical cost of capital 9.67%, ROE estimates weighted at 75% for FY3/27 and 25% for FY3/28). Our theoretical cost of capital at 9.67% is based on an implied risk premium of 8.32%, derived from an average risk premium of 4.82% for Japanese stocks since NIRP adoption in 2016, risk free rate of 2.25%, and average weekly beta of 1.286, to which we apply a 1.5% premium in view of qualitative factors (including long-term attractiveness of business portfolio, capital policy, governance, and regulatory risk).

Upside risks to our PO are (1) a stronger-than-expected economic recovery in Kyushu (e.g., lending growth and lower credit costs), (2) faster-than-expected growth in shareholder returns, and (3) greater-than-expected earnings improvement at Minna Bank and lower losses due to business exits and other actions. Downside risks are (4) weaker-than-expected economic conditions in Kyushu (e.g., weak lending and higher credit costs), (5) slower-than-expected growth in shareholder returns, (6) greater-than-expected earnings deterioration at Minna Bank and slow decisions on business exits and other actions, and (7) failed securities portfolio restructuring in the markets division (large bond losses).

Mizuho Financial Group (8411 / MZHO / MFG)

Our PO for Mizuho Financial Group of ¥8,300 (ADR \$10.81) is based on applying a fair P/B of 1.75x (FY3/27-FY3/28 average estimate ROE of 12.19% and theoretical cost of capital of 6.98%, ROE estimates weighted at 75% for FY3/27 and 25% for FY3/28) to our FY3/27 BPS estimate of ¥4,750. The 6.98% cost of capital we use is based on an implied risk premium of 7.55%, calculated from the averages (since the BoJ's adoption of NIRP in 2016) of the risk premium for Japan stocks of 4.82%, of the risk-free rate of 2.25%, and of the weekly beta of 1.099, to which we apply a 7.5% premium to reflect qualitative factors (including the long-term attractiveness of the business portfolio, capital policies, governance and regulatory risks).

Upside risks to our PO are (1) share gains in the capital markets business on a pickup in improvement in business with large companies, (2) faster-than-expected growth in shareholder payouts, and (3) a faster-than-expected pace of business portfolio changes. Downside risks are (1) a worse-than-expected slowdown in the capital markets business, where the bank has strength, (2) weaker-than-expected growth in shareholder payouts and M&A failures, and (3) deterioration in the credit risk of large corporate clients and a failure to control unrealized losses on foreign bonds.

ORIX (8591 / ORXCF / IX)

We assume ROE of at most 11% excluding contributions of a major Japanese conglomerate and a cost of equity of 10%, implying a P/B of 1.1x (¥5tn). The value of indirectly held flash memory specialist, based on consensus price objectives, is ¥900bn. For the conglomerate ex-the specialist, we assume 15% ownership and value it at 20x annualized H2 FY3/26 operating profit after tax, implying ¥770bn. Adding these components and converting to a per-share basis yields a price objective (PO) of ¥6,280 (ADR \$38.87).

Downside risks to our PO: (1) Far lower-than-expected capital gains from FY3/27, and (2) a sharp decline in the environment for US credit and private equity investment.

Upside risks: (1) A rapid improvement in conditions in the US business, (2) the announcement of relatively large, attractive investments, and (3) a greater-than-expected increase in shareholder returns.

Mitsubishi HC Capital (8593 / MIUFF)

Our price objective for Mitsubishi HC Capital is ¥1,310. We apply a P/B of 0.9x to our end-FY3/27 BPS forecast, based on our view that its ROE to remain at around 9% in the near term, while its cost of equity is close to 10%.

Upside risks to our PO: (1) a rapid improvement in credit costs and funding costs in Europe and North America, (2) a substantial recovery in profits at underperforming businesses such as environmental energy, and (3) a higher likelihood of significant profit improvement driven by the realization of the new medium-term plan, including a large reduction in low-ROA assets and an expansion of high-ROA assets. Downside risks: (1) a renewed deterioration in credit costs (European operations and North American commercial truck finance), (2) persistently elevated funding costs (UK and US operations), (3) a sharp decline in the currently high utilization rate owing to worsening performance in the logistics business, caused by a contraction in global trade volumes and North American logistics activity, and (4) increased earnings volatility owing to the timing of gains and losses on asset sales.

Daiwa Securities Group (8601 / DSECF)

Our PO of ¥1,670 is based on our BPS estimate for end-Mar 2027 and a P/B of 1.24x, derived from normalized ROE of 10.5% and a cost of capital of 8.5%.

Upside risks to our PO are (1) a significant change in shareholders' return policy to adjust its currently high CET1 ratio, (2) a rally on stock markets that results in strong growth in global market revenue and sales commissions from investment trusts, and (3) strong growth in customer numbers and earnings as a result of the alliance with a bank equity-method affiliate.

Downside risks are (1) deterioration in stock markets that leads to sharp declines in global market revenue and sales commissions from investment trusts, (2) investing further in a bank equity-method affiliate at a relatively high price to make it a fully owned subsidiary, as well as decisions to make other pricey investments, (3) significant deterioration in financial condition of investee entities under alternative investment business.

Sompo Holdings (8630 / NHOLF)

We have a DDM-based price objective of ¥7,250. As management clarified an intention to raise dividend payout ratio from 3-year avg. adjusted profit to 50% by FY3/31, we assume DPS to grow ¥40-50 a year from FY3/27E of ¥200 until FY3/30 making payout ratio to 47%. Thereafter, we conservatively assume 3% growth. We use a discount rate of 4.25%, and applied 10% discount to the calculation result.

Upside risks to our price objective.

(1) Dividend payout ratio to be raised faster than market expectation, (2) confirmation of a Japan profit recovery that exceeds company expectations, and (3) a clear indication that proceeds from the sale of strategic shareholdings will be allocated to worthwhile investment.

Downside risks to our price objective.

(1) Japan profit recovery that falls behind plan, (2) loss of share amid coming changes in commercial property insurance marketing practices, (3) a deterioration in underwriting in the overseas business, which is currently strong, and (4) the announcement of M&A at high valuations.

Japan Exchange Group (8697 / OSCUF)

We base our price objective of ¥2,200 on P/E of 23x and annualized EPS for 4Q FY3/26. Given the recent strong investor focus on Japanese equities, it is reasonable to use a P/E of 23x for our price objective, even if this sits toward the higher end of global exchange



valuations.

Upside risks for our price objective are 1) a sharp increase in trading value at Tokyo Stock Exchange, and 2) significant improvement in shareholder payouts.

Downside risks for our price objective are 1) a significant decline in trading value at Tokyo Stock Exchange, and 2) faster growth in IT expenses than revenue.

Daiichi Life Group (8750 / DCNSF)

Our PO of ¥1,870 is based on DDM. We assume adjusted profit growth of 3% and apply 50% payout ratio based on the three-year average from FY3/30. We use a discount rate of 4.75%

Upside risks are (1) a larger-than-expected increase in new business in Japan, (2) greater-than-expected growth in overseas businesses, and (3) sharp rise in Japan equities and other risky assets.

Downside risks are (1) a sharp drop in new business, (2) the booking of significant losses on risk assets in Japan or overseas, (3) excessive flattening in the yen yield curve in the long to ultra-long zone, (4) a large-scale acquisition at a pricey valuation.

Tokio Marine Holdings (8766 / TKOMF / TKOMY)

We base our price objective of ¥9,840 (ADR:\$61.96) on our DDM. We assume 9% growth of DPS from FY3/27 to FY3/29 factoring management explanation. Thereafter, we conservatively assume 3% DPS growth from FY3/30. For calculating an FY3/33 terminal value, we use a DPS of ¥417 and a discount rate of 4.0%.

Upside risks to our price objective are (1) management announcing more aggressive shareholders' return than what market expect, (2) growth of both domestic and foreign business profits exceeding market expectation, (3) announcement of a good M&A that will enable the company to grow overseas business profit faster.

Downside risks for our price objective: (1) Smaller improvement in shareholders return than what market expect, (2) Significant deterioration of US office CRE loan and private credit portfolio. (3) Yen appreciation of 10% would reduce adjusted profit (excluding gains on the sale of strategic shareholdings) by just over 7%. (4) Excessive softening of premium rates in the overseas business.

Katitas (8919 / KTITF)

We calculate our ¥4,000 price objective using our FY3/28 EPS estimate and a P/E of 20x. The multiple is the company's average P/E based on the current year + 1-yr. forward Bloomberg consensus since January 2018 (immediately after the IPO).

Upside risks: (1) stronger demand for low-priced housing (properties with simple renovations), (2) an earlier-than-expected profit growth contribution from the introduction of mandatory real estate inheritance registration, and (3) M&A.

Downside risks: (1) ebbing in demand in the new-build/pre-owned property markets, (2) a slowdown in purchasing, (3) a sharp rise in short-term interest rates, and (4) up-spikes in materials and labor costs.

Odakyu Railway (9007 / ODERF)

Our price objective of ¥2,000 is based on 1.4x P/B on our end-FY3/27 BPS estimate, which is broadly in line with historical average of Kanto region private rail peers.

Upside risks: 1) Future earnings growth beyond company guidance for FY3/26-27, 2) announcement of share buybacks to support higher-than-expected total shareholder

return beyond company's 40% target, and 3) pricing reform announcement to boost railway profit.

Downside risks: 1) Labor shortage impacting rail and non-rail operation and increase of labor costs, 2) natural disasters impacting Odakyu's transportation operations, 3) sharp currency movement leading to inbound traffic decline, 4) higher material costs, and 5) liquidation of cross shareholdings.

Nippon Yusen (9101 / NYUKF)

Our price objective of ¥6,525 is set at 0.9x March 2026 book. We set our target multiple at the upper end of NYK's trading range during the Red Sea closure since late 2023 to factor the near term spot rate inflection.

Upside risks: 1) stronger-than-expected global economic environment, boosting world trade volumes and liner rates, 2) better-than-expected capacity discipline by vessel operators/owners leading to an increase in freight rates, 3) higher synergies from ONE containership business, 4) a sharp decline in the cost of bunker fuel, and 5) a much weaker Japanese Yen given it is primarily a USD business.

Downside risks: 1) a deterioration in macro conditions causing world trade to weaken and rates to soften, 2) a further increase in trade tensions and tariffs, 3) lack of capacity discipline, prolonging and deepening the period of overcapacity in container and dry bulk, and 4) a stronger Japanese yen and/or high bunker prices.

Mitsui O.S.K. Lines (9104 / MSLOF)

Our price objective of ¥6,400 is based on a multiple of 0.8x March 2026 book at the upper end of MOL's valuation range since the Red Sea crisis in 2024-25 to factor the near term boost in spot rates.

Downside risks: 1) a deterioration in macro conditions causing world trade to weaken, 2) a further increase in trade tensions and tariffs, 3) lack of capacity discipline, prolonging and deepening the period of overcapacity, and 4) a stronger Japanese yen and/or high bunker prices.

ANA Holdings (9202 / ALNPF)

Our ANA price objective is ¥3,300 set at 1.3x March 2026 book. We set our P/B based on our FY3/28 ROE of 9.3% and the historical relationship between P/B and ROE.

Upside risks: 1) stronger inbound/outbound travel demand, 2) favorable currency or fuel price developments, and 3) improvement in shareholder return policy.

Downside risks: 1) yield deterioration due to weakening in travel demand or increased competition from other carriers, 2) sentiment impact from FX movement and higher fuel prices.

Capcom (9697 / CCOEF)

Our PO of ¥4,700 is based on applying a 30x P/E to our FY3/27E EPS of ¥157. The applied multiple represents an approximately 30% premium to the FY25 average P/E of 23x for the 13 companies in the Game & Content cluster we cover. We apply this premium as we see the company's medium-term EPS growth for FY3/28-FY3/29 exceeding the cluster average of 7-8%.

Risks to our PO are: (1) delays in new title launches, (2) slower repeat sales of catalog titles, and (3) a deterioration in the global economy.



Fast Retailing (9983 / FRCOF / FRCOY)

We set our PO at ¥84,000 (ADR: US\$54.19), based on c.41x FY8/28 P/E. We derived our PO with reference to the stock's 12-month forward P/E over roughly the past three months, during which the market has started to factor in signs that the China business is bottoming out, as well as the view that growth in the North America and Europe businesses will drive overall earnings.

Upside risks to our PO are: (1) a turnaround in earnings in China and Southeast Asia, and (2) GU entering a new growth stage. Downside risks are: (1) yen appreciation, which would reduce the contribution of overseas businesses to consolidated results, (2) a slower-than-expected recovery in China, and (3) adverse weather and country risk

Analyst Certification

We, Shinichiro Nakamura, Arashi Nishizawa, Hideaki Tanaka, Hiro Nakakura, CFA, Kei Takeuchi, Kenjin Hotta, Kentaro Hosoda, Koichi Mamegano, Kyoji Chiba, Manabu Sumoge, Masashi Akutsu, Mikio Hirakawa, Nathan Gee, CFA, Natsumu Tsujino, CFA, Niima Komura, Ritsuo Watanabe, Shiro Sakamaki, Shusuke Yamada, CFA, Takumi Kasai, Tomonobu Yamashita, Yoshitaka Nagao and Yuji Kobayashi, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Special Disclosures

BofA Securities is currently acting as financial advisor to Mizuho Financial Group, Inc. in connection with the proposed acquisition by its consolidated subsidiary, Mizuho Securities Co., Ltd., of over 60% stake in Avendus Capital Private Limited from the KKR Group, which was announced on December 17, 2025.

BofA Securities is currently acting as Financial Advisor to AURELIUS in connection with its proposed disposal of LSG Asia-Pacific to a consortium comprising of Kobe Bussan Co., Ltd. and GOURMET KINEYA Co., Ltd., which was announced on March 31, 2026.

BofA Securities is currently acting as financial advisor to Resona Holdings, Inc. in connection with the proposed sale of a 20% stake in its subsidiary, Kansai Mirai Bank, Limited, to West Japan Railway Company, which was announced on May 1, 2026.

APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Aboitiz Equity Ventures, Inc.	ABOIF	AEV PM	Julian Roxas
	AirTAC	ATCXF	1590 TT	Ming Hsun Lee, CFA
	Anhui Heli	AHUHF	600761 CH	Summer Wang, CFA
	Ayala Corporation	AYYLF	AC PM	Russ Toribio
	Centre Testing International	XCTEF	300012 CH	Yikai Liu, CFA
	Daifuku	DAIUF	6383 JP	Kenjin Hotta
	Daikin Industries	DKILF	6367 JP	Kenjin Hotta
	Daikin Industries	DKILY	DKILY US	Kenjin Hotta
	Envicool	XPTIF	002837 CH	Yibing Xia
	GeekPlus	BGTCF	2590 HK	Summer Wang, CFA
	Goldwind	XJNGF	2208 HK	Gary Tsang
	GTCAP	GTHOF	GTCAP PM	Russ Toribio
	Guangdong Songfa	XDZGF	603268 CH	Amy Han
	Hainan Jinpan	XKZNF	688676 CH	Matty Zhao
	Hangcha Group	XXCLF	603298 CH	Summer Wang, CFA
	Hangzhou Great Star	XNZLF	002444 CH	Fiona Liang
	Hankuk Carbon	HKUCF	017960 KS	KJ Hwang
	Han's Laser	XHQTF	002008 CH	Summer Wang, CFA
	Hanwha Aerospace	SSASF	012450 KS	KJ Hwang
	HD Hyundai Electric	XPELF	267260 KS	Sun Jung Lee
	HD Hyundai Heavy Industries	XHZXF	329180 KS	KJ Hwang
	Himile	XMSVF	002595 CH	Fiona Liang
	Hiwin Technologies	HITEF	2049 TT	Ming Hsun Lee, CFA
	Huaming Equipment	XKTIF	002270 CH	Matty Zhao
	IHI	IHICF	7013 JP	Kenjin Hotta
	Inovance Technology	XYMYF	300124 CH	Ming Hsun Lee, CFA
	Jiangsu Hengli Hydraulic Co., Ltd	XHDCF	601100 CH	Ming Hsun Lee, CFA
	Kawasaki Heavy Industries	KWHIF	7012 JP	Kenjin Hotta
	Keyence	KYCCF	6861 JP	Kenjin Hotta
	Korea Aerospace	XAQHF	047810 KS	KJ Hwang
	LIG Defense & Aerospace	XLQUF	079550 KS	KJ Hwang
	LS Electric	LGXSF	010120 KS	Sun Jung Lee
	Makita	MKEWF	6586 JP	Kenjin Hotta
	Mingyang Smart Energy	XLARF	601615 CH	Charlotte Xia
	Mitsubishi Heavy Industries	MHVYF	7011 JP	Kenjin Hotta
	Mitsui E&S	MIESF	7003 JP	Yuri Nishizaki
	MNC Solution	XZXRf	484870 KS	Dongho Shin
	Nabtesco	NCTKF	6268 JP	Kenjin Hotta
	Namura Shipbuilding	NMRSF	7014 JP	Yuri Nishizaki
	NARI Technology	XLODF	600406 CH	Matty Zhao
	Samsung Heavy Industries	SMSHF	010140 KS	KJ Hwang
	Sany Heavy Industry Co., Ltd	SHVYF	600031 CH	Ming Hsun Lee, CFA
	Sany Heavy Industry Co., Ltd	XHEVF	6031 HK	Ming Hsun Lee, CFA
	Sany International	SNYYF	631 HK	Summer Wang, CFA
	SATS Limited	SPASF	SATS SP	Nathan Gee, CFA
	Shenling	XSRLF	301018 CH	Yibing Xia
	Shenzhen Megmeet	XXMLF	002851 CH	Yikai Liu, CFA
	Sieyuan Electric	XUJKF	002028 CH	Matty Zhao
	Sinexcel	XSBEF	300693 CH	Summer Wang, CFA
	Sinotruk Hong Kong Ltd	SHKLF	3808 HK	Fiona Liang
	SM Investments Corporation	SVTMF	SM PM	Russ Toribio
	SMC	SMECF	6273 JP	Kenjin Hotta
	SMC	SMCAY	SMCAY US	Kenjin Hotta
	ST Engineering	SGGKF	STE SP	Jessie Lo
	Suzhou Maxwell Technologies	XSMTF	300751 CH	Gary Tsang
	TGOOD	XQGDF	300001 CH	Yikai Liu, CFA
	THK	THKLF	6481 JP	Kenjin Hotta
	UBTECH	UBTRF	9880 HK	Ming Hsun Lee, CFA
	Weichai Power Co. Ltd	WEICF	2338 HK	Fiona Liang
	Weichai Power Co. Ltd	XWPEF	000338 CH	Fiona Liang
	XCMG Construction Machinery Co Ltd	XVPZF	000425 CH	Ming Hsun Lee, CFA
	XJ Electric	XJECF	000400 CH	Matty Zhao
	Yangzijiang Shipbuilding	YSHLF	YZJSGD SP	Amy Han
	Yuchai International	CYD	CYD US	Fiona Liang



APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Zoomlion Heavy Industry	XLRYF	000157 CH	Ming Hsun Lee, CFA
	Zoomlion Heavy Industry	ZLIOF	1157 HK	Ming Hsun Lee, CFA
NEUTRAL				
	D&L Industries, Inc.	DALQF	DNL PM	Philip Albert Felix
	Dongguan Yiheda Automation	XDXGF	301029 CH	Yikai Liu, CFA
	Fanuc	FANUF	6954 JP	Kenjin Hotta
	Fanuc	FANUY	FANUY US	Kenjin Hotta
	Kubota Corp	KUBTF	6326 JP	Kenjin Hotta
	Kubota Corp	KUBTY	KUBTY US	Kenjin Hotta
	OMRON Corporation	OMRNF	6645 JP	Kenjin Hotta
	OMRON Corporation	OMRNY	OMRNY US	Kenjin Hotta
	Yaskawa Electric	YASKF	6506 JP	Kenjin Hotta
	Zhejiang Supcon Technology	XDXFF	688777 CH	Yikai Liu, CFA
	Zhuzhou CRRC Times Electric	ZHUZF	3898 HK	Yikai Liu, CFA
	Zhuzhou CRRC Times Electric	XWCTF	688187 CH	Yikai Liu, CFA
UNDERPERFORM				
	Alliance Global Group, Inc.	ALGGF	AGI PM	Russ Toribio
	CKD	CKDOF	6407 JP	Kenjin Hotta
	ESTUN Automation	XNJNF	002747 CH	Ming Hsun Lee, CFA
	ESTUN Automation	XZMTF	2715 HK	Ming Hsun Lee, CFA
	Goldwind	XJGWF	002202 CH	Gary Tsang
	Hitachi CM	HTCMF	6305 JP	Kenjin Hotta
	Hongfa Technology	XQXAF	600885 CH	Fiona Liang
	Komatsu	KMTUF	6301 JP	Kenjin Hotta
	Komatsu	KMTUY	KMTUY US	Kenjin Hotta
	L.K. Technology	XBQXF	558 HK	Joey Yang, CFA
	Leader Harmonious Drive Systems	XLHNF	688017 CH	Yikai Liu, CFA
	LT Group, Inc.	LTGIF	LTG PM	Philip Albert Felix
	OPT Machine Vision	XOTVF	688686 CH	Yikai Liu, CFA
	SCG Packaging PCL	XAFLF	SCGP TB	Narumon Ekasamut
	Shanghai Bochu Electronic	XWUTF	688188 CH	Fiona Liang
	Shenzhen SC New Energy	XENYF	300724 CH	Yikai Liu, CFA
	SK Bend	SUKWF	014620 KS	KJ Hwang

APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	ABC-MART	AMKYF	2670 JP	Arashi Nishizawa
	AmorePacific Corp	AMRPF	090430 KS	Ahyung Cho
	and ST HD	PNMOF	2685 JP	Arashi Nishizawa
	Anker Innovations	XAIF	300866 CH	Yoyo Pang
	Anta Sports	ANPDF	2020 HK	Lucy Yu
	APR	XLTDF	278470 KS	Ahyung Cho
	Asics	ASCCF	7936 JP	Arashi Nishizawa
	BGF Retail	XWAHF	282330 KS	Ahyung Cho
	Bosideng	BSDGF	3998 HK	Lucy Yu
	BUD APAC	BDWBF	1876 HK	Chen Luo, CFA
	Busy Ming Group	XYBMF	1768 HK	Jack Chen
	Chacha Food	XCCLF	002557 CH	Jack Chen
	China Pet Foods	XDEEF	002891 CH	Alice Ma
	China Resources Beer (Holdings) Co Ltd	CRHKF	291 HK	Chen Luo, CFA
	Coca-Cola Bottlers Japan Holdings	CCOJF	2579 JP	Manabu Sumoge
	Cosmax	XCRSF	192820 KS	Zoe (Jung-ae) Chun
	Cosmos Pharmaceutical	CSMYF	3349 JP	Arashi Nishizawa
	Dabur India	DBUIF	DABUR IN	Aditya Mathur
	DPC Dash Ltd	DPCDF	1405 HK	Lucy Yu
	Eastroc	XEBSF	605499 CH	Jack Chen
	Eastroc	ERBGF	9980 HK	Jack Chen
	Fast Retailing	FRCOF	9983 JP	Arashi Nishizawa
	Fast Retailing	FRCOY	FRCOY US	Arashi Nishizawa
	Feng Tay	FTGYF	9910 TT	Ronald Leung, CFA



APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Godrej Consumer Products	XGOCF	GCPL IN	Aditya Mathur
	Goldwin	GWNCF	8111 JP	Arashi Nishizawa
	Guming	XGHXF	1364 HK	Lucy Yu
	Haier Smart Home Co Ltd	TTHEF	600690 CH	Lucy Yu
	Haier Smart Home Co Ltd	HRSHF	6690 HK	Lucy Yu
	Henan Shuanghui Investment & Dev	HSUIF	000895 CH	Chen Luo, CFA
	JINS HOLDINGS	JNDOF	3046 JP	Arashi Nishizawa
	Jubilant FoodWorks	XJUBF	JUBI IN	Aditya Mathur
	Kewpie	KWPCF	2809 JP	Manabu Sumoge
	Kikkoman	KIKOF	2801 JP	Manabu Sumoge
	Kirin Holdings	KNBWF	2503 JP	Manabu Sumoge
	Kobe Bussan	KOBNF	3038 JP	Arashi Nishizawa
	Kolmar Korea	XKKPF	161890 KS	Zoe (Jung-ae) Chun
	KT&G	KTCIF	033780 KS	Ahyung Cho
	Kweichow Moutai Co. Ltd.	XHJBF	600519 CH	Chen Luo, CFA
	Leela Palaces Hotels & Resorts	XSBLF	THELEELA IN	Aditya Mathur
	Li Ning Co Ltd	LNNGF	2331 HK	Lucy Yu
	Ligao Foods	XLFLF	300973 CH	Jack Chen
	Lion	LIOPF	4912 JP	Kentaro Hosoda
	Mao Geping	XMGOF	1318 HK	Lucy Yu
	Marico	MAIOF	MRCO IN	Aditya Mathur
	MatsukiyoCocokara & Co	MSMKF	3088 JP	Arashi Nishizawa
	Mengniu Dairy	CIADF	2319 HK	Chen Luo, CFA
	Midea Group	MGCOF	300 HK	Chen Luo, CFA
	Midea Group Co Ltd	XMGEF	000333 CH	Chen Luo, CFA
	New Oriental Education & Technology	EDU	EDU US	Lucy Yu
	New Oriental Education & Technology	NWOEF	9901 HK	Lucy Yu
	Nien Made Enterprise	XNRBF	8464 TT	Yoyo Pang
	Nitori Holdings	NCLTF	9843 JP	Arashi Nishizawa
	Nongfu Spring	NNFSF	9633 HK	Jack Chen
	PAL Group Holdings	PALZF	2726 JP	Arashi Nishizawa
	Pan Pacific International HD	DQJCF	7532 JP	Arashi Nishizawa
	Pigeon	PIGEF	7956 JP	Kentaro Hosoda
	Roborock Technology	XBTLF	688169 CH	Yoyo Pang
	ROHTO	RPHCF	4527 JP	Kentaro Hosoda
	Ryohin Keikaku	RYKKF	7453 JP	Arashi Nishizawa
	Ryohin Keikaku	RYKKY	RYKKY US	Arashi Nishizawa
	Samsonite International	SMSOF	1910 HK	Jack Chen
	Seven & i Holdings	SVNDF	3382 JP	Arashi Nishizawa
	Shanxi Fen Wine	XCKZF	600809 CH	Chen Luo, CFA
	Shenzhou International	SZHIF	2313 HK	Chen Luo, CFA
	Shinsegae	SDKLF	004170 KS	Ahyung Cho
	Sugi Holdings	SGIPF	7649 JP	Arashi Nishizawa
	Sundrug	SDGCF	9989 JP	Arashi Nishizawa
	Suofeiya Home Collection Co Ltd	XGUZF	002572 CH	Yoyo Pang
	TAL	TAL	TAL US	Lucy Yu
	Titan Company	XNXAF	TTAN IN	Aditya Mathur
	Trial Holdings	XIKRF	141A JP	Arashi Nishizawa
	Tsingtao Brewery	TSGTF	168 HK	Chen Luo, CFA
	Tsingtao Brewery	XTSOF	600600 CH	Chen Luo, CFA
	UNITED ARROWS	UARWF	7606 JP	Arashi Nishizawa
	United Spirits	XUNIF	UNITDSPR IN	Aditya Mathur
	Varun Beverages	XMKDF	VBL IN	Aditya Mathur
	Wanchen Group	XFWXF	300972 CH	Jack Chen
	WH Group Limited	WHGRF	288 HK	Chen Luo, CFA
	Yankershop Food	XYNKF	002847 CH	Jack Chen
	Yili Industrial Group	XIDRF	600887 CH	Chen Luo, CFA
	Yum China	YUMC	YUMC US	Chen Luo, CFA
	Yum China	XYUMF	9987 HK	Chen Luo, CFA
NEUTRAL				
	Ajinomoto	AJINF	2802 JP	Manabu Sumoge
	Arashi Vision	XSNSF	688775 CH	Ronald Leung, CFA
	Asahi Group Holdings	ASBRF	2502 JP	Manabu Sumoge
	Asian Paints	XSAFF	APNT IN	Aditya Mathur
	Avenue Supermarts	XWCVF	DMART IN	Aditya Mathur



APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Britannia Industries	XJNDF	BRIT IN	Aditya Mathur
	China Feihe	CHFLF	6186 HK	Jack Chen
	China Resources Beverage	XCRBF	2460 HK	Jack Chen
	Chow Tai Fook Jewellery	CJWF	1929 HK	Ronald Leung, CFA
	E-Mart	EMRTF	139480 KS	Ahyung Cho
	Foshan Haitian Flavouring & Food Co Ltd	XCMJF	603288 CH	Jack Chen
	Gree Electric Appliances	ZHUHF	000651 CH	Chen Luo, CFA
	GS Retail	XGLTF	007070 KS	Ahyung Cho
	Haidilao International Holding Ltd.	HDALF	6862 HK	Lucy Yu
	Hindustan Unilever	HINLF	HUVR IN	Aditya Mathur
	Hisense Home Appliance	XMBQF	000921 CH	Lucy Yu
	Hisense Home Appliance	HISEF	921 HK	Lucy Yu
	ITC	ITCTF	ITC IN	Aditya Mathur
	Kao	KAOCF	4452 JP	Kentaro Hosoda
	KOSE Holdings	KOSCF	4922 JP	Kentaro Hosoda
	Kusuri No Aoki Holdings	XADAF	3549 JP	Arashi Nishizawa
	Laopu Gold	XLGBF	6181 HK	Ronald Leung, CFA
	Man Wah Holdings	MAWHF	1999 HK	Yoyo Pang
	MINISO Group Holdings	MNSO	MNSO US	Lucy Yu
	MINISO Group Holdings	XKTAF	9896 HK	Lucy Yu
	Pop Mart	POPMF	9992 HK	Alice Ma
	Proya Cosmetics	XPXCF	603605 CH	Lucy Yu
	Robam Appliance	XVPDF	002508 CH	Lucy Yu
	Suntory Beverage & Food	STBFF	2587 JP	Manabu Sumoge
	Tata Consumer Products	XTCUF	TATACONS IN	Aditya Mathur
	Tingyi	TCYMF	322 HK	Jack Chen
	Topsports International Holding Ltd.	TPSRF	6110 HK	Lucy Yu
	Tsuruha Holdings	TSUSF	3391 JP	Arashi Nishizawa
	Unicharm	UNCHF	8113 JP	Kentaro Hosoda
	Uni-president China	UNPSF	220 HK	Jack Chen
	Wuliangye Yibin	YBWUF	000858 CH	Chen Luo, CFA
	Yamada Holdings	YMDAF	9831 JP	Arashi Nishizawa
	Yonghui Superstores Co Ltd	XQYXF	601933 CH	Lucy Yu
	Yue Yuen	YUEIF	551 HK	Yoyo Pang
UNDERPERFORM				
	Anjoy Foods	XSWCF	603345 CH	Jack Chen
	Bairun	XSBZF	002568 CH	Jack Chen
	Colgate-Palmolive India	CPIYF	CLGT IN	Aditya Mathur
	Eclat	ECLAF	1476 TT	Ronald Leung, CFA
	Fuling Zhacai	XSRTF	002507 CH	Jack Chen
	Gambol Pet	XYEDF	301498 CH	Alice Ma
	Giant Manufacturing	GTMUF	9921 TT	Ronald Leung, CFA
	Hotel Shilla	HSLLF	008770 KS	Ahyung Cho
	Jason Furniture	XVZDF	603816 CH	Yoyo Pang
	Jiangsu Yanghe Brewery	XJBTF	002304 CH	Chen Luo, CFA
	Kobayashi Pharmaceutical	KBYPF	4967 JP	Kentaro Hosoda
	Lai Yih Footwear	XAWWF	6890 TT	Ronald Leung, CFA
	LG H&H	LGHHF	051900 KS	Ahyung Cho
	Lotte Shopping	LOSPF	023530 KS	Ahyung Cho
	Luzhou Laojiao	XMBBF	000568 CH	Chen Luo, CFA
	Makalot Industrial	MAKAF	1477 TT	Ronald Leung, CFA
	Merida Industry Co Ltd	MIUYF	9914 TT	Ronald Leung, CFA
	Mixue Group	XDGRF	2097 HK	Chen Luo, CFA
	Nestle India	XNTEF	NEST IN	Aditya Mathur
	Oppein Home Group	XKXRF	603833 CH	Yoyo Pang
	Pidilite Industries	PDLFF	PIDI IN	Aditya Mathur
	Pola Orbis HD	PORBF	4927 JP	Kentaro Hosoda
	Sapphire Foods	XLQLF	SAPPHIRE IN	Aditya Mathur
	Sapporo Holdings	SOOBF	2501 JP	Manabu Sumoge
	Seria	SAOGF	2782 JP	Arashi Nishizawa
	Shanghai Jahwa	SNJUF	600315 CH	Lucy Yu
	Shanghai M&G Stationery	XBHUF	603899 CH	Yoyo Pang
	SHIMAMURA	SHAOF	8227 JP	Arashi Nishizawa
	Smoore	SMORF	6969 HK	Alice Ma
	United Breweries	UBWRF	UBBL IN	Aditya Mathur



APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Want Want China	WWNTF	151 HK	Chen Luo, CFA
	WORKMAN	WKISF	7564 JP	Arashi Nishizawa
	Yihai Intl	YNNHF	1579 HK	Lucy Yu
	Yihai Kerry Arawana	XYIHF	300999 CH	Jack Chen

APR - Transportation Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Air China Ltd	AICAF	753 HK	Amy Han
	Air China Ltd -A	XANLF	601111 CH	Amy Han
	ANA Holdings	ALNPF	9202 JP	Nathan Gee, CFA
	Asia Aviation	XZWTF	AAV TB	Teerapol Udomvej, CFA
	Aurizon Holdings Limited	QRNMF	AZJ AU	Lara Tufegdzc
	Bangkok Airways	XAIGF	BA TB	Teerapol Udomvej, CFA
	Bangkok Expressway and Metro	XBQEF	BEM TB	Suppamong Iemkongaek, CFA, CMT
	Beijing Capital Airport	BJCHF	694 HK	Amy Han
	Beijing-Shanghai High Speed Railway	XMREF	601816 CH	Amy Han
	COSCO Shipping Energy Transportation	CSDXF	1138 HK	Nathan Gee, CFA
	COSCO Shipping Energy Transportation	CSDJF	600026 CH	Nathan Gee, CFA
	Eastern Air Logistics	XEALF	601156 CH	Amy Han
	EVA Airways	XEACF	2618 TT	Nathan Gee, CFA
	Full Truck Alliance	YMM	YMM US	Fan Tso, CFA
	GMR Airports Ltd	XAIRF	GMRAIRPO IN	Nathan Gee, CFA
	Guangshen Railway	GNGYF	525 HK	Amy Han
	Guangshen Railway	GSHHF	601333 CH	Amy Han
	Hankyu Hanshin Holdings	HYUHF	9042 JP	Hiro Nakakura, CFA
	IndiGo	XQBSF	INDIGO IN	Nathan Gee, CFA
	J&T Global Express	JTGLF	1519 HK	Fan Tso, CFA
	Japan Airlines	JPNRF	9201 JP	Nathan Gee, CFA
	JD Logistics	XKQDF	2618 HK	Fan Tso, CFA
	JR East	EJPRF	9020 JP	Hiro Nakakura, CFA
	JR Kyushu	KYYHF	9142 JP	Hiro Nakakura, CFA
	Milkyway Chemical Supply Chain	XMCYF	603713 CH	Fan Tso, CFA
	Odakyu Railway	ODERF	9007 JP	Hiro Nakakura, CFA
	Qantas Airways	QUBSF	QAN AU	Nathan Gee, CFA
	Qantas Airways	QABSY	QABSY US	Nathan Gee, CFA
	S.F. Holding Co., Ltd	XSLRF	002352 CH	Fan Tso, CFA
	Seibu Holdings	SEIBF	9024 JP	Hiro Nakakura, CFA
	SG Holdings	SGHHF	9143 JP	Hiro Nakakura, CFA
	Sinotrans Limited	SNOTF	598 HK	Karl Choi, CFA
	Skymark Airlines	XHNJF	9204 JP	Nathan Gee, CFA
	Spring Airlines	XSCCF	601021 CH	Amy Han
	Thailand Future Fund	XTFFF	TFFIF TB	Sirichai Chalokepunrat
	Tokyo Metro	XIXJF	9023 JP	Hiro Nakakura, CFA

NEUTRAL

	Airports of Thailand	ARPRF	AOT TB	Teerapol Udomvej, CFA
	China Airlines	XCHIF	2610 TT	Nathan Gee, CFA
	China Merchants Port Holdings	CMHHF	144 HK	Karl Choi, CFA
	China Southern	CHKIF	1055 HK	Amy Han
	China Southern Airlines Co-A	CHKFF	600029 CH	Amy Han
	Guangzhou Baiyun Airport	GZBYF	600004 CH	Amy Han
	JR Central	CJPRF	9022 JP	Hiro Nakakura, CFA
	JR West	WJRYF	9021 JP	Hiro Nakakura, CFA
	Kawasaki Kisen	KAKKF	9107 JP	Nathan Gee, CFA
	Mitsui O.S.K. Lines	MSLOF	9104 JP	Nathan Gee, CFA
	Nippon Yusen	NYUKF	9101 JP	Nathan Gee, CFA
	Pacific Basin	PCFBF	2343 HK	Nathan Gee, CFA
	Sinotrans	XMKOF	601598 CH	Karl Choi, CFA
	SITC International Holdings	SITIF	1308 HK	Nathan Gee, CFA
	Thai Airways International	TARWF	THAI TB	Teerapol Udomvej, CFA
	Tokyu Corporation	TOKUF	9005 JP	Hiro Nakakura, CFA



APR - Transportation Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	TravelSky Technology	TSYHF	696 HK	Amy Han
	Yamato Holdings	YATRF	9064 JP	Hiro Nakakura, CFA
	YTO Express	XYTOF	600233 CH	Fan Tso, CFA
	ZTO Express	ZTO	ZTO US	Fan Tso, CFA

UNDERPERFORM

	Cathay Pac Air	CPCAF	293 HK	Nathan Gee, CFA
	China Eastern	CHEAF	670 HK	Amy Han
	China Eastern Airlines Co-A	XCHEF	600115 CH	Amy Han
	COSCO Shipping Holdings Co. Ltd.	CICOF	1919 HK	Nathan Gee, CFA
	COSCO Shipping Holdings Co. Ltd.-A	XCHDF	601919 CH	Nathan Gee, CFA
	CTS International Logistics	XMKUF	603128 CH	Fan Tso, CFA
	Daqin Railway	XDRCY	601006 CH	Amy Han
	Evergreen Marine	EVGQF	2603 TT	Nathan Gee, CFA
	Hyundai Glovis	GLVIF	086280 KS	KJ Hwang
	Int'l Container Terminal Service	ICTEF	ICT PM	Philip Albert Felix
	Orient Overseas International Ltd	OROVF	316 HK	Nathan Gee, CFA
	Shanghai International Airport	XAISF	600009 CH	Amy Han
	Singapore Airlines	SINGF	SIA SP	Nathan Gee, CFA
	STO Express	XSELF	002468 CH	Fan Tso, CFA
	Yunda Holding	XFSWF	002120 CH	Fan Tso, CFA

Japan - Cyclical Materials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Adeka Corp	ADKCF	4401 JP	Niima Komura
	AGC Inc	ASGLF	5201 JP	Kyoji Chiba
	Asahi Kasei	AHKSF	3407 JP	Takashi Enomoto
	Denka	DENKF	4061 JP	Takashi Enomoto
	ENEOS Holdings	JXHGF	5020 JP	Takashi Enomoto
	Fujikura	FKURF	5803 JP	Takashi Enomoto
	Furukawa Electric	FUWAF	5801 JP	Takashi Enomoto
	Fuso Chemical	XQRDF	4368 JP	Niima Komura
	Idemitsu Kosan	IDKOF	5019 JP	Takashi Enomoto
	Kansai Paint	KSANF	4613 JP	Takashi Enomoto
	Marubeni	MARUF	8002 JP	Takashi Enomoto
	Marubeni	MARUY	MARUY US	Takashi Enomoto
	MARUWA	MAWAF	5344 JP	Niima Komura
	Mitsubishi Corp.	MSBHF	8058 JP	Takashi Enomoto
	Mitsubishi Gas Chemical	MBGCF	4182 JP	Takashi Enomoto
	Mitsubishi Materials	MIMTF	5711 JP	Takashi Enomoto
	Mitsui & Co.	MITSF	8031 JP	Takashi Enomoto
	Mitsui & Co.	MITSY	MITSY US	Takashi Enomoto
	Mitsui Kinzoku	XZJCF	5706 JP	Takashi Enomoto
	Nichias	NICFF	5393 JP	Kyoji Chiba
	Nippon Electric Glass	NPEGF	5214 JP	Kyoji Chiba
	Nippon Sanso Holdings	XCIDF	4091 JP	Takashi Enomoto
	Nissan Chemical	NNCHF	4021 JP	Takashi Enomoto
	Nittobo	NBCLF	3110 JP	Takashi Enomoto
	NOF	NOFCF	4403 JP	Takashi Enomoto
	Osaka Soda	DACLF	4046 JP	Takashi Enomoto
	Rengo	RNGOF	3941 JP	Kyoji Chiba
	Resonac Holdings	SHWDF	4004 JP	Takashi Enomoto
	Sekisui Chemical	SKSUF	4204 JP	Takashi Enomoto
	Shin-Etsu Chem	SHECF	4063 JP	Takashi Enomoto
	SUMCO	SUMCF	3436 JP	Takashi Enomoto
	Sumitomo Bakelite	SBKLF	4203 JP	Niima Komura
	Sumitomo Chem.	SOMMF	4005 JP	Takashi Enomoto
	Sumitomo Corp.	SSUMF	8053 JP	Takashi Enomoto
	Sumitomo Corp.	SSUMY	SSUMY US	Takashi Enomoto
	Sumitomo Electric Industries	SMTOF	5802 JP	Takashi Enomoto
	Sumitomo Metal Mining	STMNF	5713 JP	Takashi Enomoto



Japan - Cyclical Materials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Tokai Carbon	TKCBF	5301 JP	Takashi Enomoto
	Tokyo Ohka Kogyo	TOKCF	4186 JP	Niima Komura
	Toyo Gosei	TYGIF	4970 JP	Niima Komura
	Tri Chemical Laboratories	XWURF	4369 JP	Niima Komura

NEUTRAL

	Cosmo Energy Holdings	CEHCF	5021 JP	Takashi Enomoto
	Fujimi Incorporated	FUJXF	5384 JP	Niima Komura
	Kaneka	KANKF	4118 JP	Kyoji Chiba
	Kumiai Chemical Industry	XHEXL	4996 JP	Kyoji Chiba
	NGK Corporation	NGKIF	5333 JP	Kyoji Chiba
	Nippon Paint Holdings	NPCPF	4612 JP	Takashi Enomoto
	Nippon Paper Industries	NJPFF	3863 JP	Kyoji Chiba
	Nippon Soda	NSDFF	4041 JP	Kyoji Chiba
	Oji Holdings	OJIPF	3861 JP	Kyoji Chiba
	Osaka Organic Chemical	XAPKF	4187 JP	Niima Komura
	Tekscend Photomask Corp.	XJXHP	429A JP	Niima Komura
	Toyota Tsusho	TYHOF	8015 JP	Takashi Enomoto

UNDERPERFORM

	Air Water	AWTRF	4088 JP	Takashi Enomoto
	Daicel Corp	DACHF	4202 JP	Takashi Enomoto
	INPEX	IPXHF	1605 JP	Takashi Enomoto
	Iwatani Corporation	IWTNF	8088 JP	Takashi Enomoto
	JFE Holdings	JFEFF	5411 JP	Takashi Enomoto
	Kobe Steel	KBSTF	5406 JP	Takashi Enomoto
	Kuraray	KURRF	3405 JP	Takashi Enomoto
	Kureha	KURCF	4023 JP	Niima Komura
	Mitsubishi Chemical Group	MTLHF	4188 JP	Takashi Enomoto
	Mitsui Chemicals	MITUF	4183 JP	Takashi Enomoto
	Nippon Shokubai	NSHKF	4114 JP	Takashi Enomoto
	Nippon Steel	NISTF	5401 JP	Takashi Enomoto
	Sumitomo Osaka Cement	SUCEF	5232 JP	Kyoji Chiba
	Taiheiyo Cement	THYCF	5233 JP	Kyoji Chiba
	Toray	TRYIF	3402 JP	Takashi Enomoto
	Tosoh Corporation	TOSCF	4042 JP	Takashi Enomoto
	Zeon	ZEOOF	4205 JP	Niima Komura

RSTR

	JX Advanced Metals Corporation	XJTIF	5016 JP	Niima Komura
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Japan – Semiconductors/Tech Hardware/ Software & IT Svc Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Advantest	ADTTF	6857 JP	Mikio Hirakawa
	Baycurrent	BYCRF	6532 JP	Hiromu Yabuki
	DISCO	DISPF	6146 JP	Mikio Hirakawa
	Fujitsu	FJTSTF	6702 JP	Hideaki Tanaka
	Fujitsu	FJTSTF	FJTSTF US	Hideaki Tanaka
	Hitachi	HTHIF	6501 JP	Mikio Hirakawa
	Hitachi	HTHIY	HTHIY US	Mikio Hirakawa
	HOYA	HOCPP	7741 JP	Masashi Kubota
	HOYA	HOCPPY	HOCPPY US	Masashi Kubota
	Ibiden	IBIDF	4062 JP	Masashi Kubota
	JEOL	XJEOF	6951 JP	Mayako Ouchi
	KIOXIA	XIYUF	285A JP	Mikio Hirakawa
	Lasertec	LSRCF	6920 JP	Mikio Hirakawa
	MinebeaMitsumi	MNBEF	6479 JP	Masashi Kubota
	Mitsubishi Electric	MIELF	6503 JP	Mikio Hirakawa
	Murata Mfg	MRAAF	6981 JP	Masashi Kubota
	NEC	NIPNF	6701 JP	Hideaki Tanaka
	Niterra	NGKSF	5334 JP	Masashi Kubota
	Nitto Denko	NDEKF	6988 JP	Masashi Kubota



Japan – Semiconductors/Tech Hardware/ Software & IT Svc Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Nomura Research Institute	NURAF	4307 JP	Hideaki Tanaka
	Nomura Research Institute	NRILY	NRILY US	Hideaki Tanaka
	Obic	OBIF	4684 JP	Hideaki Tanaka
	OBIC	OBICY	OBICY US	Hideaki Tanaka
	Obic Business Consultants	OBIBF	4733 JP	Hideaki Tanaka
	Oracle Japan	OCLCF	4716 JP	Hideaki Tanaka
	Panasonic	PCRFF	6752 JP	Mikio Hirakawa
	Renesas Electronics	RNECF	6723 JP	Mikio Hirakawa
	Sony Group Corporation	SONY	SONY US	Mikio Hirakawa
	Sony Group Corporation	SNEJF	6758 JP	Mikio Hirakawa
	TDK	TTDKY	TTDKY US	Masashi Kubota
	TDK	TTDKF	6762 JP	Masashi Kubota
	Tokyo Electron	TOELF	8035 JP	Mikio Hirakawa
	Tokyo Seimitsu	TMIUF	7729 JP	Mayako Ouchi
	ULVAC	ULVAF	6728 JP	Mayako Ouchi
NEUTRAL				
	BIPROGY	NTULF	8056 JP	Hideaki Tanaka
	Iriso Electronics	IREEF	6908 JP	Hazel Xue
	Nikon	NINOF	7731 JP	Mayako Ouchi
	SCREEN Holdings	DINRF	7735 JP	Mikio Hirakawa
	TIS	TISNF	3626 JP	Hideaki Tanaka
	Trend Micro	TMICF	4704 JP	Hideaki Tanaka
UNDERPERFORM				
	Alps Alpine	APELF	6770 JP	Masashi Kubota
	Alps Alpine	APELY	APELY US	Masashi Kubota
	Anritsu	AITUF	6754 JP	Mikio Hirakawa
	Fuji Electric	FELTF	6504 JP	Mikio Hirakawa
	Hirose Electric	HRSEF	6806 JP	Masashi Kubota
	Japan Aviation	JPAVF	6807 JP	Masashi Kubota
	Kyocera	KYOCF	6971 JP	Masashi Kubota
	Kyocera	KYOCY	KYOCY US	Masashi Kubota
	Mabuchi Motor	MBUMF	6592 JP	Masashi Kubota
	NS Solutions	NSSXF	2327 JP	Hideaki Tanaka
	Otsuka Corp	OSUKF	4768 JP	Hideaki Tanaka
	Sharp	SHCAF	6753 JP	Mikio Hirakawa
	Taiyo Yuden	TYOYF	6976 JP	Masashi Kubota
RSTR				
	Rigaku Corporation	RGAKF	268A JP	Mikio Hirakawa
RVW				
	Nidec	NNDNF	6594 JP	Masashi Kubota
	NIDEC	NJDCY	NJDCY US	Masashi Kubota

Japan - Telecom/Media/Internet/Game Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Capcom	CCOEF	9697 JP	Yoshitaka Nagao
	CyberAgent	CYAGF	4751 JP	Yoshitaka Nagao
	Dentsu Group Inc.	DNTUF	4324 JP	Yoshitaka Nagao
	Fuji Media Holdings	FJTNF	4676 JP	Yoshitaka Nagao
	GMO Internet Group	GMOYF	9449 JP	Yoshitaka Nagao
	Kakaku.com	KKKUF	2371 JP	Yoshitaka Nagao
	Nintendo	NTDOF	7974 JP	Yoshitaka Nagao
	Oriental Land	OLCLF	4661 JP	Yoshitaka Nagao
	PayPay Corporation	PAYP	PAYP US	Yoshitaka Nagao
	Rakuten Group	RKUNF	4755 JP	Yoshitaka Nagao
	Recruit Holdings	RCRRF	6098 JP	Yoshitaka Nagao
	Sanrio	SNROF	8136 JP	Yusuke Noguchi
	TBS Holdings	TKOBF	9401 JP	Yoshitaka Nagao
	Timee, Inc.	TMEEF	215A JP	Yusuke Noguchi
	Toei Animation	TOEAF	4816 JP	Yusuke Noguchi



Japan - Telecom/Media/Internet/Game Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	TOHO	TKCOF	9602 JP	Yusuke Noguchi
	TV Asahi Holdings	TVAHF	9409 JP	Yoshitaka Nagao
	Visional	VISIF	4194 JP	Yusuke Noguchi
	ZOZO, Inc.	SATLF	3092 JP	Yoshitaka Nagao
NEUTRAL				
	KADOKAWA CORPORATION	KDKWF	9468 JP	Yoshitaka Nagao
	KOEI TECMO HOLDINGS	TKHCF	3635 JP	Yoshitaka Nagao
	Konami Group Corporation	KNAMF	9766 JP	Yoshitaka Nagao
	MEITEC	MEITF	9744 JP	Yusuke Noguchi
	Mercari	MRCIF	4385 JP	Yoshitaka Nagao
	Nippon Television Holdings	NPTVF	9404 JP	Yoshitaka Nagao
	Persol Holdings	TEMPF	2181 JP	Yusuke Noguchi
	SQUARE ENIX HOLDINGS	SQNXF	9684 JP	Yoshitaka Nagao
UNDERPERFORM				
	Bandai Namco Holdings	NCBDF	7832 JP	Yoshitaka Nagao
	dip Corporation	DPRTF	2379 JP	Yusuke Noguchi
	Hakuhodo DY Holdings	HKUOF	2433 JP	Yoshitaka Nagao
	NEXON	NEXOF	3659 JP	Yoshitaka Nagao
RVW				
	LY Corporation	YAHOF	4689 JP	Yoshitaka Nagao
	SoftBank Group	SFTBF	9984 JP	Yoshitaka Nagao

Japan - Financials and Property Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Daiichi Life Group	DCNSF	8750 JP	Natsumu Tsujino, CFA
	Daishi Hokuetsu Financial Group	DSHHF	7327 JP	Yuji Kobayashi
	Daiwa House Industry	DWAHF	1925 JP	Takumi Kasai
	Gunma Bank	GMBKF	8334 JP	Yuji Kobayashi
	Japan Post Bank	JPSTF	7182 JP	Shinichiro Nakamura
	Kajima Corporation	KAJMF	1812 JP	Takumi Kasai
	Katitas	KTITF	8919 JP	Takumi Kasai
	Kyoto Financial Group	KYFGF	5844 JP	Shinichiro Nakamura
	Mebuki Financial Group	MEBUF	7167 JP	Yuji Kobayashi
	Mitsubishi UFJ Financial Group	MUFG	MUFG US	Shinichiro Nakamura
	Mitsubishi UFJ Financial Group	MBFJF	8306 JP	Shinichiro Nakamura
	Mitsui Fudosan	MTSFF	8801 JP	Takumi Kasai
	Mizuho Financial Group	MZHOF	8411 JP	Shinichiro Nakamura
	Mizuho Financial Group	MFG	MFG US	Shinichiro Nakamura
	MS&AD Holdings	MSADF	8725 JP	Natsumu Tsujino, CFA
	Nomura Real Estate Holdings	NMEHF	3231 JP	Takumi Kasai
	Obayashi Corporation	OBYCF	1802 JP	Takumi Kasai
	Resona Holdings	RSNHF	8308 JP	Shinichiro Nakamura
	SBI Holdings	SBHGF	8473 JP	Natsumu Tsujino, CFA
	Sompo Holdings	NHOLF	8630 JP	Natsumu Tsujino, CFA
	Sumitomo Mitsui Financial Group	SMFNF	8316 JP	Shinichiro Nakamura
	Sumitomo Mitsui Financial Group	SMFG	SMFG US	Shinichiro Nakamura
	Suruga Bank	SRGBF	8358 JP	Shinichiro Nakamura
	T&D Holdings	TDHOF	8795 JP	Natsumu Tsujino, CFA
	Taisei Corporation	TISCF	1801 JP	Takumi Kasai
	Tokio Marine Holdings	TKOMF	8766 JP	Natsumu Tsujino, CFA
	Tokio Marine Holdings	TKOMY	TKOMY US	Natsumu Tsujino, CFA
	Tokyo Tatemono	TYTMF	8804 JP	Takumi Kasai
	Tokyu Fudosan Holdings	TTUUF	3289 JP	Takumi Kasai
NEUTRAL				
	77 Bank	SVSFV	8341 JP	Yuji Kobayashi
	Chiba Bank	CHBAF	8331 JP	Shinichiro Nakamura
	Credit Saison	CSASF	8253 JP	Natsumu Tsujino, CFA
	Daiwa Securities Group	DSECF	8601 JP	Natsumu Tsujino, CFA
	Hachijuni Nagano Bank	HACBF	8359 JP	Yuji Kobayashi



Japan - Financials and Property Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Japan Exchange Group	OSCUF	8697 JP	Natsumu Tsujino, CFA
	Japan Post HD	JPHLF	6178 JP	Shinichiro Nakamura
	Japan Post Insurance	JPIIF	7181 JP	Natsumu Tsujino, CFA
	Mitsubishi Estate	MITEF	8802 JP	Takumi Kasai
	Nomura Holdings	NRSCF	8604 JP	Natsumu Tsujino, CFA
	Nomura Holdings	NMR	NMR US	Natsumu Tsujino, CFA
	ORIX	ORXCF	8591 JP	Natsumu Tsujino, CFA
	ORIX	IX	IX US	Natsumu Tsujino, CFA
	Sekisui House	SKHSF	1928 JP	Takumi Kasai
	Shimizu Corporation	SHMUF	1803 JP	Takumi Kasai
	Shizuoka Financial Group	SFGIF	5831 JP	Shinichiro Nakamura
	Sony Financial Group	SFGRF	8729 JP	Natsumu Tsujino, CFA
	Sumitomo Realty & Development	SURDF	8830 JP	Takumi Kasai
	Yokohama Financial Group	CCRDF	7186 JP	Shinichiro Nakamura

UNDERPERFORM

	Aozora Bank	AOZOF	8304 JP	Shinichiro Nakamura
	Daito Trust Construction	DITTF	1878 JP	Takumi Kasai
	Fukuoka Financial Group	FKKFF	8354 JP	Shinichiro Nakamura
	Haseko Corporation	HSKCF	1808 JP	Takumi Kasai
	Mitsubishi HC Capital	MIUFF	8593 JP	Natsumu Tsujino, CFA
	Rakuten Bank	XHRUF	5838 JP	Shinichiro Nakamura
	SBI Shinsei Bank	XJWVP	8303 JP	Shinichiro Nakamura
	Seven Bank	SEBNF	8410 JP	Shinichiro Nakamura
	Shiga Bank	SGBKF	8366 JP	Yuji Kobayashi
	Sumitomo Mitsui Trust Group	CMTDF	8309 JP	Shinichiro Nakamura
	Tokyo Century	TCNRF	8439 JP	Natsumu Tsujino, CFA

APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Ashok Leyland	XDBVF	AL IN	Gunjan Prithyani
	Astra International	PTAIF	ASII IJ	Jessie Lo
	Bajaj Auto	XBJBF	BJAUT IN	Gunjan Prithyani
	Bethel	XBETF	603596 CH	Joey Yang, CFA
	Bharat Forge	XUUVF	BHFC IN	Gunjan Prithyani
	BYD	BYDDF	1211 HK	Ming Hsun Lee, CFA
	BYD	XYMPF	002594 CH	Ming Hsun Lee, CFA
	BYD	BYDDY	BYDDY US	Ming Hsun Lee, CFA
	CALB	XCLSF	3931 HK	Ming Hsun Lee, CFA
	CATL	XMQQF	300750 CH	Ming Hsun Lee, CFA
	CATL	CTATF	3750 HK	Ming Hsun Lee, CFA
	Chery Auto	XCAVF	9973 HK	Joey Yang, CFA
	DENSO	DNZOF	6902 JP	Shiro Sakamaki
	Ehang	EH	EH US	Fiona Liang
	Eicher Motors	XEIMF	EIM IN	Gunjan Prithyani
	EVE	XEVEF	300014 CH	Ming Hsun Lee, CFA
	Fuyao Glass	XFGIF	600660 CH	Jessie Lo
	Fuyao Glass	FIGIF	3606 HK	Jessie Lo
	Geely	GELYF	175 HK	Ming Hsun Lee, CFA
	GS Yuasa	GYUAF	6674 JP	Shiro Sakamaki
	Hankook Tire	XHTRF	161390 KS	KJ Hwang
	Hero Motocorp	HRHDF	HMCL IN	Gunjan Prithyani
	Hesai	HSAL	HSAL US	Jessie Lo
	Hesai	XHGZF	2525 HK	Jessie Lo
	HL Mando	XMADF	204320 KS	KJ Hwang
	Honda Motor	HMC	HMC US	Shiro Sakamaki
	Honda Motor	HNDAF	7267 JP	Shiro Sakamaki
	Hyundai Motor	HYMLF	005380 KS	KJ Hwang
	Isuzu Motors	ISUZF	7202 JP	Shiro Sakamaki
	Joyson	XQMWF	600699 CH	Fiona Liang
	Joyson	XJYSF	699 HK	Fiona Liang



APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Kia Corp	KIMTF	000270 KS	KJ Hwang
	Koito Manufacturing	KOTMF	7276 JP	Shiro Sakamaki
	Leapmotor	ZJLMF	9863 HK	Ming Hsun Lee, CFA
	Mahindra & Mahindra (M&M)	XKQRF	MM IN	Gunjan Prithyani
	Minth	MNTHF	425 HK	Fiona Liang
	Nexteer	NTXVF	1316 HK	Joey Yang, CFA
	NHK Spring	NHKGf	5991 JP	Shiro Sakamaki
	Ninebot	XNLTF	689009 CH	Joey Yang, CFA
	Ningbo Tuopu	XNCGF	601689 CH	Joey Yang, CFA
	Pony AI	PONY	PONY US	Ming Hsun Lee, CFA
	Pony AI	XNPYF	2026 HK	Ming Hsun Lee, CFA
	RoboSense	RBSTF	2498 HK	Joey Yang, CFA
	Seres	XSRSF	601127 CH	Joey Yang, CFA
	Seres	XSGLF	9927 HK	Joey Yang, CFA
	Shenzhen Kedali	XWCSF	002850 CH	Jessie Lo
	Shuanghuan Driveline	XZSHF	002472 CH	Fiona Liang
	Sona Comstar	XBNXF	SONACOMS IN	Gunjan Prithyani
	Stanley Electric	STAEF	6923 JP	Shiro Sakamaki
	Sumitomo Rubber Industries	SMTUF	5110 JP	Shiro Sakamaki
	Suzuki Motor	SZKMF	7269 JP	Shiro Sakamaki
	Tata Motors CV	XTMCF	TMCV IN	Gunjan Prithyani
	Toyota Motor	TOYOF	7203 JP	Shiro Sakamaki
	Toyota Motor	TM	TM US	Shiro Sakamaki
	WeRide	WRD	WRD US	Ming Hsun Lee, CFA
	WeRide	WRDIF	800 HK	Ming Hsun Lee, CFA
	Wuxi Lead	XZSRF	300450 CH	Yikai Liu, CFA
	Wuxi Lead	XLDFD	470 HK	Yikai Liu, CFA
	Xingyu Automotive Lighting	XLIXF	601799 CH	Joey Yang, CFA
	XPeng Inc	XPEV	XPEV US	Ming Hsun Lee, CFA
	XPeng Inc.	XPNGF	9868 HK	Ming Hsun Lee, CFA
	Yadea	YADGF	1585 HK	Joey Yang, CFA

NEUTRAL

	Aisin Corporation	ASEKF	7259 JP	Shiro Sakamaki
	Bridgestone	BRDCF	5108 JP	Shiro Sakamaki
	Bridgestone	BRDCY	BRDCY US	Shiro Sakamaki
	Escorts Kubota	XSCOF	ESCORTS IN	Gunjan Prithyani
	Great Wall Motor	GWLLF	2333 HK	Ming Hsun Lee, CFA
	Hyundai Mobis	HYPLF	012330 KS	KJ Hwang
	Hyundai Motor India	XZHZF	HYUNDAI IN	Gunjan Prithyani
	Li Auto	LI	LI US	Ming Hsun Lee, CFA
	Li Auto	LAAOF	2015 HK	Ming Hsun Lee, CFA
	Maruti	MUDGF	MSIL IN	Gunjan Prithyani
	Mazda Motor	MZDAF	7261 JP	Shiro Sakamaki
	MeiDong Auto	CMEIF	1268 HK	Joey Yang, CFA
	NIO	NIO	NIO US	Ming Hsun Lee, CFA
	NIO	NIOIF	9866 HK	Ming Hsun Lee, CFA
	NIO	XLTWf	NIO SP	Ming Hsun Lee, CFA
	SAMIL (Motherson International)	XMSUF	MOTHERSO IN	Gunjan Prithyani
	Subaru Corp	FUJHF	7270 JP	Shiro Sakamaki
	Subaru Corp	FUJHY	FUJHY US	Shiro Sakamaki
	Toyo Tire	TOTTF	5105 JP	Shiro Sakamaki
	Toyoda Gosei	TGOSF	7282 JP	Shiro Sakamaki
	TVS Motors	XFKMF	TVSL IN	Gunjan Prithyani
	Yokohama Rubber	YORUF	5101 JP	Shiro Sakamaki
	Yutong Bus	ZHYUF	600066 CH	Fiona Liang

UNDERPERFORM

	Aima Technology	XIHBF	603529 CH	Joey Yang, CFA
	BAIC Motor	BMCLF	1958 HK	Ming Hsun Lee, CFA
	GAC	XGNHF	601238 CH	Ming Hsun Lee, CFA
	Great Wall Motor	XGWMF	601633 CH	Ming Hsun Lee, CFA
	Guangzhou Automobile Group	GNZUF	2238 HK	Ming Hsun Lee, CFA
	Huayu	XHASF	600741 CH	Fiona Liang
	Hyundai Wia	XWHYF	011210 KS	KJ Hwang
	Jardine Cycle & Carriage	JCYCF	JCNC SP	Jessie Lo



APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Mitsubishi Motors	MMTOF	7211 JP	Shiro Sakamaki
	Motherson Sumi Wiring	XMWDF	MSUMI IN	Gunjan Prithyani
	Nextage	NXAGF	3186 JP	Shiro Sakamaki
	Nissan Motor	NSANF	7201 JP	Shiro Sakamaki
	Nissan Motor	NSANY	NSANY US	Shiro Sakamaki
	Ola Electric Mobility Limited	XOLAF	OLAELEC IN	Gunjan Prithyani
	SAIC Motor	XZNF	600104 CH	Ming Hsun Lee, CFA
	Tata Motors Passenger Vehicles Limited	XTTSF	TMPV IN	Gunjan Prithyani
	Toyota Boshoku	TDBOF	3116 JP	Shiro Sakamaki
	Yongda	CYHF	3669 HK	Joey Yang, CFA
	Zhejiang Sanhua	XZSIF	002050 CH	Jessie Lo
	Zhejiang Sanhua	XZSJF	2050 HK	Jessie Lo
	Zhongsheng Auto	ZHSHF	881 HK	Joey Yang, CFA

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	Desay SV	XGDF	002920 CH	Joey Yang, CFA
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APR - Healthcare Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Adicon Holdings	ADCNF	9860 HK	David Li
	Aier Eye Hospital	XAEOF	300015 CH	David Li
	Akeso	AKESF	9926 HK	Ethan Cui
	Angelalign Technology Inc	AGLFF	6699 HK	David Li
	Apollo Hospital	XWQAF	APHS IN	Neha Manpuria
	Astellas Pharma	ALPMF	4503 JP	Koichi Mamegano
	Astellas Pharma	ALPMY	ALPMY US	Koichi Mamegano
	Asymchem Laboratories	XALPF	002821 CH	David Li
	Aurobindo	XLZFF	ARBP IN	Neha Manpuria
	Baiyunshan	GZPHF	874 HK	Sandra Sun
	Bangkok Chain Hospital	BKKFF	BCH TB	Teerapol Udomvej, CFA
	Bangkok Dusit Medical Services	BDMSF	BDMS TB	Teerapol Udomvej, CFA
	Beijing Tongrentang Co., Limited	BJTGF	600085 CH	David Li
	BeOne Medicines Ltd	BEIGF	6160 HK	David Li
	BeOne Medicines Ltd	ONC	ONC US	David Li
	Bumrungrad Hospital	BUHFF	BH TB	Teerapol Udomvej, CFA
	Cansino Bio	CASBF	6185 HK	David Li
	Chularat Hospital Group	XOCOF	CHG TB	Teerapol Udomvej, CFA
	Cochlear Limited	CHEOF	COH AU	Lianne Harrison
	CR Pharmaceutical	CRPGF	3320 HK	David Li
	Daiichi Sankyo	DSKYF	4568 JP	Koichi Mamegano
	Daiichi Sankyo	DSNKY	DSNKY US	Koichi Mamegano
	Divis Laboratories	XXQPF	DIVI IN	Neha Manpuria
	Dr. Reddy's	XDLZF	DRRD IN	Neha Manpuria
	Dr. Reddy's	RDY	RDY US	Neha Manpuria
	Fisher & Paykel Healthcare	XPAXF	FPH AU	Lianne Harrison
	Fisher & Paykel Healthcare	FSPKF	FPH NZ	Lianne Harrison
	Giant Biogene	GBHCF	2367 HK	Ethan Cui
	Gland Pharma	XGLPF	GLAND IN	Neha Manpuria
	Gushengtang	GSHTF	2273 HK	David Li
	Hansoh	HNSPF	3692 HK	David Li
	Hengrui Medicine	XMOKF	600276 CH	David Li
	Huadong Medicine	XCPDF	000963 CH	Ethan Cui
	Hualan Biological	XCBEF	002007 CH	Ethan Cui
	Hygeia Healthcare	HYHFF	6078 HK	Ethan Cui
	IHH Healthcare Berhad	IHHFF	IHH MK	Neha Manpuria
	IHH Healthcare Bhd	XFAHF	IHH SP	Neha Manpuria
	Innovent	IVBXF	1801 HK	David Li
	Integral Diagnostics	ITGDF	IDX AU	Lianne Harrison
	Jinxin Fertility	JXFGF	1951 HK	Ethan Cui
	Jinyu Bio-Tech	XMTDF	600201 CH	David Li
	JMDC	JMDCF	4483 JP	Ritsuo Watanabe

APR - Healthcare Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Kelun-Biotech	XSKBF	6990 HK	David Li
	Laekna	LAKEF	2105 HK	David Li
	M3	MTHRF	2413 JP	Ritsuo Watanabe
	Medley	XEQNF	4480 JP	Ritsuo Watanabe
	Menicon	MNNLF	7780 JP	Kei Takeuchi
	MicroPort	MCRPF	853 HK	Sandra Sun
	Mindray	XDVVF	300760 CH	Sandra Sun
	Nakanishi	NKNSF	7716 JP	Kei Takeuchi
	New Industries Biomedical Engineering	XSNQF	300832 CH	Sandra Sun
	Nxera Pharma	SOLTf	4565 JP	Koichi Mamegano
	Otsuka HD	OTSKF	4578 JP	Koichi Mamegano
	Otsuka HD	OTSKY	OTSKY US	Koichi Mamegano
	Pharmaron	PHBBF	3759 HK	David Li
	Polynovo	CALZF	PNV AU	Lyanne Harrison
	Praram 9 Hospital	XPNHf	PR9 TB	Teerapol Udomvej, CFA
	ResMed Inc	RSMDf	RMD AU	Lyanne Harrison
	ResMed Inc.	RMD	RMD US	Lyanne Harrison
	Santen Pharm.	SNPHF	4536 JP	Koichi Mamegano
	Sawai Group Holdings	SWGHF	4887 JP	Ritsuo Watanabe
	Shanghai Pharmaceuticals	SHPMF	2607 HK	David Li
	Shanghai United Imaging	XCAOF	688271 CH	Sandra Sun
	Shimadzu	SHMZf	7701 JP	Kei Takeuchi
	Shionogi	SGIOF	4507 JP	Koichi Mamegano
	Shionogi	SGIOY	SGIOY US	Koichi Mamegano
	Sigma Healthcare	SIGGF	SIG AU	Lyanne Harrison
	Sino Biopharm	SBMFF	1177 HK	David Li
	Sinopharm	SHTDF	1099 HK	David Li
	Sonic Healthcare Limited	SKHCF	SHL AU	Lyanne Harrison
	Sysmex	SSMXf	6869 JP	Kei Takeuchi
	Takeda Pharm.	TKPHF	4502 JP	Koichi Mamegano
	Takeda Pharm.	TAK	TAK US	Koichi Mamegano
	Terumo	TRUMF	4543 JP	Ritsuo Watanabe
	TigerMed	HTMDF	3347 HK	David Li
	Torrent Pharma	TOPHF	TRP IN	Neha Manpuria
	Towa Pharmaceutical	TWAPF	4553 JP	Ritsuo Watanabe
	Wuxi Apptec	WUXIF	2359 HK	David Li
	Wuxi Apptec	XLUHF	603259 CH	David Li
	Yunnan Baiyao	YBAIF	000538 CH	Sandra Sun

NEUTRAL

	Alkem	XAMLF	ALKEM IN	Neha Manpuria
	Asahi Intecc	AHICF	7747 JP	Kei Takeuchi
	Australian Clinical Labs	XAUKF	ACL AU	Lyanne Harrison
	Biocon	XLOFF	BIOS IN	Neha Manpuria
	Chugai Pharm.	CHGCF	4519 JP	Koichi Mamegano
	Cipla	XCLAF	CIPLA IN	Neha Manpuria
	CSL Limited	CMXHF	CSL AU	Lyanne Harrison
	CSL Limited	CSLLY	CSLLY US	Lyanne Harrison
	Everest Medicine	XMLKF	1952 HK	David Li
	Fortis Health	XFFTF	FORH IN	Neha Manpuria
	Fujifilm Holdings	FUJIF	4901 JP	Kei Takeuchi
	FUJIFILM Holdings	FUJIY	FUJIY US	Kei Takeuchi
	Imeik	ZMITF	300896 CH	Ethan Cui
	Max Healthcare	XMHLF	MAXHEALT IN	Neha Manpuria
	Ono Pharm.	OPHLF	4528 JP	Koichi Mamegano
	PHC Holdings	PHCCF	6523 JP	Kei Takeuchi
	Ramsay Health Care Limited	RMSYF	RHC AU	Lyanne Harrison
	Sumitomo Pharma	DNPUF	4506 JP	Koichi Mamegano
	Topchoice Medical	XZDXF	600763 CH	Ethan Cui
	WuXi Biologics	WXIBF	2269 HK	David Li
	Zai Lab	ZLAB	ZLAB US	David Li
	Zai Lab	XCDZF	9688 HK	David Li
	Zyds Lifesciences	XMQLF	ZYDUSLIF IN	Neha Manpuria

UNDERPERFORM

	Ain Holdings	AINPF	9627 JP	Ritsuo Watanabe
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APR - Healthcare Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Autobio Diagnostics Co Ltd	XQDXF	603658 CH	Sandra Sun
	Baiyunshan	XOUFF	600332 CH	Sandra Sun
	Beijing Wantai Biological Pharmacy	XBHIF	603392 CH	David Li
	CSPC Pharmaceutical	CHJTF	1093 HK	Ethan Cui
	EBOS Group Limited	EBOSF	EBO NZ	Lyanne Harrison
	EBOS Group Limited	XEBOF	EBO AU	Lyanne Harrison
	Eisai	ESALF	4523 JP	Koichi Mamegano
	Frontage	FGHQF	1521 HK	David Li
	Healius Limited	PHCRF	HLS AU	Lyanne Harrison
	Joinn Lab	XQTSF	6127 HK	David Li
	Joinn Lab	JOLCF	603127 CH	David Li
	Kyowa Kirin	KYKOF	4151 JP	Koichi Mamegano
	Lupin	XEFSF	LPC IN	Neha Manpuria
	Mankind Pharma	XDXZF	MANKIND IN	Neha Manpuria
	Medipal Holdings	MEPDF	7459 JP	Ritsuo Watanabe
	Olympus Corp.	OCPNF	7733 JP	Ritsuo Watanabe
	Ovctek	XOCKF	300595 CH	David Li
	Pharmaron	XYLGF	300759 CH	David Li
	Pien Tze Huang	XUVHF	600436 CH	Sandra Sun
	Shanghai Pharmaceuticals	XKCRF	601607 CH	David Li
	SMS	SMSZF	2175 JP	Ritsuo Watanabe
	Sun Pharma	XPUCF	SUNP IN	Neha Manpuria
	TigerMed	XHTHF	300347 CH	David Li
	Yifeng Pharmacy	XYHCF	603939 CH	Ethan Cui
	Zhifei	XCHOF	300122 CH	David Li

Disclosures

Important Disclosures

BofA Global Research Credit Opinion Key

BofA Global Research provides recommendations on an issuer's bonds (including corporate and sovereign external debt securities), loans, capital securities, equity preferreds and CDS as described below. Convertible securities are not rated. An issuer level recommendation may also be provided for an issuer as explained below. BofA Global Research credit recommendations are assigned using a three-month time horizon.

Issuer Recommendations: If an issuer credit recommendation is provided, it is applicable to bonds and capital securities of the issuer except bonds and capital securities specifically referenced in the report with a different credit recommendation. Where there is no issuer credit recommendation, only individual bonds and capital securities with specific recommendations are covered. Loans, CDS and equity preferreds are rated separately and issuer recommendations do not apply to them.

BofA Global Research credit recommendations are assigned using a three-month time horizon:

Overweight: Spreads and /or excess returns are likely to outperform the relevant and comparable market over the next three months.

Marketweight: Spreads and/or excess returns are likely to perform in-line with the relevant and comparable market over the next three months.

Underweight: Spreads and/or excess returns are likely to underperform the relevant and comparable market over the next three months.

BofA Global Research uses the following rating system with respect to **Credit Default Swaps (CDS)**:

Buy Protection: Buy CDS, therefore going short credit risk.

Neutral: No purchase or sale of CDS is recommended.

Sell Protection: Sell CDS, therefore going long credit risk.

Equity Investment Rating Distribution: Autos Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	75	58.14%	Buy	40	53.33%
Hold	27	20.93%	Hold	18	66.67%
Sell	27	20.93%	Sell	15	55.56%

Equity Investment Rating Distribution: Banks Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	117	53.42%	Buy	98	83.76%
Hold	59	26.94%	Hold	47	79.66%
Sell	43	19.63%	Sell	35	81.40%

Equity Investment Rating Distribution: Beverages - Alcoholic Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	17	45.95%	Buy	10	58.82%
Hold	6	16.22%	Hold	5	83.33%
Sell	14	37.84%	Sell	6	42.86%



Equity Investment Rating Distribution: Beverages - Soft Drinks Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	13	72.22%	Buy	7	53.85%
Hold	5	27.78%	Hold	4	80.00%
Sell	0	0.00%	Sell	0	0.00%

Equity Investment Rating Distribution: Building Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	47	52.22%	Buy	29	61.70%
Hold	20	22.22%	Hold	12	60.00%
Sell	23	25.56%	Sell	9	39.13%

Equity Investment Rating Distribution: Chemicals Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	69	49.29%	Buy	31	44.93%
Hold	28	20.00%	Hold	17	60.71%
Sell	43	30.71%	Sell	23	53.49%

Equity Investment Rating Distribution: Consumer Products Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	37	49.33%	Buy	19	51.35%
Hold	19	25.33%	Hold	8	42.11%
Sell	19	25.33%	Sell	11	57.89%

Equity Investment Rating Distribution: Electrical Equipment Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	18	66.67%	Buy	9	50.00%
Hold	3	11.11%	Hold	2	66.67%
Sell	6	22.22%	Sell	2	33.33%

Equity Investment Rating Distribution: Electronics Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	34	56.67%	Buy	17	50.00%
Hold	10	16.67%	Hold	3	30.00%
Sell	16	26.67%	Sell	6	37.50%

Equity Investment Rating Distribution: Energy Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	81	55.10%	Buy	68	83.95%
Hold	33	22.45%	Hold	29	87.88%
Sell	33	22.45%	Sell	24	72.73%

Equity Investment Rating Distribution: Financial Services Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	170	56.67%	Buy	110	64.71%
Hold	79	26.33%	Hold	51	64.56%
Sell	51	17.00%	Sell	36	70.59%

Equity Investment Rating Distribution: Food Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	34	45.33%	Buy	17	50.00%
Hold	23	30.67%	Hold	15	65.22%
Sell	18	24.00%	Sell	9	50.00%

Equity Investment Rating Distribution: Gaming Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	16	41.03%	Buy	12	75.00%
Hold	17	43.59%	Hold	9	52.94%
Sell	6	15.38%	Sell	1	16.67%

Equity Investment Rating Distribution: Health Care Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	227	59.74%	Buy	125	55.07%
Hold	78	20.53%	Hold	45	57.69%
Sell	75	19.74%	Sell	30	40.00%

Equity Investment Rating Distribution: Industrials/Multi-Industry Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	67	63.81%	Buy	36	53.73%
Hold	13	12.38%	Hold	6	46.15%
Sell	25	23.81%	Sell	11	44.00%



Equity Investment Rating Distribution: Machinery/Diversified Manufacturing Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	36	55.38%	Buy	16	44.44%
Hold	14	21.54%	Hold	9	64.29%
Sell	15	23.08%	Sell	9	60.00%

Equity Investment Rating Distribution: Media & Entertainment Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	28	45.90%	Buy	15	53.57%
Hold	19	31.15%	Hold	8	42.11%
Sell	14	22.95%	Sell	7	50.00%

Equity Investment Rating Distribution: Paper/Forest Products Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	10	52.63%	Buy	8	80.00%
Hold	5	26.32%	Hold	2	40.00%
Sell	4	21.05%	Sell	2	50.00%

Equity Investment Rating Distribution: Real Estate/Property Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	69	59.48%	Buy	24	34.78%
Hold	22	18.97%	Hold	7	31.82%
Sell	25	21.55%	Sell	9	36.00%

Equity Investment Rating Distribution: REITs (Real Estate Investment Trusts) Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	48	58.54%	Buy	35	72.92%
Hold	22	26.83%	Hold	19	86.36%
Sell	12	14.63%	Sell	12	100.00%

Equity Investment Rating Distribution: Retailing Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	86	56.95%	Buy	33	38.37%
Hold	34	22.52%	Hold	18	52.94%
Sell	31	20.53%	Sell	17	54.84%

Equity Investment Rating Distribution: Services Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	4	57.14%	Buy	3	75.00%
Hold	1	14.29%	Hold	0	0.00%
Sell	2	28.57%	Sell	1	50.00%

Equity Investment Rating Distribution: Technology Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	234	58.50%	Buy	123	52.56%
Hold	90	22.50%	Hold	43	47.78%
Sell	76	19.00%	Sell	23	30.26%

Equity Investment Rating Distribution: Telecommunications Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	53	51.96%	Buy	37	69.81%
Hold	22	21.57%	Hold	16	72.73%
Sell	27	26.47%	Sell	18	66.67%

Equity Investment Rating Distribution: Textiles/Apparel Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	14	58.33%	Buy	8	57.14%
Hold	5	20.83%	Hold	3	60.00%
Sell	5	20.83%	Sell	2	40.00%

Equity Investment Rating Distribution: Transport/Infrastructure Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	66	48.18%	Buy	38	57.58%
Hold	40	29.20%	Hold	21	52.50%
Sell	31	22.63%	Sell	14	45.16%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

FUNDAMENTAL EQUITY OPINION KEY: Opinions include a Volatility Risk Rating, an Investment Rating and an Income Rating. **VOLATILITY RISK RATINGS**, indicators of potential price fluctuation, are: A - Low, B - Medium and C - High. **INVESTMENT RATINGS** reflect the analyst's assessment of both a stock's absolute total return potential as well as its attractiveness for investment relative to other stocks within its Coverage Cluster (defined below). Our investment ratings are: 1 - Buy stocks are expected to have a total return of at least 10% and are the most attractive stocks in the coverage cluster; 2 - Neutral stocks are expected to remain flat or increase in value and are less attractive than Buy rated stocks and 3 - Underperform stocks are the least attractive stocks in a coverage cluster. An investment rating of 6 (No Rating) indicates that a stock is no longer trading on the basis of fundamentals. Analysts assign investment ratings considering, among other things, the 0-12 month total return expectation for a stock and the firm's guidelines for ratings dispersions (shown in the table below). The current price objective for a stock should be referenced to better understand the total return expectation at any given time. The price objective reflects the analyst's view of the potential price appreciation (depreciation).

Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
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